

Risk and Capital Management

- Information according to Pillar 3

2015

This is Handelsbanken

Handelsbanken is a full-service bank for both private and corporate customers. The Bank has a nationwide branch network in Sweden, the UK, Denmark, Finland, Norway and the Netherlands. The Bank regards these countries as its home markets. Handelsbanken was founded in 1871 and has operations in 25 countries.

The purpose of this publication is to provide information about risks, risk management and capital adequacy as described in Regulation (EU) No 575/2013 on prudential requirements for credit institutions and investment firms, and the Swedish Financial Supervisory Authority's regulations (FFFS 2014:12) regarding prudential requirements and capital buffers.

144

years of availability.

849

branches in 25 countries.

44

years running with better profitability than the average of peer banks in home markets.

27

years with the most satisfied customers according to SKI (Swedish Quality Index).*

* According to SKI (Swedish Quality Index), since surveys started in 1989, Handelsbanken has had the most satisfied private customers among the four major Swedish banks – Handelsbanken, Nordea, SEB and Swedbank.

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Read more on our website

More information about risk and capital management at Handelsbanken is available at handelsbanken.se/ireng. This includes information concerning Pillar 3 since 2007.

SVENSKA
HANDELSBANKEN



Introduction

The purpose of this report is to provide information about risks, risk management and capital adequacy as described in Pillar 3 of the capital adequacy regulations. The following pages contain a detailed description of risks, risk management and capital adequacy at Handelsbanken. For periodic information, we refer to the Bank's interim reports.

Handelsbanken works on the basis of a well-tested business model which has been unchanged for more than 40 years. This business model means that the Bank has very low risk tolerance. As a consequence of this, the Bank has reported very stable profitability levels for a long period of time and its financial goal has been achieved for more than 40 years running. The Bank's business model focuses on taking credit risks in its branch operations, and the model means that the Bank only takes credit risks which are in line with its very restrictive view of risk. The Bank aims to restrict as far as possible all other risks such as market and liquidity risks. For the past few decades, the loan loss ratio has been significantly lower than the average of other Nordic banks. The Bank's stated goal is always that no credit will lead to a loss. This approach completely determines the branches' granting of credit and work with their credit portfolios.

By building up liquidity reserves and matching cash flows, the Bank has worked on limiting its liquidity risks for a long period of time. This is also a natural consequence of the Bank's low risk tolerance and this work started before the new liquidity regulations were formulated. Handelsbanken is the only major Swedish bank which has managed completely on its own for its funding, with no support from central banks or public authorities, both throughout the latest financial crisis and also in the crisis of the early 1990s.

Market risks at Handelsbanken have also decreased further during the past few years from already low levels to very low at present. This work has continued for a long period of time and started before the financial crisis broke out and long before the regulations started to assign such importance to market risks as they do today.

PUBLICATION REQUIREMENTS

As of 2014, the requirement for publication of information concerning risks, risk management and capital adequacy is regulated in Regulation (EU) No 575/2013 (below CRR) and Directive

2013/36/EU (below CRD IV), which comprise the EU's implementation of the international Basel III regulations.

The figures, breakdowns, specifications, etc. presented are based on CRR and the Swedish Financial Supervisory Authority's regulations (FFFS 2014:12) which stipulate the publication requirements.

Complete information has been published every year in this form since the Basel II regulations came into force in 2007.

SCOPE

This publication contains a detailed description of risks that exist at the Bank, risk management and capital requirements. The information is presented as at 31 December 2015, unless specified otherwise. The amounts in brackets are the figures for the preceding year.

The disclosure requirements in Pillar 3 include a description of the Bank's capital requirement for credit and market risk and operational risk (Pillar 1), as well as information about the Bank's internal processes to assess the Bank's total capital requirement (Pillar 2). The latter includes risk types in addition to those in Pillar 1.

Svenska Handelsbanken AB (publ)* is the parent company in the Handelsbanken Group. In the context of capital adequacy, in addition to the individual institution, it is also the consolidated situation and not the Group that is subject to capital requirements. This publication therefore principally provides information about the consolidated situation. Handelsbanken is also covered by the rules applying to financial conglomerates. For Handelsbanken, the conglomerate rules mean that the capital requirements for the consolidated situation and the capital requirement for the insurance operations are combined. The conglomerate is not covered by the Pillar 3 rules.

Just as in the consolidated accounts, associated companies are consolidated using the equity method in the regulatory consolidated situation. Wholly owned subsidiaries are also consolidated according to the acquisition method. The Group's Annual Report provides information

about which subsidiaries exist. Companies that are part of the consolidated situation and are thus covered by the capital adequacy requirements according to the capital adequacy regulations, are listed on page 77. All subsidiaries which are subject to the regulations are included in the consolidated situation. Handelsbanken has no subsidiaries where the actual own funds are less than the prescribed own funds. Related party disclosures can be found in the Annual Report, note G48.

In 2007, Handelsbanken received initial permission from the Swedish Financial Supervisory Authority to report parts of the credit portfolio according to the IRB Approach. In 2010, Handelsbanken also received permission from the Swedish Financial Supervisory Authority to report parts of the corporate portfolio according to the advanced IRB Approach, corresponding to the IRB Approach with own estimates of loss given default (LGD) and credit conversion factors (CCF), according to current regulations. In 2013, Handelsbanken received permission from the Swedish Financial Supervisory Authority to report large corporates on the Bank's home markets (excluding the Netherlands) according to the IRB Approach with own estimates of LGD and CCF.

At the end of 2015, Handelsbanken had calculated the capital requirement using the IRB Approach for about 80 per cent (83) of the total risk-weighted assets, according to CRR. Some 80 per cent (80) of the corporate exposures, reported according to the IRB Approach, were reported using the IRB Approach with own estimates of LGD and CCF.

Since 2008, Handelsbanken's internal capital target has been that available financial resources (AFR) shall amount to at least 120 per cent of economic capital (EC). After clarifications from the Swedish Financial Supervisory Authority regarding the Bank's overall capital requirements, in February 2015, the Board decided that under normal circumstances the Bank's common equity tier 1 ratio must amount to between 1 and 3 percentage points above the total common equity tier 1 capital requirement

* Corporate identity number: 502007-7862.

communicated to the Bank by the Authority. Furthermore, the tier 1 ratio and the total capital ratio must amount to at least 1 percentage point above the total capital assessment communicated to the Bank by the Supervisory Authority for the respective capital tiers. Additionally the Bank must fulfil any other capital requirements set by the regulators.

At the end of 2015, the common equity tier 1 ratio according to CRR was 21.2 per cent (20.4).

TRENDS DURING 2015

The global economy continues to be beset by uncertainty and volatility; the US economy is a little stronger while growth in the eurozone is weaker. Events such as the devaluation in China and concerns about economic growth in Asia, falling commodity prices and geopolitical developments are some contributory factors. In Sweden, economic trends are stable with low inflationary pressure and an expansive monetary policy.

Handelsbanken's exposure to market risks is low. Essentially, market risks in the banking

operations are only taken as part of meeting customers' investment and risk management needs. During the past few years, the Bank has worked actively to reduce the market risks. One result of this is that a much smaller part of the Bank's earnings come from net gains/losses on financial transactions. Handelsbanken has a strong liquidity situation. The total liquidity reserve provides a high degree of resistance to possible disruptions in the financial markets. At the year-end, the Bank's total liquidity reserve exceeded SEK 800 billion.

CAPITAL ADEQUACY REGULATIONS

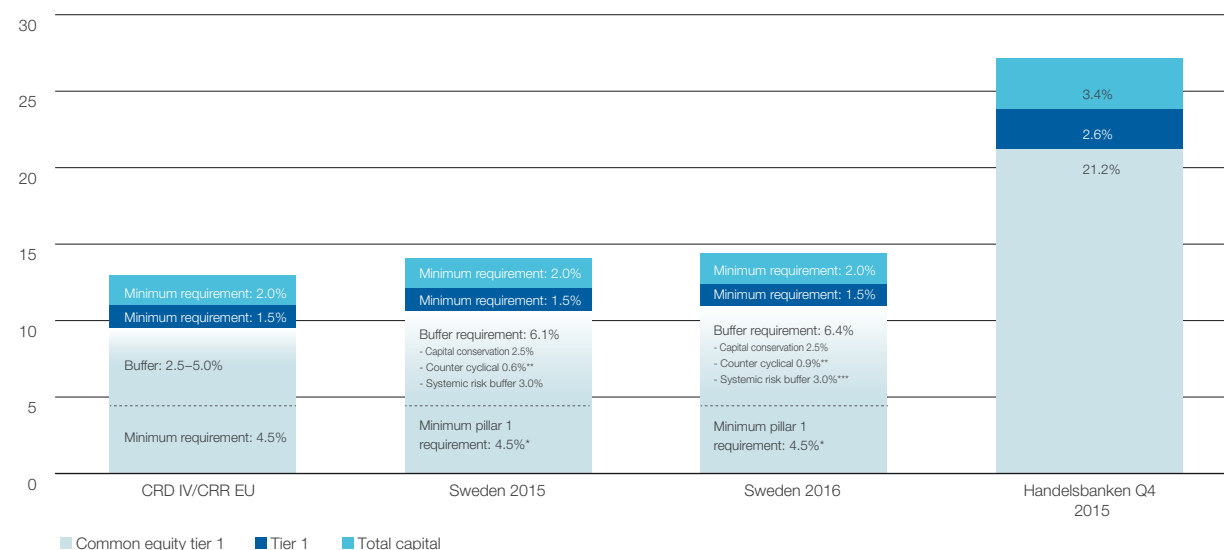
According to the current capital adequacy regulations: Directive 575/2013/EU (CRR), the Swedish Capital Buffers Act (2014:966), and the Swedish Special Supervision of Credit Institutions and Investment Firms Act (2014:968), the Bank must have common equity tier 1 capital of at least 4.5 per cent, tier 1 capital of at least 6 per cent, and total own funds that correspond to at least 8 per cent of the total risk-weighted

exposure amount for credit risks, market risks and operational risk.

In addition to maintaining capital to meet the minimum capital requirements, the Bank must also maintain common equity tier 1 capital to comply with the combined buffer requirement, which in Sweden comprises the sum of a capital conservation buffer of 2.5 per cent, a countercyclical buffer of up to 2.5 per cent and a systemic risk buffer of 3 per cent. The capital conservation buffer builds up capital during good times with the aim of preventing banks from breaching capital requirements during difficult periods.

The countercyclical buffer, which is decided upon by the Swedish Financial Supervisory Authority, varies over the business cycle, with the aim of counteracting excessively high credit growth. As of 13 September 2015, a countercyclical buffer of 1.0 per cent is applied for Sweden. In Norway, the buffer is 1.0 per cent from the end of the second quarter of 2015. The authorities in the respective country have

Capital requirements for Swedish banks



* Pillar 2 includes risk weight floors on mortgage lending in Sweden and Norway, add-ons for systemic risks of 2.0 per cent as well as institution-specific add-ons for inter alia concentration risk, interest rate risk in the banking book and pension risks.

** Based on the buffer requirement in Sweden and Norway.

*** Including 2.0 per cent buffer requirement aimed at other systemically important institutions (O-SII).

decided to raise the countercyclical capital buffer for Sweden to 1.5 per cent from 27 June 2016 and in Norway also to 1.5 per cent from 30 June 2016. The aim of the systemic risk buffer is to create a buffer at the largest banks in Sweden to protect the banking system as a whole in times of financial instability. To avoid restrictions on dividends, for example, the requirement for the decided combined buffer requirement must be met.

CAPITAL REQUIREMENTS WITHIN THE FRAMEWORK OF PILLAR 2

In addition to the above-mentioned requirements, the Bank must hold capital for requirements under Pillar 2 of the regulations. These requirements are specific to each institution and are decided by the supervisory authority. Various factors are assessed within Pillar 2, such as concentration risks, pension risk, interest rate risk in other operations, additional systemic risk needs, etc.

In addition to the regulatory minimum capital and buffer requirements, the Bank must perform an internal capital adequacy assessment, in which all risks and capital requirements are assessed in an unbiased manner.

Within the framework of Pillar 2, there is a buffer requirement for systemic risk of 2 per cent and a risk weight floor for Swedish mortgage loans of 25 per cent. The mortgage floor will also be applied to exposures to Norwegian mortgage loans. For Handelsbanken in 2015, this means a capital requirement in Pillar 2 of approximately SEK 27.8 billion, based on the Bank's mortgage loan volume at year-end.

The decision means that banks must have a buffer capital in Pillar 2 for Swedish and Norwegian mortgage loans corresponding to the difference between the actual risk weight in Pillar 1 and the risk weight floor in Pillar 2. The risk weights in Pillar 1 will not be changed, which means that the risk weight floor will not affect the minimum requirements in Pillar 1.

The internal models reflect the banks' historical losses on mortgage loans, including margins of conservatism, and imply a correct calculation of the capital requirement under Pillar 1. The Swedish Financial Supervisory Authority's intention is that the extra capital surcharge in the

form of a risk weight floor for mortgage loans in Pillar 2 will partly manage risks which may have arisen on the Swedish housing and mortgage loan market in recent years, and which are therefore not fully reflected in the history on which the banks' internal models are based. It will also manage the systemic risk which may result from households' increased debt negatively affecting consumption in the case of a large interest rate increase or other major impact on the housing market. The floor is therefore not an assessment of the actual credit risk in mortgage loans for a bank and the Swedish Financial Supervisory Authority's mortgage floor is thus not a criticism of the banks' existing internal models either.

Since the introduction of Basel II in 2007, in its internal capital adequacy assessment process, Handelsbanken has kept considerably more capital for mortgage loans than is formally required under Pillar 1. This is because the Bank's capital assessment is based on calculations of economic capital and conservative stress tests which result in the capital requirement being considerably greater than indicated by the historical loan losses.

The Financial Supervisory Authority also calculates the need to hold a capital planning buffer. The capital planning buffer does not result in any further capital requirements for the Bank as long as it is not larger than the capital conservation buffer.

All surcharges within the framework of Pillar 2 are made in the overall capital assessment, i.e. the Swedish Financial Supervisory Authority's individual assessment of the Bank's capital requirements. The assessment is in addition to the minimum requirements set out in Pillar 1 and normally the Authority will not formally decide on the Pillar 2 requirements. In the absence of a formal decision, the Swedish Financial Supervisory Authority's overall capital assessment will not affect the level when automatic restrictions on dividends, etc. come into force.

In November 2015, the Financial Supervisory Authority informed Handelsbanken that they assess that Handelsbanken's requirement for common equity tier 1 capital at the end of Q3 2015 corresponded to a common equity tier 1 ratio of 18.6 per cent.

LIQUIDITY REGULATIONS

Since 1 October 2015, the European Commission's delegated act contains a minimum European requirement for banks' liquidity in the form of a short-term liquidity buffer – Liquidity Coverage Ratio (LCR). The minimum requirement is initially 60 per cent and will be gradually raised to 100 per cent by 2018 when the delegated act will be fully implemented. LCR according to the delegated act is based on the LCR proposed by the Basel Committee in 2013 and also certain EU-specific changes, for example that the liquidity reserve may include a higher proportion of covered bonds.

By making requirements for a short-term liquidity buffer in FFFS 2012:6 as early as 2013, Sweden has moved more quickly than required by the EU. The requirement is 100 per cent, but the LCR introduced by the Swedish Financial Supervisory Authority is based on the stricter LCR measure first proposed by the Basel Committee in 2010. This mainly refers to outflow assumptions regarding deposits and the composition of the liquidity portfolio. The minimum requirement for the structural liquidity measure, Net Stable Funding Ratio (NSFR) – the ratio between available stable funding and the requirement for stable funding – is expected to be introduced from 2018 in the EU.

Risk management

Handelsbanken's goal is to have higher profitability than the average of peer banks in its home markets and for the Bank to generate good, stable value growth, regardless of the business cycle. High profitability assumes low funding costs and low loan losses. Well functioning risk management has contributed to the fact that Handelsbanken's business model has stayed intact over the years, during financial crises and recessions, and it has proved very resistant to external strains.

RISK TOLERANCE

Handelsbanken's decentralised business model is based on taking credit risk in the branch operations, but these risks must be kept low. The Bank aims to be a relationship bank which only selects customers with a strong repayment capacity and financial position. The quality requirement must never be neglected in favour of higher credit volumes, higher prices or market share. There is low tolerance of market risks and they are only taken as part of customer business, in connection with the Bank's funding and

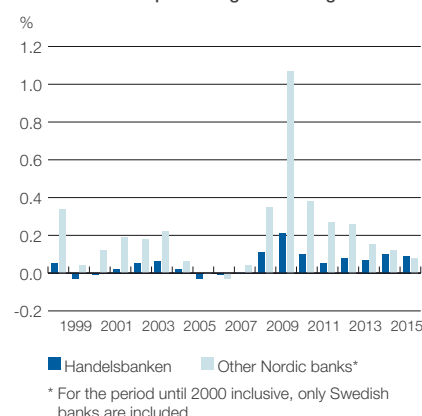
liquidity management, in its role as a market maker, in its long-term shareholdings and in the pension system. One result of the Bank's low tolerance of market risks is that a comparatively lower proportion of the Bank's earnings come from net gains/losses on financial transactions. Tolerance is also low for operational risk and compliance risks. As far as possible, the Bank endeavours to prevent these risks and to reduce the losses in this area. Losses must be small, both in comparison with previous losses incurred, and in comparison with other banks.

RISK STRATEGY

Handelsbanken is a full-service bank, offering a wide range of various banking and insurance products. These entail a variety of risks that are systematically identified, measured and managed in all parts of the Group. Handelsbanken's restrictive approach to risk means that the Bank deliberately avoids high-risk transactions, even if the expected remuneration may be high at that time.

This low risk tolerance is maintained through a strong risk culture that is sustainable in the long

Loan losses as a percentage of lending 1998–2015



Risks at Handelsbanken

	Description
Credit risk	Credit risk is the risk of the Bank facing economic loss because the Bank's counterparties cannot fulfil their contractual obligations.
Market risk	Market risks arise from changes in prices and volatilities in the financial markets. Market risks are divided into interest rate risks, equity price risks, exchange rate risks and commodity price risks.
Liquidity risk	Liquidity risk is the risk that the Bank will not be able to meet its payment obligations when they fall due, without being affected by unacceptable costs or losses.
Operational risk	Operational risk refers to the risk of loss due to inadequate or failed internal processes, human error, erroneous systems or external events. The definition includes legal risk.
Insurance risk	The risk in the outcome of an insurance that depends on the insured party's longevity or health.
Property risk	The risk of changes in prices of the Bank's property holdings.
Business risk	The risk of unexpected changes in earnings that are not attributable to the risk categories described above.
Remuneration risk	Remuneration risk is the risk of loss or other damage arising due to the remuneration system.
Compliance risk	Compliance risk is the risk that the Bank does not comply with laws, regulations and internal rules, or accepted business practices or standards.

Exposure to sovereign states with weak finances 31 December 2015, SEK m

Exposure class	Cyprus	Greece	Ireland	Italy	Russia	Ukraine	Portugal	Spain
Sovereign	-	-	-	-	-	-	-	-
Institutions ¹	-	6	19	27	18	-	6	20
Corporate	927	-	188	438	-	4	16	74
Retail	7	14	30	75	213	5	93	195
Total	934	20	238	540	231	9	115	289
Provisions (all exposure classes)	-	-	-	0	-	-	0	-
¹ of which EBA-guarantees (Euro Banking Association clearing system)	-	6	2	16	-	-	6	16

Exposure to sovereign states with weak finances 31 December 2014, SEK m

Exposure class	Cyprus	Greece	Ireland	Italy	Russia	Ukraine	Portugal	Spain
Sovereign	-	-	-	-	-	-	-	-
Institutions ¹	-	5	21	38	54	-	5	15
Corporate	827	-	194	597	1	9	22	499
Retail	7	27	26	38	250	6	92	183
Total	834	32	241	673	305	15	119	697
Provisions (all exposure classes)	-	0	-	0	0	0	0	0
¹ of which EBA-guarantees (Euro Banking Association clearing system)	-	5	2	16	-	-	5	15

term and applies to all areas of the Group. The risk culture is an integral part of the Bank's work and is deeply rooted among the Bank's employees. The Bank is characterised by a clear division of responsibility where each part of the business operations bears full responsibility for its business and for risk management. As a consequence, there are strong incentives for high risk awareness and for prudence in business operations. However, the decentralised business model is combined with strong centralised controls. The low risk tolerance is also reflected in the view of remuneration. The main principle is that remuneration must be fixed since this contributes to the long-term perspective which is a central feature of Handelsbanken's business model. Employees with the authority to make business decisions which imply a risk for the Bank can only receive fixed remuneration with no variable components. The employees are one of largest owners of the Bank via the Oktogonen Foundation which also contributes to a high level of risk awareness.

Lending has a strong local involvement, where the close customer relationship and local knowledge promote low credit risks. In addition, the Group must be well-capitalised at all times in relation to the risks in the operations and hold liquid assets so that it can always meet its payment commitments when they fall due, including in stressed situations where funding is not possible in the financial markets. In this way, Handelsbanken aims for a business model which is not affected by fluctuations in the business cycle.

This restrictive approach to risk means that the Bank is a stable and long-term business partner for its customers, regardless of the business cycle or market situation. It contributes to good risk management and sustaining a high service level even when operations and the markets where the Bank operates are subject to strain. The same principles for the Bank's approach to risks apply in all countries where the Bank operates and they are guiding principles in the Bank's continued international expansion.

RESILIENT RISK MANAGEMENT

Since the turbulence in the financial markets started in 2007, Handelsbanken has had good access to liquidity in all currencies of importance to the Bank. The Bank has broadened its investor base and increased the number of funding programmes for both covered and senior funding. The fact that this has taken place in the prevailing market conditions is a clear sign of the market's confidence in the Bank's business model and its work with risk. The Bank has had and continues to have access to the financial markets via its short-term and long-term funding programmes. Central Treasury's liquidity portfolio, which is part of the Bank's liquidity reserve, has a low risk profile and consists mainly of government bonds and covered bonds. At the year-end, the Bank's liquidity reserve exceeded SEK 800 billion, which provides a high degree of resistance to possible disruptions in the financial markets. Of the reserve, balances with central banks and banks,

Handelsbanken's risk management and risk control



The Bank's total view of risk management and risk control comprises the following components:

Business operations

The Bank is characterised by a clear division of responsibility where each part of the business operations bears full responsibility for its business and for risk management. Those who know the customer and market conditions best are in the best position to assess the risk and can also act at an early stage if problems arise. Each branch and each profit centre is responsible for dealing with any problems that arise. This creates strong incentives for high risk awareness and for prudence in the business operations.

However, the decentralised credit decisions are conditional on a joint credit process, for which the Central Credit Department is responsible.

The Central Credit Department prepares credit decisions made by the Board or by the Board's credit committee. The Central Credit Department also ensures that credit assessments are consistent and that loans are granted in accordance with the credit policy decided by the Board. The Central Credit Department also assesses risks in all major individual commitments and provides support and advice to other areas of the credit organisation. For information on the Bank's management of credit risks, as well as a full description of the credit process, see the Credit risk section on page 10.

Local Risk Control

There is a local risk control function in each country where the Bank has operations, unless the operations are very limited, at each regional bank, at central main departments and in financial subsidiaries. Local Risk Control works with identifying, measuring, analysing and reporting risks in the operations, particularly market risks, liquidity risks, counterparty risks, operational risk, reputation risk and where applicable, insurance risks, risks associated with the design of the remuneration system and risks in the asset management operations. Local Risk Control also checks the limits for market, liquidity and counterparty risks and analyses breaches of credit limits. Local Risk Control is also responsible for a risk analysis being performed for new products, IT systems and material processes and also for evaluating the business operations' work with operational risk. Local Risk Control reports to Central Risk Control and also to the management of the operations.

Central Risk Control

As business decisions become more decentralised, the need for central monitoring of the risk and capital situation increases. Central Risk Control is therefore a natural and vital component of the Bank's business model.

Central Risk Control has the task of identifying, measuring, analysing and reporting all the Group's material risks at an aggregate level. It monitors that the risks and risk management comply with the Bank's low tolerance of risks and

that senior management has reliable information to use as a basis for managing risks in critical situations. Central Risk Control also has functional responsibility for ensuring that Local Risk Control measures risks in a fit-for-purpose and consistent manner in the Group, and that the Bank's management and Board receive regular reports and analyses of the current risk situation.

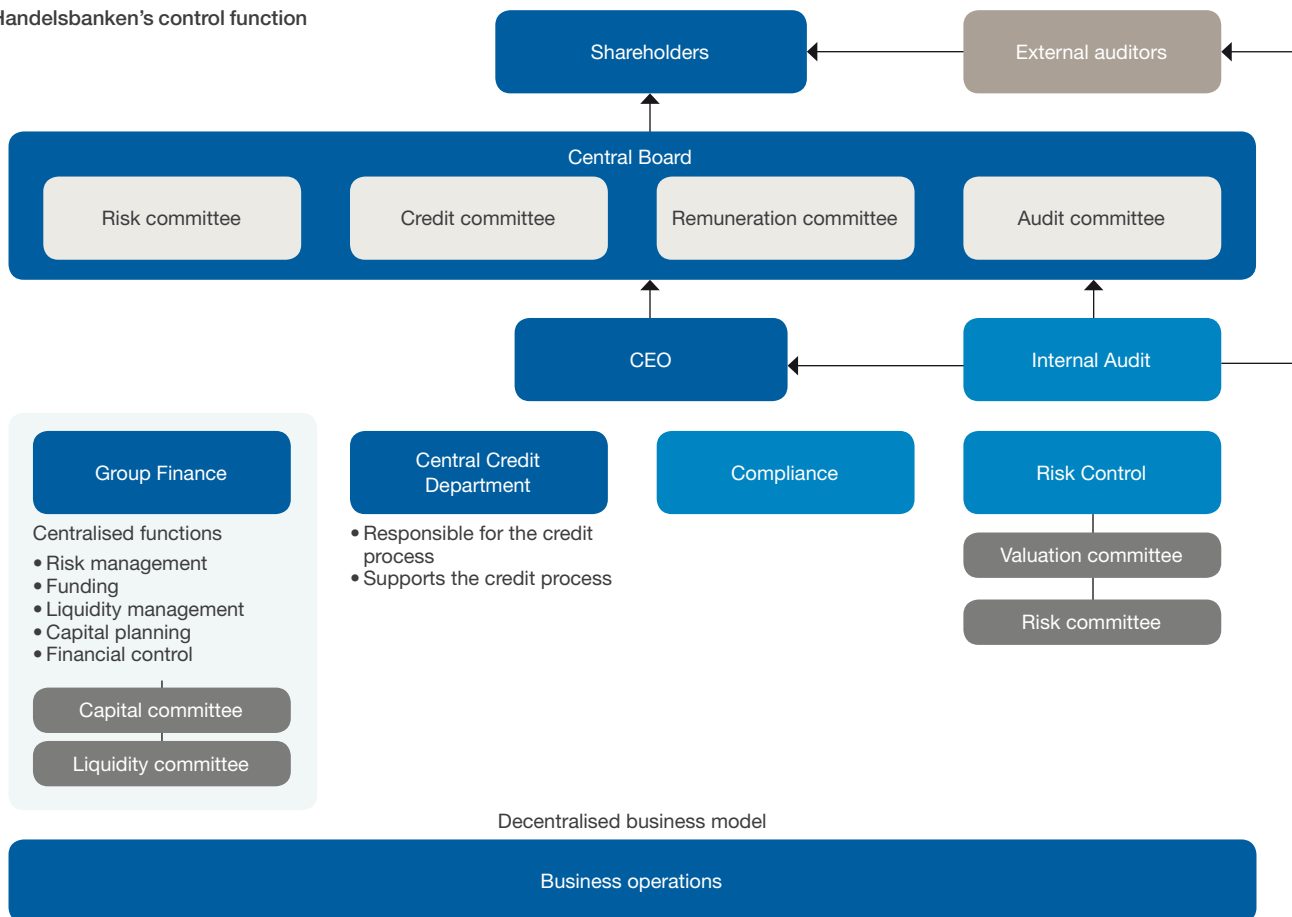
Capital and liquidity planning

If – despite the work in the three components described above – Handelsbanken were to suffer serious losses, it holds capital to ensure its survival both during and after extreme events. Capital planning is based on an assessment of the capital situation in terms of the legal capital requirement, combined with calculation of economic capital and stress tests. Stress tests identify the future-oriented measures that need to be prepared or implemented to ensure satisfactory capitalisation at any given time. In addition, the Group must be well-capitalised at all times in relation to the risks and hold liquid assets so that it can always meet its payment commitments when they fall due, including in stressed situations where funding is not possible in the financial markets.

Compliance and audit

In addition to the parts described above, operations are examined by compliance, at central, business area and subsidiary level, and also by the internal and external auditors.

Handelsbanken's control function



as well as securities that are eligible as collateral with central banks, totalled SEK 352 billion. The remainder was mainly an unutilised issue amount for covered bonds at Stadshypotek. Liquidity reserves are kept in all currencies that are important to the Bank. The total liquidity reserve covers the Bank's liquidity requirements for more than three years in a stressed scenario with an outflow of deposits and entirely without access to new market funding. Operations can also be maintained for a considerable period of time even in an extreme situation when the foreign exchange markets are closed.

The Bank's capital situation continued to grow stronger during the year and its earnings have been stable. Coupled with low loan losses, this has contributed to the strong position. The strong capital situation provides good protection insurance in the current macro-economic situation.

The Bank's low tolerance of risk, sound capitalisation and strong liquidity situation mean that the Bank is well equipped to operate under the new, stricter regulations and also under substantially more difficult market conditions than those experienced during the last few years. The Bank's liquidity situation is described in more detail under the heading Funding and liquidity risk.

RISK ORGANISATION

Handelsbanken's Board has overall responsibility for the Bank's risk management and establishes internal regulations for this. The Board establishes policy documents and the Group

Chief Executive (CEO) establishes instructions describing how various risks should be managed and reported.

The Board has appointed several committees which have a decision-making function and also prepare matters to be decided by the Board. The following committees exist in the Bank: credit committee, risk committee, audit committee and remuneration committee. The Bank also has the following internal advisory committees: risk committee, liquidity committee, capital committee and valuation committee.

The Board establishes the decision structure for credit limits. The Board determines the total market and liquidity risk limits for the entire Group within each type of risk. They are then allocated to the operations by the CEO and the CFO. The CFO also decides on extra limits and risk measures and detailed instructions. The CFO decides on ALM limits (interest rate risk, exchange rate risk and liquidity risk) for the Head of Central Treasury. The Head of Central Treasury is responsible for the Bank's ALM and in turn allocates parts of limits to other business units.

The CEO is responsible for the Bank pursuing capital planning which ensures that the Group's supply of capital is secure. The Head of the Capital department reporting to the CFO is responsible for measuring available capital and for applying the Group's capital planning policy. This assignment includes responsibility for maintaining the correct level of available capital and the correct proportions of the various types of capital

and currencies in own funds. This responsibility also entails keeping the level of AFR as a proportion of EC above the target for the ratio decided by the Board and that the capital level exceeds the regulatory requirements.

The Central Treasury has responsibility for group liquidity and funding, and for carrying out risk management measures as decided by the CFO. The Bank has well developed processes for allocating capital and liquidity to the Bank's business units when required. If a critical situation arises, Central Treasury is also well prepared to rapidly take action to strengthen liquidity, if necessary.

The operations are monitored by control functions. Central Risk Control, whose head is the Bank's CRO, reports to the CEO and the Board's risk committee. The CFO also receives reports. Central Risk Control's task is on the one hand, to check that all major risks to which the Bank is exposed, or can be expected to be exposed in the future, are identified and managed by the relevant functions, and on the other hand, to monitor and check the Bank's risk management. In the case of the latter, this means that Central Risk Control must check that every business unit and region or country is efficiently monitoring all risks of material significance to the unit via its Local Risk Control. At the regional banks and in each business area which has been allocated limits, a Local Risk Control unit reports the risk exposure to Central Risk Control and also to the management of the business operations.

The operations are also examined by Compliance and Internal Audit at central and local level. Risk Control and Compliance report to the CEO and Internal Audit reports to the Board. Central Compliance is responsible for the overall assessment of compliance risks and reports to the CEO and to the Board's risk committee. The CFO also receives reports. Internal Audit reports to the Board in its entirety and to the Board's audit committee. The external auditors are accountable to the shareholders at the AGM and also audit the Board's and the CEO's administration.

REPORTING AND MONITORING THE RISK AND CAPITAL SITUATION

The Risk Committee, chaired by the Bank's CRO, acts in an advisory capacity to the CEO and CFO and met on ten occasions during 2015. The Risk Committee performs an in-depth follow-up of the Group's current risk situation, potential risks and actions for credit risks, market risks, liquidity risks, risks in the insurance operations, compliance risks, operational risk and economic capital. Other types of risk are commented on where necessary. In addition, follow-ups are done of limit utilisation, both for individual risk classes and for the Group as a whole. After every meeting, the CRO reports the Risk Committee's analyses and observations to the CEO. The risk situation, utilisation of market risk limits and the liquidity situation are reported to the Board at each normal Board meeting.

The credit risk situation is reported quarterly to the Bank's Board and to the boards of the regional banks and the subsidiaries. This includes volume growth, risk-reported credits and information from the Bank's credit risk models. Each branch compiles a quarterly risk report, where it reviews all its credit commitments to identify and report credits where the borrower's repayment capacity is impaired and the Bank's collateral is insufficient, or there is a risk that it will be insufficient. In addition to the branches' regular reporting of loans with provision requirements carried out by the branches for the external accounting, the branches also report defaulted credits. This is to satisfy the information requirements of both the business operation and Central Risk Control regarding the internal credit risk model and the calculation of the capital requirement.

Limit utilisation for market risks and liquidity risks is compiled and checked on a daily basis by Central Risk Control. Exceeded limits are immediately reported to the person who makes the decision about the limits. The liquidity risk is summarised by Central Risk Control and reported daily to the CFO, weekly to the CEO and to the Board at every normal Board meeting. The Liquidity Committee, chaired by the Head of Central Treasury, acts in an advisory capacity to the CEO and CFO and meets before each normal Board meeting and on other occasions when necessary. At this committee meeting,

reports are presented on the current liquidity situation, on results of stress tests, scenario analysis, and other information which is relevant for the assessment of the Group's liquidity situation.

Operational risks are compiled and monitored daily by Risk Control via reports of incidents which have occurred from branches and units throughout the Handelsbanken Group. Central Risk Control reports operational risk and incidents which have occurred on a monthly basis to the Risk Committee and quarterly to the Capital Committee and to the Board's risk committee. Operational risk reporting includes information regarding significant events, major losses, important proactive measures and an aggregated risk assessment at Group level. In addition, Local Risk Control, in close collaboration with Central Risk Control, monitors that the actions which have been decided are implemented.

The capital situation is reported weekly by the Head of the Capital unit to the CFO, regularly to the CEO, and at least quarterly to the Board. In cases where various thresholds are exceeded, or if the Head of the Capital unit or the CFO deems it appropriate for some other reason, proposals for appropriate measures are presented to the CEO. The capital situation in a medium- and long-term perspective is summarised quarterly by the capital committee. The Capital unit performs a complete update of the capital forecast on a quarterly basis, or when there are significant changes in conditions.

THE BOARD'S RISK DECLARATION AND RISK STATEMENT

The Board has decided on the following risk declaration and risk statement.

Risk declaration

Handelsbanken has satisfactory arrangements for risk management which are fit for purpose in relation to the Bank's goals, overall risk profile and the business and risk strategy which the Board has decided for the operations.

Risk statement

Handelsbanken's goal is to have higher profitability than the average of peer banks in its home markets. This goal is mainly to be achieved by having more satisfied customers and lower costs than those of competitors. Handelsbanken is a full-service bank with a strong local presence and a decentralised way of working. The Bank's overall risk profile is that risks are to be kept low.

The Bank's risk strategy is to take credit risks in the branch operations, while other risks in the business operations are to be kept at a low level. The Group must also be well-capitalised at all times in relation to the risks, and hold liquid assets so that it can meet its payment commitments, including in situations of financial stress in the short and long term. The risk strategy and overall risk profile support Handelsbanken's aim to have a business model that is independent of changes in the business cycle.

The strong local involvement and close cus-

tomers relationship contribute to low credit risks. The quality of credits must never be neglected in favour of achieving higher volume or a higher margin. The Bank is selective when choosing customers with the requirement that borrowers have a good repayment capacity. As a consequence of this, the credit portfolio has a clear concentration on risk classes where the probability of loss is small. This consistent approach is reflected in the Bank's low loan losses over time. In 2015, loan losses were 0.09 per cent (0.10) of lending.

To ensure that the Bank is well capitalised in relation to the risks and has a good liquidity situation, the Board stipulates the Bank's risk tolerance for capitalisation and liquidity. When the risk tolerance for capitalisation is decided, the capital measure is set partly in relation to the statutory requirements and partly in relation to Handelsbanken's assessed capital requirement based on the Bank's model for Economic Capital (EC). The risk tolerance for the Bank's liquidity risk is decided on the one hand through requirements that the Bank under stressed circumstances must have a sufficiently large liquidity reserve in the form of liquid assets and assets which can be pledged, and also liquidity-creating measures to be able to continue its operations during determined time periods, and on the other hand through requirements regarding the accumulated net amount of incoming and outgoing cash flows in different time intervals.

The Board has established that the common equity tier 1 ratio under normal circumstances must amount to between 1 and 3 percentage points above the total common equity tier 1 capital requirement communicated by the Swedish Financial Supervisory Authority, and that the ratio between AFR (Available Financial Resources) and EC must exceed 120 per cent. At the end of 2015, the common equity tier 1 ratio was 21.2 per cent (20.4) and the AFR/EC ratio was 228 per cent (214). The Board has stipulated the goal that the Bank must have accumulated positive net cash flows over a period of at least one year, taking into account the liquidity reserve, and with the assumption that 10 per cent of the non-fixed-term deposits from households and companies disappear during the first month. As at the year-end, Handelsbanken's total liquidity reserve exceeded SEK 800 billion and it covers the Bank's liquidity requirement in stressed conditions for over three years.

The Bank's risk profile in 2015 agrees well with the risk tolerance established by the Board. A more in-depth description of Handelsbanken's risk management and risk profile is presented in the Bank's Annual Report, note G2 Risk and capital management, and in the Bank's report Risk and Capital Management – Information according to Pillar 3. The Annual Report is adopted by the Board.

Credit risk

Handelsbanken's low risk tolerance is maintained by means of a strong credit policy and credit risk culture which covers the whole Group and is sustainable over time. The Bank's decentralised organisation with a local presence provides high quality in the credit decisions and ensures that credit risk is managed close to the customer.

Credit risk is the risk of the Bank facing economic loss because the Bank's counterparties cannot fulfil their contractual obligations.

At Handelsbanken, the credit process is based on a conviction that a decentralised organisation with local presence ensures high quality in credit decisions. The Bank is a relationship bank where the branches maintain regular contact with the customer, which gives the branch an in-depth knowledge of each individual customer and a continually updated picture of the customer's financial situation.

In the Bank's decentralised organisation, each branch responsible for the customer has total credit responsibility. Customer and credit responsibility lies with the branch manager or with the employees at the local branch appointed by the manager.

Branch managers and most branch staff have personal decision limits allowing them to decide on credits to the customers they are responsible for.

For decisions on larger credits, there are regional and central decision levels. Each additional level of decision adds credit expertise. Each decision level has the right to reject credits both within their own decision level and also credits which would otherwise have been decided at a higher level. All participants throughout the decision process, regardless of level, must be in agreement in order for a positive credit decision to be made. If there is the slightest doubt among any of the participants, the credit application is rejected. The largest credits are decided by the Board's credit committee, or by the entire Board, where cases have been reviewed by the Central Credit Department. However, no credit application may be processed in the Bank without the recommendation of the branch manager who is responsible for the credit.

The decision procedure for credits is illustrated in the diagram below. It also shows the percentage of decisions and amounts at the various decision levels.

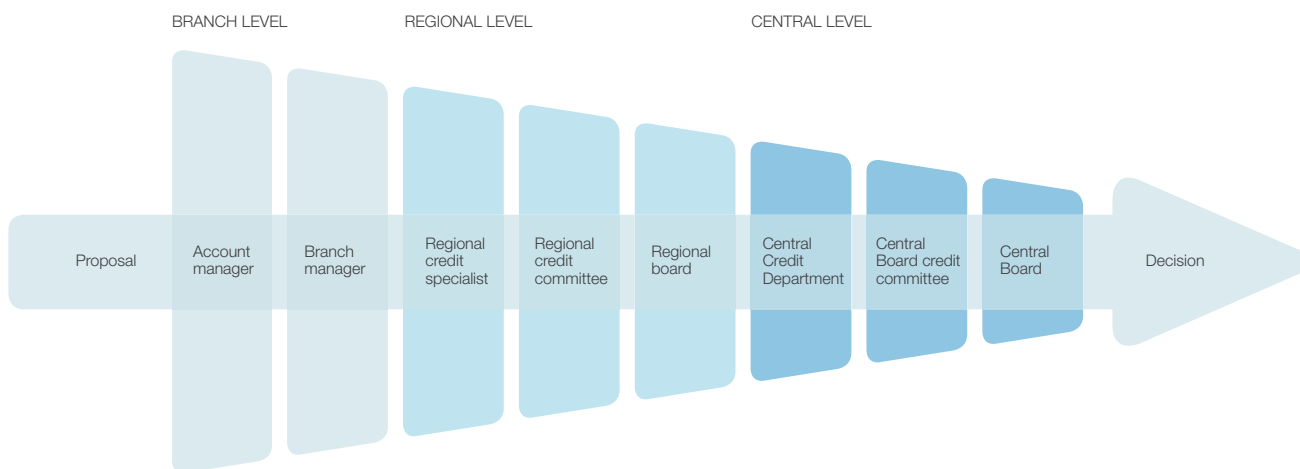
In Handelsbanken's decentralised organisation, the documentation that forms the basis for credit decisions is always prepared by the branch responsible for the credit, regardless of whether the final decision is to be made at the branch, at regional level, in the Board's credit committee or by the Board. Credit decision documentation includes general and financial information regarding the borrower, and an assessment of their repayment capacity, loans and credit terms, as well as a valuation of collateral.

For borrowers whose total loans exceed SEK 3 million, the credit decision is made in the form of a credit limit. In the case of loans to private individuals against collateral in the residential property, a limit requirement comes into play for amounts exceeding SEK 6 million. For loans to housing co-operative associations against collateral in the residential property, a limit is required for amounts exceeding SEK 12 million.

Credit limits granted are valid for a maximum of one year. When extending limits, the decision procedure requirement is the same as for a new credit.

In Handelsbanken's decentralised organisation where a large proportion of the credit and

The credit process and decision levels at Handelsbanken



Breakdown of limit decisions*

Proportion of number of limits
Proportion of limit amount

66%

9%

32%

28%

2%

63%

* Excluding sovereign and bank limits decided at central level.

limit decisions are made by individual branches, it is important that there is a well-functioning re-examination process to ensure that the credit decision is of high quality. The branch manager examines the quality of the staff's decisions and the regional credit departments examine the quality of decisions made by branch managers.

The purpose of the quality review is to ensure that the Bank's credit policy and internal instructions are complied with, that credit quality is maintained, and that credit decisions show that there is good credit judgement and a sound business approach. A corresponding examination of the quality is also performed for credit decisions made at higher levels in the Bank. Credits granted by regional credit committees and regional bank boards are examined by the Central Credit Department, which also prepares and examines credits decided by the Bank's Board or its credit committee.

Rather than being a mass market bank, Handelsbanken is selective in its choice of customers, which means it seeks customers with a high credit quality. The quality requirement is never neglected in favour of higher credit volumes or to achieve higher returns. The Bank also avoids participating in financing where there are complex customer constellations or complex transactions which are difficult to understand.

The local branch's close contact with its customers also enables the branch to quickly identify any problems and take action. In many cases, this means that the Bank can take action more rapidly than would have been possible with a more centralised management of problem loans. The branch also has full financial responsibility for granting credits, and therefore addresses problems that arise when a customer has repayment difficulties and the branch also bears any loan losses. If necessary, the local

branch obtains support from the regional head office and central departments. The Bank's method of working means that all employees whose work involves transactions linked to credit risk acquire a solid and well-founded approach to this type of risk. This approach forms an important part of the Bank's culture. The work method and approach described are important reasons for the Bank reporting very low loan losses over a long period.

CALCULATION OF CAPITAL REQUIREMENTS FOR CREDIT RISKS

The introduction of CRR led to changes in the names of certain key concepts compared to the previous regulations (FFFS 2007:1). "IRB Approach without own estimates of LGD and conversion factors" corresponds to "foundation approach" and "IRB Approach with own estimates of LGD and conversion factors" corresponds to "advanced approach". In a reporting context, "exposure amount" was normally called "EAD". In the following section old and new concepts are used synonymously. See also Definitions and explanations on page 79.

Since 2007, the Bank has had permission from the Swedish Financial Supervisory Authority to calculate the capital requirement for credit risk using the IRB Approach. The permission applies to the consolidated situation led by Svenska Handelsbanken AB (publ) and the companies Svenska Handelsbanken AB (publ) and Stadshypotek AB (publ). The Bank has since applied for and received equivalent permission for Handelsbanken Finans AB and Handelsbanken Rahoitus Oy. Certain exposures in the subsidiary Handelsbanken Finans (Shanghai) Financial Leasing Co Ltd are also reported according to the IRB Approach.

The Swedish Financial Supervisory Authority has also granted exceptions to Handelsbanken

to apply the standardised approach instead of the IRB Approach for certain exposures. These exceptions relate to exposures to sovereigns, the Riksbank (the Swedish central bank) and Swedish municipalities. Also included are portfolios of "insignificant size," as well as the equity exposures held by the Bank at the year-end 2007/2008. For sovereign exposures, in 2015, Handelsbanken applied to implement the foundation IRB approach and this application is being reviewed by the Swedish Financial Supervisory Authority.

In 2015, reporting according to the IRB Approach comprised the portfolios in the Swedish regional banks, Regional Bank Norway, Regional Bank Finland, Regional Bank Denmark, Handelsbanken Finans in Sweden and Finland, major parts of the regional banks in the UK and the Netherlands, the Bank's exposures to other banks (institutional exposures) and large parts of the Handelsbanken Capital Markets business area (previously Handelsbanken International and Handelsbanken Capital Markets).

In 2010, Handelsbanken received permission from the Swedish Financial Supervisory Authority to report certain portfolios according to the IRB Approach with own estimates of LGD and CCF. The permit refers to counterparties which are categorised as medium-sized companies, property companies and housing co-operative associations. In 2013, Handelsbanken also received permission from the Swedish Financial Supervisory Authority to report exposures to large corporates on its home markets (excluding the Netherlands) according to the IRB Approach with own estimates of LGD and CCF. The exposures approved for reporting according to the IRB Approach, but not yet with own estimates of LGD and CCF, will for the time being be

Calculation of credit risks broken down by method and business area, 2015

Method	Business areas			
	Regional banks in the Nordic countries ¹	Regional banks UK ¹	Regional Bank the Netherlands ¹	Outside Handelsbanken's home markets ¹
Standardised approach	Sovereign exposures "Insignificant portfolio" according to FI approval	Sovereign exposures "Insignificant portfolio" according to FI approval Retail exposures	Sovereign exposures "Insignificant portfolio" according to FI approval	Sovereign exposures "Insignificant portfolio" according to FI approval
IRB Approach without own estimates LGD and CCF	Corporate exposures Institutional exposures Non credit-obligation assets Equity exposures	Corporate exposures Institutional exposures Non credit-obligation assets Equity exposures	Corporate exposures/large corporates Institutional exposures Non credit-obligation assets Equity exposures	Corporate exposures/large corporates Institutional exposures Non credit-obligation assets Equity exposures Securitisation positions
IRB Approach with own estimates LGD and CCF	Corporate exposures (medium-sized companies, property companies, housing co-ops) Corporate exposures/large corporates Retail exposures	Corporate exposures (medium-sized companies, property companies, housing co-ops) Corporate exposures/large corporates		

¹ May include legal entities in addition to the parent company (Stadshypotek, Handelsbanken Finans and others) and Handelsbanken Capital Markets.

reported according to the IRB Approach with-
out own estimates of LGD and CCF.

At the end of 2015, the Bank had calculated the capital requirement using the IRB Approach for about 80 per cent (83) of the total risk-weighted assets. Some 80 per cent (80) of the corporate exposures reported according to the IRB Approach were reported using the IRB Approach with own estimates of LGD and CCF.

Risk rating system

Handelsbanken's risk rating system comprises a number of different systems, methods, processes and procedures to support the Bank's classification and quantification of credit risk.

Handelsbanken's internal rating system is used to measure the credit risk in all operations reliably and consistently. The risk rating builds on the Bank's internal rating, which is based on an assessment of each counterparty's repayment capacity. The rating is determined by the risk of financial strain and by the assessed resistance to this strain. The method and classification are based on the rating model that the Bank has applied for several decades.

The internal rating is the most important component of the Bank's model for calculating the capital requirement in accordance with the IRB Approach. The rating is dynamic; it is reassessed if there are signs that the counterparty's repayment capacity has changed. The rating is also reviewed periodically as stipulated in the regulations. The rating is made by the person responsible for granting the credit and it is subsequently checked by independent bodies.

Exposure classes

One of the basic premises of the capital adequacy regulations is that the institution's exposures are categorised into the exposure classes stipulated by the regulations. The number of exposure classes depends on the method used to calculate the credit risk. Exposures to be calculated according to the standardised approach can be allocated to 17 different exposure classes, while there are seven exposure classes in the IRB Approach.

The Bank uses different models for calculating credit risk, depending on the type of exposure. The overall division into exposure classes in the IRB Approach comprises sovereign, institutional, corporate, retail and equity exposures, as well as positions in securitisations. In addition there are also non credit-obligation assets – assets which are not regarded as credits.

Some exposure classes contain sub-groups where special models are applied. In practical terms, the division into exposure classes and sub-groups is made when the officer at a branch or unit responsible for the customer decides, in accordance with internal instructions, which business evaluation template is to be used when assigning the counterparty a rating.

Exposures to states, central banks, government agencies and municipalities are classed as sovereign exposures. Exposures to institutions refer to exposures to counterparties defined as banks and other credit institutions, and certain investment firms.

Retail exposures include both exposures to private individuals and to sole traders, where the total exposure within the Group does not exceed SEK 5 million. Also included are legal entities with a maximum turnover of SEK 50 million, where the total exposure within the Group does not exceed SEK 5 million (excluding mortgage loans). Retail exposures are divided into two sub-groups: property loans and other retail exposures.

Corporate exposures refer to exposures to non-financial companies, consisting of legal entities with a total exposure within the Group in excess of SEK 5 million or where the company's turnover is more than SEK 50 million, and sole traders with a total exposure for the Group in excess of SEK 5 million. Apart from ordinary non-financial companies, the exposure class includes insurance companies, housing co-operative associations and exposure in the form of "specialised lending".

Equity exposures refer to the Bank's holdings of shares that are not in the trading book. For equity exposures held by the Bank at the year-end 2007/2008, the risk weight during 2015, in accordance with the Swedish Financial Supervisory Authority's transitional rules, was calculated using the standardised approach. New equity exposures after this date have been calculated according to the IRB Approach.

For division into exposure classes according to the standardised approach, the Bank's volumes are put into the following exposure classes: sovereign and central banks, municipalities, multilateral development banks, institutions, retail, exposures with collateral in property, non-performing items, other items and shares. Non-performing items in the standardised approach are exposures where overdue interest or principal amounts have remained unpaid for more than 90 days, calculated from the original contracted payment date. The exposure class called "Other items" include prepaid costs, cash in hand and unminted gold.

Risk classification methods

To quantify its credit risks, the Bank calculates the probability of default (PD), the exposure the Bank is expected to have if a default occurs (exposure amount), and the proportion of the loan that the Bank would be expected to lose in the case of default (loss given default – LGD). Default is defined as when the counterparty is either more than 90 days late in making payment, or when an assessment has been made that the counterparty will not be able to pay as contractually agreed, for example, if declared bankrupt.

The PD value is expressed as a percentage where, for example, a PD value of 0.5 per cent means that one borrower of 200 with the same PD value is expected to default within one year. A credit in default does not necessarily mean that the Bank will incur a loss since in most cases there is collateral for the exposure. Nor does a default mean that it is out of the question that the counterparty will pay at some time in the future, since the payment problems may be temporary.

For corporate and institutional exposures, the internal rating set for each counterparty is directly converted into a risk class on a scale from 1 to 10 (where risk class 10 refers to defaulted counterparties). Corporate exposures are divided into four counterparty types based on the business evaluation template used for the counterparty. PD is calculated individually for each risk class and counterparty type. For institutional exposures and the corporate exposures that are subject to a capital requirement according to the IRB Approach without own estimates of LGD and CCF, prescribed values are applied for the loss rates given default (LGD). The prescribed value that may be used is determined by the collateral provided for each exposure.

For retail exposures, the risk class is also based on the internal rating assigned to all credit customers. The rating is not translated directly into a risk class as for corporate exposures; instead, the different exposures are sorted into a number of smaller groups on the basis of certain factors. Such factors include the type of credit, the counterparty's debt-servicing record and whether there are one or more borrowers. An average default rate is calculated for each of the smaller groups, and on the basis of this, the groups are sorted into one of the ten risk classes. Different models are used for exposures to private individuals and to small companies respectively (that are also classed as retail exposures), but the principle is the same.

For retail exposures and exposures to medium-sized companies, property companies and housing co-operative associations, the LGD is determined using the Bank's own loss history. For exposures to large corporates that are subject to a capital requirement using the IRB Approach with own estimates of LGD and CCF, the LGD is determined on the basis of internal losses and external observations. For retail exposures secured by property in Sweden and for property exposures to medium-sized companies, property companies and housing co-operative associations, different LGD values are applied depending on the loan-to-value ratio of the collateral. For other exposures, the LGD value is determined by factors that may depend on the existence and valuation of collateral, the product and similar factors.

For each exposure class, the PD is calculated for each of the risk classes that refer to non-defaulted counterparties or agreements. PD is

based on calculations of the historical percentage of defaults for different types of exposure. The average default rate is then adjusted by a margin of conservatism and a business cycle adjustment factor. The margin is intended to ensure that the long-term probability of default is not underestimated.

The business cycle adjustment factor adjusts, where necessary, the average default rates observed during the period determined as the basis for estimating the PD for an expected long-term level. The long-term level is based on information at portfolio level since 1985. The method takes into consideration expected migration between risk classes during a business cycle. As the period of time that can be used for estimating the PD is increasing, the need for business cycle adjustment is gradually reduced over time.

The adjustment evens out part of the variation in PD by risk class that arises due to the limitations of the material used for estimates when the risk measure is updated annually. PD at agreement level, counterparty level and portfolio level will, however, vary over time due to migration between risk classes. Since one of the most important parts of the risk classification, Handelsbanken's internal rating, has a significantly longer horizon than a year, that effect is expected to be limited during normal fluctuations of the business cycle. Handelsbanken applies the conservative principle that the business cycle adjustment factor can cause PD to be adjusted upwards, but not downwards.

When establishing LGD, the risk measure must reflect the loss rates during economically unfavourable circumstances, known as downturn LGD. For collateral in property, the downturn LGD is based on observed loss rates from the property crisis in the early 1990s. For other collateral relating to retail exposures, observed LGD is adjusted for downturns by a factor which depends on the PD and type of product. For corporate exposures in the IRB Approach with own estimates of LGD and CCF, the LGD is adjusted for downturns so that the Bank's observed losses in the crisis years of 1991–1992 can be explained by the risk weights with a good margin.

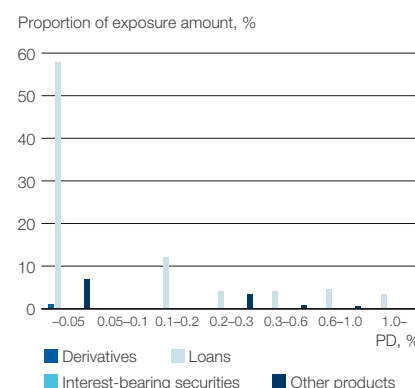
When the exposure amount (EAD) is to be calculated, certain adjustments are made to the carried exposure. Examples of this are committed loan offers or revolving credits, where the Bank agrees with the customer that the customer may borrow up to a certain amount in the future. This type of commitment constitutes a credit risk that must also be covered by adequate capital. Normally this means that the credit granted is adjusted using a certain credit conversion factor (CCF) for the part of the credit that is unutilised at the time of reporting. For certain product categories for corporate exposures and institutional exposures, the conversion factors are determined by the regulatory code, while for retail exposures and certain

product categories for large corporates, medium-sized companies, property companies and housing co-operative associations, the Bank uses its own calculated conversion factors. Here, it is the product referred to that mainly governs the conversion factor, but the utilisation level may also be of relevance.

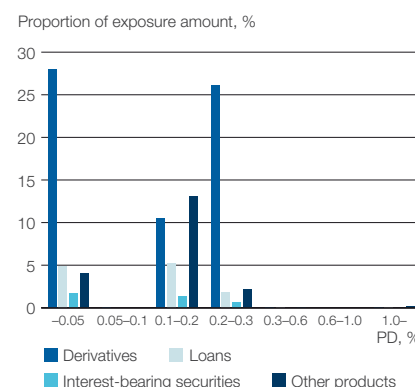
In addition to the capital adequacy calculation, measures of risk (PD, exposure amounts, LGD) are used to calculate the cost of capital in each individual transaction and to calculate economic capital (EC). This means that margins in the form of business cycle adjustments and conservatism adjustments in the risk measurements are also included in the cost of capital in individual transactions and in calculations of economic capital, which means that the loss levels that the risk measurements imply are conservative. The method used means that the Bank's historical losses have a direct impact on risk calculations and capital requirement.

For corporate, institutional and retail exposures, the adjoining figures show how the exposure is distributed between bonds and other interest-bearing securities, and loans, derivatives and other products respectively. Other products are, for example, guarantees and committed loan offers. The diagrams show how the exposure amounts, excluding credits in default, are distributed between different PD ranges in each exposure class. The PD values used are those applied when calculating the capital requirement.

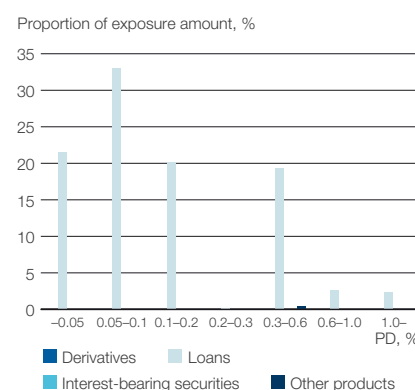
Proportion of exposure amount per product type per PD interval excluding defaulted credits – Corporate exposures



Proportion of exposure amount per product type per PD interval excluding defaulted credits – Institutional exposures



Proportion of exposure amount per product type per PD interval excluding defaulted credits – Retail exposures



Comparisons with external ratings

The Bank's risk classes are not directly comparable with the ratings applied by external credit rating agencies. The agencies' ratings do not correspond to a direct classification of the probability of the counterparty defaulting, as the Bank's rating model does. In addition, the rating agencies vary in the extent to which they factor in the seriousness of the losses that default can lead to. The time horizon for which creditworthiness is assessed is not always the same for the Bank as it is for the credit rating agencies. The Bank's risk classes do not state a uniform scale, whereby a certain risk class always corresponds to a certain probability of default. Furthermore, different PD scales are applied to different parts of the credit portfolio and the PD value changes over time, depending on business cycle adjustment factors and developments in the model, for example.

Overall, it is difficult to unambiguously and consistently translate the internal risk classes into an external rating. However, by analysing the historical default rate in Handelsbanken's risk classes in relation to the default rate in the external rating classes according to the Moody's rating agency, a fair table of comparison can be obtained. Shown below are the external rating classes that best correspond to the historical default rate in each of Handelsbanken's risk classes. However, it should be noted that the Bank performs its own credit assessment and that the comparison here is a model. This model applies only at portfolio level and not at individual level. Individual companies that also have a rating from Moody's may have been given a risk class that deviates from the comparison table. For institutional exposures, there are not sufficient internal defaults, and the rating comparison is instead based on customers with an external credit assessment. Since the comparison is model-based, it should also be noted that changes in the table may both depend on changes at Handelsbanken and on changes at Moody's, or a combination of the two. An analysis of the changes in this year's table indicate that they are mainly due to changes in the data-

base from Moody's which has been used in the model. The Bank has no method for transferring credit ratings for issues at counterparty level for use in the standardised approach.

Quality assurance of the credit risk model

The Bank performs a detailed annual review of its internal rating model. The review checks that the internal ratings on which the Bank's risk classification is based are applied in a consistent, correct and fit-for-purpose manner (evaluation) and also that the models used measure risk in a satisfactory manner (validation).

The purpose of evaluating internal ratings is to ensure that they function well as the central factor in the risk classification of the Bank's counterparties. For example, the analysis includes evaluating whether the rating reflects the risk in the counterparty, that customers are assessed equally regardless of where in the Bank the rating takes place, that the rules for rating are followed and that ratings are updated. The evaluation may highlight ratings in certain parts of the Bank or for certain types of counterparties, with measures being taken to remedy any deficiencies. Such measures may include more frequent, specifically targeted follow-up action, changes to rating instructions or adaptations to models.

The models and risk measurements on which these are based are validated at least annually. The validation aims to ensure that the risk classification system satisfactorily measures the risk in the different risk dimensions: PD, exposure amounts and LGD. They are primarily assessed to ascertain whether the outcomes observed during the past year confirm that the models applied by the Bank function as intended. To achieve this, a number of statistical tests are used with pre-defined threshold values, so that if there are deficiencies in the models, clear signals are given. The validation may necessitate changes to risk measurements, instructions or models.

The principles for evaluation and validation of the IRB Approach and entry models are set by Central Risk Control and approved by the Swedish Financial Supervisory Authority within

the framework of the permission to use the IRB Approach. Central Risk Control is responsible for the execution and reports the results of the evaluation and validation to the Bank's CEO, CFO, Board and risk committee. Reports and their execution are examined by Internal Audit as part of the audit of the Bank's IRB Approach to ensure compliance with the established principles. Upon request, evaluation, validation and audit reports are also submitted to the Swedish Financial Supervisory Authority.

Forecasts and outcomes in the IRB Approach

In the IRB Approach, the Bank's risks are calculated on the basis of internal experience and observations. The regulations define what the risk measures must reflect and how these are to be quantified. The internal models' forecasts and the actual outcomes are aggregated in the table and figures below at exposure class level to provide an overview of the models' function over a longer time period. The table and figures present forecasts and outcomes for loss rates (EL) per exposure class. The loss rates can be derived from PD, LGD and the exposure amount at default. The forecasts and outcomes refer to non-defaulted exposures at a given point in time and defaults arising within twelve months of this date. Forecasts and outcomes are at agreement level for retail exposures and at counterparty level for PD and LGD for corporate and institutional exposures. Regarding CCF for corporate exposures, forecasts and outcomes are at agreement level. The last reference date stated in the figures is 30 June 2015, which means that the outcome for the following twelve months is still not complete and is therefore not reported.

In order to make a forecast of how large the exposure amount will be at default, off-balance sheet commitments must be managed. For corporate exposures, this is done by multiplying the off-balance sheet part by the CCF and adding this to the exposure on the balance sheet. For retail exposures, it is done by multiplying the total credit limit by the CCF. For certain risk

Link between external and internal rating¹

Risk class	Corporate exposures				Institutional exposures
	Large corporates	Small and medium-sized companies	Property companies	Housing co-operative associations	
1	Aaa, Aa	Aaa, Aa	Aaa, Aa	Aaa, Aa	Aaa, Aa
2	Aaa, Aa	A	A	Aa, A	Aa, A
3	A, Baa	Baa	A, Baa	A, Baa	A
4	A, Baa	Baa, Ba	Baa	A, Baa	Baa
5	Baa, Ba	Ba	Baa, Ba	Baa, Ba	Baa, Ba
6	Ba	Ba, B	Ba, B	Baa, Ba	Ba
7	B	B, Caa	B, Caa	Ba, B	B
8	B, Caa	B, Caa	B, Caa	B	B, Caa
9	Caa, C	Caa, C	Caa, C	Caa, C	Caa, C

¹ Estimated link between internal risk classes and external rating based on factors such as historical default outcomes.

classes in the internal models with own estimates of CCF, there is a very small number of internal defaults. The figures show the forecasts and outcomes only for the risk classes where a sufficient number of defaults has been observed. Despite this, the outcomes for corporate exposures are based on a relatively small number of observations and to highlight this, the number per observation occasion is also indicated in the figure.

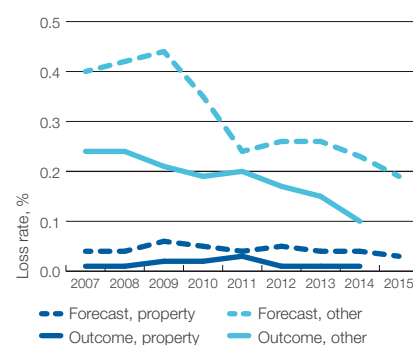
The forecasts show that the internal models generally work very well for predicting the Bank's losses with a margin of conservatism. The trends that can be discerned for the actual outcomes correspond to similar trends in the forecasts. For property exposures in the retail exposure class, EL outcomes are on average 67 per cent (65) lower than the forecast. For other retail exposures, the outcomes are on average 42 per cent (40) lower than the forecast, and for corporate exposures they are 35 per cent (34) lower. During the most recent periods, forecasts and outcomes have indicated a stable or decreasing loss rate for both types of retail exposures. This trend has generally been driven by decreasing default rates and loss rates given default, as shown by the figures.

For corporate exposures, a decrease in the EL forecast is observed at June 2015.

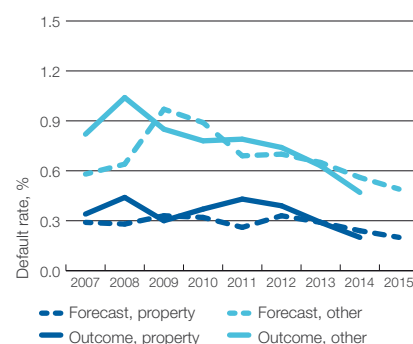
According to the regulations, PD reflects a long-term average risk of default and is thus not a forecast for an individual year. This means that the probability that the outcome in a certain year is higher than the forecast is much higher for PD than for the other risk parameters. The figure shows that outcomes are in line with forecasts, with a slight variation over time. The outcomes are 17 per cent (23) higher than the forecasts for property exposures and 9 per cent (13) higher for other exposures within the retail exposure class over the period observed. This can be explained by the fact that the forecasts of the long-term average relate to a longer period of time that goes back to before 2007, when a lower outcome was observed. It should be noted that the PD values for property exposures are of limited importance to the capital requirement since the Swedish Financial Supervisory Authority's risk weight floor for Swedish mortgage loans implies that the IRB Approach is in principle not applicable. For corporate exposures, the average outcome is 16 per cent (13) lower than the forecast during the period observed.

As regards LGD, the forecast according to the regulations reflects the expected loss given default in unfavourable economic conditions. Here it may be noted that there are considerable safety margins in relation to the loss levels observed since 2007. Average outcomes are 85 per cent (85) lower than the forecasts for property exposures, and 49 per cent (48) lower for other retail exposures. For corporate exposures, the outcomes are 45 per cent (48) lower than the forecasts. For retail exposures, the out-

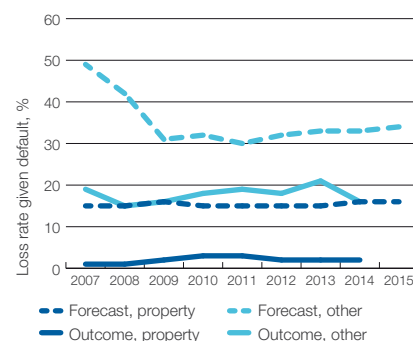
**Retail exposures
EL***



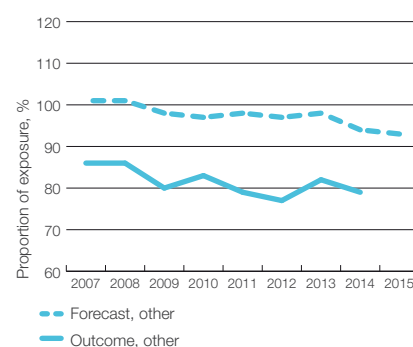
PD*



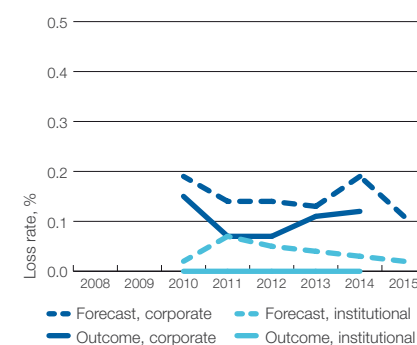
LGD*,**



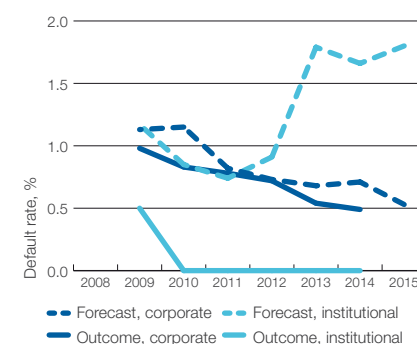
CCF*,**



**Corporate and Institutional exposures
EL**



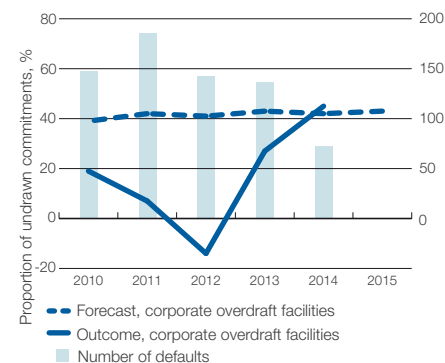
PD



LGD**



CCF**



* Excluding Handelsbanken Finans.

** The calculation method has been changed which has affected the values for previous years. The forecasts are now calculated as PD and exposure-weighted average values. The outcomes are calculated as exposure-weighted average values.

comes of CCF are 17 per cent (17) lower than the forecasts, and for corporate exposures the outcomes are 60 per cent (77) lower.

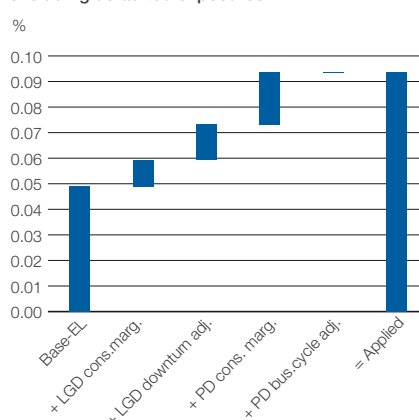
The expected loss rate according to the IRB Approach presented here does not in fact, despite its name, represent the most likely loss level for the Bank. One reason for this is that the PD values used according to the regulations are to correspond to a long-term average. Another reason is that a number of conservative safety adjustments are added to the value calculated using the Bank's IRB Approach. The main aim of these adjustments is to ensure that the Bank's internal model does not underestimate the actual risk.

The diagram on the right illustrates how these adjustments affect the calculated value for expected losses. It shows EL for all exposures approved for the IRB Approach, excluding defaulted exposures. The first column shows the expected EL value, this being EL based on the historical average default rates and loss rates given default per risk class, which is approximately 0.05 per cent (0.06). The next columns show how EL is affected when the safety margins, business cycle adjustments and regulatory "floors for applied PD levels" are introduced.

The safety margins are intended to ensure that the value applied does not underestimate the true risk because the statistical data on which the models are based is not sufficiently comprehensive. The business cycle and down-

turn adjustments take account of the fact that the measured default rates and loss rates given default may be expected to vary according to the business cycle, and the value used for risk weighting therefore need to be adjusted in relation to where in the business cycle the Bank's borrowers were in the period on which the calculations are based. The business cycle adjustment calculations for 2015 indicated that the estimates would be lowered. However, Handelsbanken applies the conservative principle of not lowering PD due to business cycle adjustment. In reality, this means there is an extra margin of conservatism.

Breakdown of EL for IRB-approved exposures excluding defaulted exposures



Predictions at 30 June 2014 and outcome for the following 12 months for risk parameters in the IRB Approach, Handelsbanken Finans excluded						
%	EL		PD		LGD ¹	
	Prediction at June 2014, excluding defaults	Loan losses and provisions for defaults for the following 12 months (proportion of total exposure after credit risk protection)	Prediction at June 2014	Outcome for the following 12 months	Prediction at June 2014 for defaults for the following 12 months	Outcome for defaults for the following 12 months
Exposure class						
Corporate	0.19	0.12	0.69	0.49	35	24
Retail, property	0.03	0.01	0.23	0.20	16	2
Retail, other	0.22	0.10	0.55	0.47	33	16
Institutions	0.03	0.00	1.66	0.00		

Predictions at 30 June 2013 and outcome for the following 12 months for risk parameters in the IRB Approach, Handelsbanken Finans excluded						
%	EL		PD		LGD ^{1, 2}	
	Prediction at June 2013, excluding defaults	Loan losses and provisions for defaults for the following 12 months (proportion of total exposure after credit risk protection)	Prediction at June 2013	Outcome for the following 12 months	Prediction at June 2013 for defaults for the following 12 months	Outcome for defaults for the following 12 months
Exposure class						
Corporate	0.13	0.11	0.68	0.54	40	45
Retail, property	0.04	0.01	0.29	0.29	15	2
Retail, other	0.26	0.15	0.65	0.63	33	21
Institutions	0.04	0.00	1.79	0.00		

¹ Predictions according to IRB Approach with own estimates of LGD and CCF.

² The calculation method has been changed which has affected the values for 2013. The forecasts are now calculated as PD and exposure-weighted average values. The outcomes are calculated as exposure-weighted average values.

COLLATERAL

When Handelsbanken assesses the credit risk of a specific customer, the assessment must start with the borrower's repayment capacity. According to the Bank's credit policy, weak repayment capacity can never be accepted on the grounds that good collateral has been offered to the Bank. Collateral may, however, substantially reduce the Bank's loss if the borrower cannot fulfil his or her obligations. Credits must therefore normally be adequately secured.

Unsecured credit is almost exclusively granted to customers with good repayment capacity. For unsecured long-term credit commitments to companies, the Bank often enters into an agreement with the customer on special credit terms which allow the Bank to renegotiate or terminate the loan in the case of unfavourable performance.

Since collateral is not generally utilised until a borrower faces serious repayment difficulties, the valuation of collateral focuses on the expected value in the case of a rapid sale in unfavourable circumstances in connection with insolvency. The value of certain assets may change considerably in an insolvency situation leading to a forced sale.

A large part of lending to credit institutions consists of reverse repos. A reverse repo is a repurchase transaction in which the Bank buys interest-bearing securities or equities with a special agreement that the security will be

resold to the seller at a specific price on a specific date. Handelsbanken regards reverse repos as secured lending.

In special circumstances, the Bank may buy credit derivatives or financial guarantees to hedge the credit risk in claims, but this is not part of the Bank's normal lending process.

Collateral and measures which reduce the capital requirement

Collateral for the exposures that are approved for the IRB Approach is managed according to two different calculation methods: the IRB Approach without own estimates of LGD and CCF or the IRB Approach with own estimates of LGD and CCF. Collateral affects the capital requirement in different ways in these two approaches. In the IRB Approach without own estimates of LGD and CCF, only certain types of collateral are eligible and the estimates for LGD are applied as prescribed in the regulations. The Bank does however accept other types of collateral than those considered eligible under the capital adequacy regulations.

When reporting according to the IRB Approach for exposures that are approved for the IRB Approach with own estimates of LGD and CCF, the Bank applies LGD estimates which it has calculated itself. For these exposures, most collateral types affect the risk-weighted exposure amount and the capital requirement.

The Bank follows up and regularly updates the market values of the collateral used for corporate exposures. A control procedure is established, whereby the market value of residential properties is checked at least every third year and that of any other type of property is checked every year. The value is checked more frequently when there are material changes in factors affecting the property market. For properties with an exposure exceeding EUR 3 million, a new valuation by an independent valuer is made at least every third year.

With the permission of the Swedish Financial Supervisory Authority, the Bank uses volatility adjustments (so-called haircuts) when calculating capital requirements according to the IRB Approach without own estimates of LGD and CCF for exposures that are secured by financial collateral. This means that in its capital requirement calculations, the Bank adjusts the value of financial collateral based on the historical volatility of the financial collateral instead of using the standardised volatility adjustments otherwise prescribed by the regulations. This method allows for better risk measurement when using financial collateral. Handelsbanken regularly monitors the concentration risk in individual securities. During the year, the additional concentration risk, measured as further indirect exposure according to the regulations for large exposures which has arisen by using financial collateral in the capital adequacy calculation,

Credit risk exposure on balance sheet, broken down by collateral SEK m	2015	2014
Residential property ¹	1 207 242	1 114 011
<i>of which private individuals</i>	845 481	782 821
Other property	293 936	271 041
Sovereigns, municipalities and county councils ²	313 475	603 319
Guarantees ³	8 627	18 876
Financial collateral	40 632	63 493
Collateral in assets	23 789	18 256
Other collateral ⁴	21 854	21 230
Unsecured ⁴	242 361	258 698
Total credit risk exposure on balance sheet	2 151 916	2 368 924

Loans to the public, broken down by collateral SEK m	2015	2014
Residential property ¹	1 207 242	1 114 011
<i>of which private individuals</i>	845 481	782 821
Other property	293 936	271 041
Sovereigns, municipalities and county councils ²	76 609	98 076
Guarantees ³	8 134	18 305
Financial collateral	16 797	22 035
Collateral in assets	23 789	18 256
Other collateral ⁴	21 854	21 230
Unsecured ⁴	218 106	244 882
Total loans to the public	1 866 467	1 807 836

¹ Including housing co-operatives.

² Refers to direct sovereign exposures and government guarantees.

³ Does not include government guarantees.

⁴ Comparative numbers are changed due to changed calculation method.

has on no occasion exceeded 0.8 per cent (0.8) of own funds.

An IRB Approach with own estimates of LGD and CCF is used for retail exposures, where the exposures are categorised into various groups, partly based on the existence of collateral. For most of the property collateral, a segmentation is made based on the loan-to-value of the collateral. The LGD of the exposure is established on the basis of these groups.

For corporate exposures and institutional exposures, the capital requirement is reduced when collateral exists through an adjustment of either PD or LGD. The PD is adjusted in cases where there are approved protection providers, for example, the issuer of a guarantee or surety as for own debt, with a lower PD value than the borrower. For other types of collateral, the LGD is adjusted.

Handelsbanken has also entered into a large number of so-called netting agreements with, for example, institutional counterparties, thus reducing the exposure. Information concerning the netting effect is presented in the section on Counterparty risk.

Exposures approved for the IRB Approach

For capital requirement calculation of corporate exposures, property mortgages correspond to approximately 51 per cent (48) of the exposure amount. The equivalent figure for financial collateral, mainly in the form of repos, is approximately 2 per cent (2) and is some 6 per cent (8) for guarantees and other collateral.

For retail exposures, mortgages on property – mainly residential – account for around 89 per cent (88) of the exposure amount. Of the remaining exposure amounts, around 1 percentage (1) point can be divided up into some form of collateral, whilst the other 10 percentage (11) points are given an LGD value based on other terms. These terms are chiefly determined by factors such as the type of borrower, type of credit or number of borrowers.

For institutional exposures, financial collateral covers some 54 per cent (62) of the exposure amount. The corresponding figure for guarantees is approximately 3 per cent (2).

Of the exposures that are covered by guarantees, totalling SEK 84,112 million (103,637), SEK 64,540 million (74,708) relates to guaran-

tees from states and municipalities, SEK 6,697 million (5,268) relates to guarantees from institutions, and SEK 12,875 million (23,661) relates to guarantees from companies. Companies with a PD below 0.25 per cent are approved as guarantors in the calculation of capital requirements according to the IRB Approach.

If an exposure is covered by several cases of collateral and no individual collateral has an approved collateral value according to the capital adequacy calculation which covers the total exposure, the exposure is divided up into one sub-exposure per collateral. The capital requirement is then calculated by sub-exposure, based on the existence of collateral.

Exposures calculated according to the standardised approach

For exposures which are reported in the institutional, corporate and retail exposure categories according to the standardised approach, and exposures secured by property, collateral totals about 59 per cent (56) of the reported exposure value, of which approximately 4 percentage (3) points refer to guarantees.

Collateral which reduces the capital requirement, IRB-approved exposures		2015		2014	
SEK m	Type of collateral	Exposure amount covered by collateral ¹	Proportion of exposure amount (%)	Exposure amount covered by collateral	Proportion of exposure amount (%)
Corporate exposures	- Guarantees	79 424	6	98 490	8
	- Receivables	731	0	620	0
	- Financial collateral	22 334	2	26 492	2
	- Property	641 370	51	588 707	48
Retail exposures	- Guarantees	0	0	0	0
	- Residential property ¹	817 854	89	763 760	88
Institutional exposures	- Guarantees	3 175	3	3 276	2
	- Financial collateral	67 791	54	87 380	62
	- Property	0	0	0	0
Securitisation positions	- Guarantees	1 513	98	1 871	87
Total		1 634 192	70	1 570 596	70

¹ Including housing co-operatives.

Collateral which reduces the capital requirement, exposures calculated according to the standardised approach		2015		2014	
SEK m	Type of collateral	Exposure value covered by collateral	Proportion of exposure value (%)	Exposure value covered by collateral	Proportion of exposure value (%)
Sovereign & central banks	- Financial collateral	7 142	3	4 194	1
	- Guarantees	194	4	80	3
Institutions	- Financial collateral	733	14	0	0
	- Guarantees	2 699	12	1 543	6
Corporate	- Financial collateral	100	1	2 504	10
	- Guarantees	240	1	193	1
Retail	- Financial collateral	645	2	451	2
	- Property	72 466	100	59 057	100
Total		84 221	21	68 022	10

For all exposures calculated using the standardised approach, the regulations state a risk weight based on the exposure class of the counterparty.

Loan-to-value for property lending

For property financing, like all granting of credit, Handelsbanken's credit assessment is always based on the borrower's repayment capacity. There are also internal recommendations for the maximum permitted loan-to-value ratio (LTV). For mortgage loans to private individuals, the Bank follows the supervisory authority's regulations such as the mortgage ceiling.

The following recommendations concerning maximum LTVs for property financing apply to the whole Handelsbanken Group. The LTV is based on the market value.

- Multi-family dwellings, including housing co-operative associations, 75 per cent.
- Commercial and office property, 60 per cent.
- Family farms, forest and agricultural properties, 75 per cent.

The recommended LTVs correspond to what is applied at Stadshypotek. At the time of granting the credit, LTVs which exceed the recommendations are never permitted at Stadshypotek.

For loans in the Bank, LTVs which exceed the recommendations may occur, but must be specially justified.

The value of industrial and warehouse property and undeveloped land may often be much more volatile than for other property, partly due to the location, alternative use, etc. The LTV should therefore be well below 60 per cent. Financing of

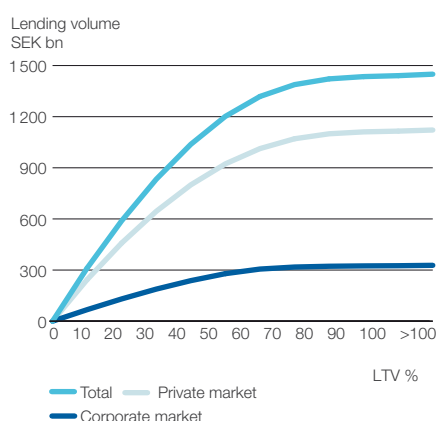
industrial and warehouse property and undeveloped land is only permitted in the Bank.

The adjoining tables and graphs below illustrate a breakdown of loan volumes based on the LTVs applied for all property lending in Handelsbanken's home markets. An accumulated breakdown of the LTVs at 31 December 2015 is also presented. The graph shows that a very heavy fall in prices of property would be required for large parts of the lending volume to exceed a 100 per cent LTV.

The LTV shows all lending secured by collateral in relation to its market value. The calculation takes account of any pledging with other credit institutions. The market value used is the most recent valuation, where older valuations are indexed, or for large numbers of residential property, a statistical valuation of the portfolio is applied. In addition to distributing the loan volume by LTVs, the average LTV at Handelsbanken is calculated by weighting each property's highest LTV according to the principal debt (LTV Max).

LTV Mid is a calculated average of LTVs per property where the total principal debt is split into a large number of LTV intervals and the LTV is calculated as an average of the proportion of the principal debt which is in each interval. LTV Mid can be regarded as the average LTV for one lent krona at Stadshypotek. The graph shows that Handelsbanken has by far the greatest volume of its property volumes in the LTV interval which is below 50 per cent. The graph also shows that in the case of major falls in property prices, Handelsbanken's property lending will to a very high degree be fully secured by property mortgages. If an institution has all its lending with first priority, LTV Mid is half of LTV Max. The table below shows that LTV Mid is almost half of LTV Max, which means that almost all of Handelsbanken's loans have the highest priority mortgages.

Cumulative breakdown of property lending by LTV in Handelsbanken's home markets



Breakdown of property lending by LTV (LTV Mid), and property type, in Handelsbanken's home markets



Breakdown of property lending by LTV and market type in Handelsbanken's home markets

%	2015			2014		
	Residential property	Commercial property	Total	Residential property	Commercial property	Total
0-40%	71.3	72.6	71.6	68.5	71.0	69.1
41-60%	19.0	20.7	19.4	20.3	21.0	20.5
61-75%	6.7	4.5	6.2	8.3	5.2	7.6
>75%	3.0	2.2	2.8	2.8	2.8	2.8
LTV Max	58.1	57.0	57.9	60.4	59.1	60.1
LTV Mid	29.5	28.6	29.3	30.6	29.7	30.4

LTV Max The highest loan-to-value of the property is weighted according to the principal debt.

LTV Mid The collateral level breakdown of the property is weighted according to the principal debt within the collateral level interval.

LTV for property lending in Handelsbanken's home markets if property prices fall by 10 per cent

LTV Max	64.6	63.4	64.3
LTV Mid	32.7	31.8	32.5

LTV Max The highest loan-to-value of the property is weighted according to the principal debt.

LTV Mid The collateral level breakdown of the property is weighted according to the principal debt within the collateral level interval.

CREDIT PORTFOLIO**Breakdown of the portfolio**

The Bank's credit portfolio is presented in this section based on the balance sheet item categories. The section on Capital requirements for

credit risks on page 29 presents the credit portfolio based on CRR.

Based on the balance sheet, credits are categorised as loans to the public and loans to credit institutions and off-balance sheet items

divided into the type of product. In a capital adequacy context, they are categorised as exposure classes specified by the regulations for each calculation method. Exposure means the sum of items on and off the balance sheet.

Credit risk exposures SEK m	2015	2014
Loans to the public ¹	1 866 467	1 807 836
<i>of which reverse repos</i>	7 742	23 858
Loans to other credit institutions	49 656	70 339
<i>of which reverse repos</i>	23 394	42 138
Unutilised part of granted overdraft facilities ²	129 216	102 778
Committed loan offers	267 200	271 001
Other commitments	24 441	14 134
Guarantees, credits	9 750	10 335
Guarantees, other	61 274	60 033
Letters of credit	6 433	5 369
Derivatives ²	85 347	116 124
Treasury bills and other eligible bills	74 777	78 219
Bonds and other fixed-income securities	44 513	63 725
Total	2 619 074	2 599 893
Cash and balances with central banks	202 630	454 532
Other loans to central banks	34 118	51 047
Total	2 855 822	3 105 472

¹ SEK 1,619m (2,181) of this amount is loans which upon initial recognition were classified at fair value in the income statement.

² Refers to the total positive market values. Including legally viable netting agreements, the exposure is SEK 59,687m (SEK 70,478m).

Geographical breakdown 2015	Loans					Off-balance-sheet commitments						
	Public	Credit institutions excl. central banks	Cash and balances with central banks	Other lending to central banks	Derivative instruments	Investments	Guarantees	Committed loan offers etc.	Unutilised part of granted overdraft fac.	Letters of credit	Other	Total
SEK m												
Sweden	1 214 093	17 513	174	15 998	84 435	87 522	24 897	137 606	89 522	3 650	16 816	1 692 226
UK	194 069	610	55 538	364	77	-	6 636	36 565	6 235	40	2 768	302 902
Denmark	82 854	61	113	15 653	42	7	4 099	12 088	8 155	166	0	123 238
Finland	115 090	42	44 823	-	118	0	3 974	18 028	7 059	175	170	189 479
Norway	209 327	189	6 101	2 103	-	-	6 890	30 262	16 228	114	4 687	275 901
Netherlands	22 344	-	377	-	-	-	1 040	6 241	212	-	-	30 214
Germany	5 336	264	111	-	-	-	3 303	5 432	342	21	-	14 809
Poland	2 396	4	41	-	-	-	1 038	1	139	-	-	3 619
USA	4 233	24 776	94 626	-	471	30 744	14 758	15 310	375	1 395	-	186 688
Other countries	16 725	6 197	726	-	204	1 017	4 389	5 667	949	872	-	36 746
Total	1 866 467	49 656	202 630	34 118	85 347	119 290	71 024	267 200	129 216	6 433	24 441	2 855 822

Geographical breakdown 2014	Loans					Off-balance-sheet commitments						
	Public	Credit institutions excl. central banks	Cash and balances with central banks	Other lending to central banks	Derivative instruments	Investments	Guarantees	Committed loan offers etc.	Unutilised part of granted overdraft fac.	Letters of credit	Other	Total
SEK m												
Sweden	1 194 402	18 368	253	6 926	115 104	112 376	25 033	124 761	72 334	2 483	14 134	1 686 174
UK	169 596	575	55 779	342	88	-	5 986	31 077	5 659	48	-	269 150
Denmark	79 030	85	111	28 021	66	5	3 531	28 443	-	220	-	139 512
Finland	115 087	163	69 176	-	108	-	4 912	18 817	6 494	216	-	214 973
Norway	204 067	428	2 353	15 758	-	-	6 748	37 219	15 729	92	-	282 394
Netherlands	18 504	-	11 971	-	0	-	823	6 536	160	-	-	37 994
Germany	5 228	227	87	-	-	-	3 570	3 776	711	53	-	13 652
Poland	2 255	6	35	-	-	-	1 204	1	83	-	-	3 584
USA	2 716	43 323	312 770	-	496	28 570	14 024	14 451	339	1 723	-	418 412
Other countries	16 951	7 164	1 997	-	262	993	4 537	5 920	1 269	534	-	39 627
Total	1 807 836	70 339	454 532	51 047	116 124	141 944	70 368	271 001	102 778	5 369	14 134	3 105 472

Loans to the public, breakdown by sector	2015			2014		
	Loans before deduction of provisions	Provisions for probable loan losses	Loans after deduction of provisions	Loans before deduction of provisions	Provisions for probable loan losses	Loans after deduction of provisions
SEK m						
Private individuals	912 517	-755	911 762	852 466	-813	851 653
<i>of which mortgage loans</i>	736 768	-31	736 737	683 991	-30	683 961
<i>of which other loans with property mortgages</i>	107 591	-146	107 445	99 063	-101	98 962
<i>of which other loans, private individuals</i>	68 158	-578	67 580	69 412	-682	68 730
Housing co-operative associations	169 595	-20	169 575	153 058	-21	153 037
<i>of which mortgage loans</i>	148 064	-7	148 057	136 748	-9	136 739
Property management	511 308	-697	510 611	485 377	-589	484 788
Manufacturing	33 540	-1 542	31 998	38 508	-726	37 782
Retail	24 236	-267	23 969	27 736	-343	27 393
Hotel and restaurant	8 981	-30	8 951	8 299	-25	8 274
Passenger and goods transport by sea	10 354	-543	9 811	12 221	-405	11 816
Other transport and communication	11 195	-60	11 135	20 184	-39	20 145
Construction	15 500	-92	15 408	15 225	-114	15 111
Electricity, gas and water	26 560	-52	26 508	24 888	-24	24 864
Agriculture, hunting and forestry	11 318	-15	11 303	10 703	-16	10 687
Other services	19 789	-66	19 723	20 241	-42	20 199
Holding, investment, insurance companies, mutual funds etc.	71 179	-282	70 897	71 945	-187	71 758
Sovereigns and municipalities	22 452	0	22 452	35 627	0	35 627
Other corporate lending	22 759	-117	22 642	35 469	-483	34 986
Total loans to the public, before collective provisions	1 871 283	-4 538	1 866 745	1 811 947	-3 827	1 808 120
Collective provisions for individually assessed loans			-278			-284
Total loans to the public	1 871 283		1 866 467	1 811 947		1 807 836

Loans to the public after deduction of provisions, geographical breakdown by sector 2015								
SEK m	Sweden	UK	Denmark	Finland	Norway	Netherlands	Other countries	Total
Private individuals	682 992	57 273	46 352	34 317	80 150	5 867	4 811	911 762
<i>of which mortgage loans</i>	635 871	0	29 001	21 083	50 782	0	0	736 737
<i>of which other loans with property mortgages</i>	14 023	45 685	13 276	8 806	16 222	5 532	3 901	107 445
<i>of which other loans, private individuals</i>	33 098	11 588	4 075	4 428	13 146	335	910	67 580
Housing co-operative associations	137 604	0	552	16 947	14 472	0	0	169 575
Property management	244 996	115 262	13 726	28 682	85 729	14 538	7 678	510 611
Manufacturing	15 401	2 692	1 443	3 386	2 565	1 059	5 452	31 998
Retail	12 304	4 596	1 367	1 688	2 969	0	1 045	23 969
Hotel and restaurant	2 507	3 218	1 734	268	153	0	1 071	8 951
Passenger and goods transport by sea	3 612	6	1 002	2 626	2 520	0	45	9 811
Other transport and communication	5 734	625	1 184	947	2 282	362	1	11 135
Construction	6 606	2 006	550	865	5 064	0	317	15 408
Electricity, gas and water	9 908	406	76	8 540	6 729	184	665	26 508
Agriculture, hunting and forestry	9 481	1 512	120	123	18	0	49	11 303
Other services	11 939	3 986	1 433	1 241	1 114	0	10	19 723
Holding, investment, insurance companies, mutual funds etc.	49 996	982	9 700	3 449	1 446	110	5 214	70 897
Sovereigns and municipalities	10 918	0	1	11 335	198	0	0	22 452
Other corporate lending	10 231	1 547	3 637	704	3 962	225	2 336	22 642
Total loans to the public, before collective provisions	1 214 229	194 111	82 877	115 118	209 371	22 345	28 694	1 866 745
Collective provisions for individually assessed loans	-137	-42	-23	-28	-44	-1	-3	-278
Total loans to the public	1 214 092	194 069	82 854	115 090	209 327	22 344	28 691	1 866 467

Securitisation

Handelsbanken has limited exposures which are securitisations. These are holdings in bonds and other debt instruments issued by special purpose vehicles. These exposures are mainly in the Bank's liquidity portfolio. Existing holdings mature at regular intervals and no new investments are made in securitisations. The purpose of the holdings is to utilise them as collateral with various central banks and thus create

liquidity facilities. The Bank has no securitisations of its own.

Handelsbanken has applied the IRB Approach for capital adequacy for securitisations in other operations since the fourth quarter of 2008.

All securitised exposures were acquired prior to 2008. Handelsbanken's total exposure in securitisation positions after credit risk protection amounts to SEK 28 million (269). All posi-

tions are in the role of investor. The risk weight for positions in securitisations is determined on the basis of external credit rating using the external rating approach. Handelsbanken has no resecuritisations.

All risks related to securitisation positions are managed in the same way as the Bank's other processes, since the limited extent of these positions does not justify separate processes.

Securitisation positions in other operations by risk weight 2015		Risk weight		
SEK m	Exposure amount	7-10%	12-850%	1 250%
Traditional securitisation	28	28	-	-
Synthetic securitisation	-	-	-	-
Total IRB	28	28	-	-

Securitisation positions in trading portfolio by risk weight 2015		Risk weight		
SEK m	Exposure amount	7-10%	12-850%	1 250%
Securitisation	-	-	-	-
Total	-	-	-	-

Securitisation positions in other operations by risk weight 2014		Risk weight		
SEK m	Exposure amount	7-10%	12-850%	1 250%
Traditional securitisation	269	219	50	-
Synthetic securitisation	-	-	-	-
Total IRB	269	219	50	-

Securitisation positions in trading portfolio by risk weight 2014		Risk weight		
SEK m	Exposure amount	7-10%	12-850%	1 250%
Securitisation	23	23	-	-
Total	23	23	-	-

Credit risk concentrations

Handelsbanken's branches focus strongly on establishing long-term relationships with customers of sound creditworthiness. If a branch identifies a good customer, it should be able to do business with this customer, irrespective of whether the Bank as a whole has major exposure to the business sector that the customer represents. In granting credit the Bank thus has no built-in restrictions to having relatively extensive exposures in individual sectors. The Bank monitors and calculates concentration risks continually for various business sectors, geographic areas and individual major exposures. Concentration risks are identified in the Bank's calculation of economic capital for credit risks and in the stress tests conducted in the internal capital adequacy assessment. The Swedish Financial Supervisory Authority also calculates a separate capital adequacy supplement under Pillar 2 for concentration risks in the credit portfolio. This ensures that Handelsbanken has sufficient capital, also taking into account concentration risks. If the concentration risks are judged to be excessive, the Bank has the

opportunity and capacity to reduce them using various risk mitigation measures.

In addition to mortgage loans and lending to housing co-operative associations, Handelsbanken has considerable lending operations for property management (SEK 511 billion). Property management refers here to all companies assessed for credit purposes as "property companies". It is common for groups of companies operating in other industries to have subsidiaries managing the properties in which the group conducts business, and such property companies are also considered here to belong to property management. However, the underlying credit risk in such cases is not only property-related.

A large proportion of property lending is to government-owned property companies, municipal housing companies and other housing-related operations where the borrowers consistently have strong, stable cash flows and thus very high creditworthiness. A large part of lending to the property sector is therefore to companies with a very low probability of default and low LTVs. The Bank's exposure to the property sector is specified in the tables below.

The proportion of exposures to property counterparties with a poorer rating than the Bank's risk class 5 (normal risk) is very low. 99 per cent (98) of total property lending in Sweden is in risk class 5 or better. The corresponding figures for property lending in the UK are 96 per cent (93), Denmark 94 per cent (94), Finland 98 per cent (99), Norway 97 per cent (96) and the Netherlands 98 per cent (98). For counterparties in poorer risk classes than normal, the majority are in risk classes 6 or 7 with only small volumes in the higher risk classes 8 and 9.

In the past few years, Handelsbanken has seen major credit growth in the UK as a result of an expansion of the branch network. A relatively large part of the growth has been in property-related credits. In its expansion, Handelsbanken has had the same strict requirements on repayment capacity and collateral quality as in its other home markets. The result of this is a high concentration of customers in good risk classes and a loan loss ratio in line with other home markets.

For information about LTVs in property management, see page 19.

Specification loans to the public – Property management	2015			2014		
	Loans before deduction of provisions	Provisions for probable loan losses	Loans after deduction of provisions	Loans before deduction of provisions	Provisions for probable loan losses	Loans after deduction of provisions
SEK m						
Loans in Sweden						
State-owned property companies	5 042	-	5 042	5 684	-	5 684
Municipal-owned property companies	12 242	-	12 242	16 926	-	16 926
Residential property companies	91 484	-35	91 449	87 797	-19	87 778
<i>of which mortgage loans</i>	77 367	-4	77 363	70 370	-3	70 367
Other property management	136 333	-71	136 262	131 710	-105	131 605
<i>of which mortgage loans</i>	61 993	-7	61 986	64 392	-5	64 387
Total loans in Sweden	245 101	-106	244 995	242 117	-124	241 993
Loans outside Sweden						
UK	115 669	-408	115 261	102 152	-255	101 897
Denmark	13 816	-89	13 727	14 446	-127	14 319
Finland	28 704	-22	28 682	27 483	-28	27 455
Norway	85 787	-58	85 729	79 859	-43	79 816
Netherlands	14 539	-	14 539	11 423	-	11 423
Other countries	7 692	-14	7 678	7 897	-12	7 885
Total loans outside Sweden	266 207	-591	265 616	243 260	-465	242 795
Total loans – property management	511 308	-697	510 611	485 377	-589	484 788

Specification loans to the public – Property management Type of collateral and country	2015					2014				
	Companies owned by government and municipality/ property lending guaranteed by government and municipality		Multi-family dwellings/ residential property	Commercial properties and other collateral	Unsecured	Companies owned by government and municipality/ property lending guaranteed by government and municipality		Commercial properties and other collateral	Commercial properties and other collateral	Unsecured
SEK m	Total					Total				
Sweden	245 101	18 746	99 658	111 881	14 816	242 117	24 669	92 972	111 558	12 918
UK	115 669	0	52 582	59 053	4 034	102 152	0	45 577	53 320	3 255
Denmark	13 816	0	7 717	4 870	1 229	14 446	0	7 113	5 563	1 770
Finland	28 704	11 117	4 577	12 247	763	27 483	9 827	3 902	12 959	795
Norway	85 787	0	12 209	64 187	9 391	79 859	0	12 350	56 996	10 513
Netherlands	14 539	0	7 286	6 904	349	11 423	0	4 451	6 943	29
Other countries	7 692	531	580	5 819	762	7 897	557	579	5 542	1 219
Total	511 308	30 394	184 609	264 961	31 344	485 377	35 053	166 944	252 881	30 499

Specification – Loans to the public – Property management, risk class and country 2015
SEK m

Risk class	Sweden	UK	Denmark	Finland	Norway	Netherlands	Other countries	Total	%	Accum.% of total
1	20 034	943	53	2 903	1 127	115	1 044	26 219	5.13	5
2	73 556	22 677	829	11 365	18 026	1 942	3 249	131 644	25.75	31
3	92 801	56 376	6 197	11 006	45 263	10 247	2 869	224 759	43.96	75
4	43 115	24 298	4 338	1 619	15 418	1 873	172	90 833	17.76	93
5	12 592	6 249	1 548	1 125	3 430	75	289	25 308	4.95	98
6	1 606	1 939	289	401	1 444	221	30	5 930	1.16	99
7	889	1 331	190	118	793	66	0	3 387	0.66	99
8	161	363	26	17	91	0	0	658	0.13	99
9	107	87	8	9	15	0	2	228	0.04	100
Defaults	240	1 406	338	141	180	0	37	2 342	0.46	100
Total	245 101	115 669	13 816	28 704	85 787	14 539	7 692	511 308	100	

Specification – Loans to the public – Property management, risk class and country 2014
SEK m

Risk class	Sweden	UK	Denmark	Finland	Norway	Netherlands	Other countries	Total	%	Accum.% of total
1	20 614	984	73	3 263	1 390	164	1 047	27 535	5.67	6
2	74 952	22 468	850	10 904	16 038	1 751	3 762	130 725	26.93	33
3	88 932	46 474	7 088	10 274	40 298	8 157	2 523	203 746	41.98	75
4	39 221	18 286	3 738	1 854	14 648	1 059	176	78 982	16.27	91
5	14 602	7 090	1 821	794	4 089	16	308	28 720	5.92	97
6	1 962	3 198	209	236	2 186	26	42	7 859	1.62	98
7	1 130	1 689	166	54	851	250	0	4 140	0.85	99
8	294	669	144	37	116	0	0	1 260	0.26	100
9	111	102	60	7	12	0	0	292	0.06	100
Defaults	299	1 192	297	60	231	0	39	2 118	0.44	100
Total	242 117	102 152	14 446	27 483	79 859	11 423	7 897	485 377	100	

Specification – Loans to the public – Property management, risk class, type of collateral and unsecured 2015
SEK m

Risk class	Loans		Collateral			
		Multi-family dwellings/ residential property	Commercial property	Guarantee from government or municipality	Other collateral	Unsecured
1	26 219	14 662	6 208	3 355	188	1 806
2	131 644	49 028	57 171	10 543	2 527	12 375
3	224 759	81 039	124 876	5 296	4 115	9 433
4	90 833	32 732	52 902	682	755	3 762
5	25 308	9 133	13 189	420	340	2 226
6	5 930	1 279	4 034	14	52	551
7	3 387	899	2 222	0	50	216
8	658	236	270	0	16	136
9	228	40	92	3	2	91
Defaults	2 342	579	890	0	49	824
Total	511 308	189 627	261 854	20 313	8 094	31 420

Specification – Loans to the public – Property management, risk class, type of collateral and unsecured 2014
SEK m

Risk class	Loans		Collateral			
		Multi-family dwellings/ residential property	Commercial property	Guarantee from government or municipality	Other collateral	Unsecured
1	27 535	15 403	5 616	4 558	139	1 819
2	130 725	45 759	60 303	10 956	3 195	10 512
3	203 746	72 906	109 122	5 210	4 926	11 582
4	78 982	26 337	43 371	920	4 588	3 766
5	28 720	9 553	14 612	619	2 402	1 534
6	7 859	1 807	5 221	12	533	286
7	4 140	1 022	2 680	0	234	204
8	1 260	257	672	0	12	319
9	292	110	138	6	2	36
Defaults	2 118	758	813	0	45	502
Total	485 377	173 912	242 548	22 281	16 076	30 560

IMPAIRMENTS AND PAST DUE LOANS

Loans are defined as impaired if contracted cash flows are not likely to be fulfilled. The full amount of all loans which have been classified as impaired are carried as impaired loans even if parts of the loan are covered by collateral. This means that the reserve ratio (provisions for probable loan losses as a proportion of impaired loans) does not provide an indication of the remaining risk of loss. Loans which have been written off as actual loan losses are not included in impaired loans.

All units with customer and credit responsibility in the Handelsbanken Group regularly perform individual assessments of the need for recognising impairment losses for loans and receivables that are recognised at amortised cost. Impairment testing is performed where there is objective evidence that the recoverable amount of the loan is less than its carrying amount. Objective evidence could, according to the circumstances, be late or non-payment, bankruptcy, changed credit rating, or a decline in the market value of the collateral.

When performing impairment testing, the recoverable value of the loan is calculated by discounting the estimated future cash flows related to the loan and any collateral (including guarantees) by the effective interest rate of the loan. If the collateral is a listed asset, the valuation of the collateral is based on the quoted price; otherwise the valuation is based on the yield value or the market value estimated in some other manner. Collateral in the form of property mortgages is valued in the same way as repossessed real property. An impairment loss is recognised if the estimated recoverable amount is less than the carrying amount and is recognised as a loan loss in profit or loss. A reported loan loss reduces the carrying amount of the loan in the balance sheet, either through a direct write-off (actual loan loss) or by a provision account for loan losses (probable loan loss).

Information concerning repossessed property to protect claims can be found in note G10, Loan losses, in the Annual Report.

In addition to the above-mentioned assessment of individual loans, a collective assessment is made of individually valued loans and of homogeneous groups of loans with a similar risk profile, with the purpose of identifying the need to recognise an impairment loss that cannot yet be allocated to individual loans. If necessary, a group impairment is recognised for the group of loans. This impairment loss is based on events that have occurred and that signal lower credit-worthiness but that have not been observed individually and where no default has actually occurred. The provisioned amount is based on the change in expected loss in the case of rating migration to risk classes that are poorer than normal risk. Impairment losses which have been recognised for a group of loans are transferred to impairment losses for individual loans as soon as there is information that a provision at an individual level is needed.

Loan losses for the period comprise actual losses and probable losses on credits granted, minus recoveries and reversals of previous impairment losses recognised for probable loan losses. Actual loan losses may refer to entire loans or parts of loans and are recognised when there is no realistic possibility of recovery. This is the case, for example, when a trustee in bankruptcy has estimated bankruptcy dividends, a scheme of arrangement has been accepted or the receivable has been waived in some other way. An amount forgiven in connection with reconstruction of a loan or group of loans is always classified as an actual loss. If the customer is following a payment plan for a loan which was already previously classified as an actual loan loss, the amount of the loss is subject to new testing.

Recoveries comprise reversed amounts on loan losses previously reported as actual losses.

Information about probable and actual losses is provided in note G10, Loan losses, in the Annual Report.

Impairment losses on available-for-sale financial assets are recognised when there is objective evidence that one or more events of default have occurred with an impact on expected future cash flows for the asset. For interest-bearing financial assets, examples of events of default are that the Bank has deemed it probable that the borrower will go into bankruptcy, or there is evidence that the issuer has major financial difficulties. For equity instruments, a permanent or considerable decline in the fair value is an indication of the need to recognise an impairment loss. When recognising an impairment loss, the part of the cumulative loss that was previously recognised in the fair value reserve in equity (corresponding to the difference between the acquisition cost and the current fair value less any previous impairment loss) is recognised in the income statement.

Previously recognised impairment losses on interest-bearing securities classified as available-for-sale financial assets are reversed in the income statement if the fair value of the asset has increased since the impairment loss was recognised and the increase can be objectively related to an event occurring after the impairment loss was recognised. Previous impairment losses on equity instruments classified as available-for-sale financial instruments are not reversed.

In the below tables – Maturity structure for past due loans which are not impaired – the breakdown of the volumes in question is based on the balance sheet. For past due loans that are not impaired loans, the assessment is that contracted payments will probably be fulfilled.

This year's loan losses were somewhat lower than the previous year. To a large extent, the loan losses relate to only a few credit exposures.

Information about past due loans

Maturity structure for past due loans which are not impaired 2015		Loans to the public			
SEK m	Loans to credit institutions	Retail	Corporate	Other	Total
Past due ≥5 days ≤1 month	-	1 868	692	1	2 561
Past due >1 month ≤2 months	-	213	68	-	281
Past due >2 months ≤3 months	-	141	29	-	170
Past due >3 months ≤12 months	-	340	107	-	447
Past due >12 months	-	360	241	-	601
Total	-	2 922	1 137	1	4 060

Maturity structure for past due loans which are not impaired 2014		Loans to the public			
SEK m	Loans to credit institutions	Retail	Corporate	Other	Total
Past due ≥5 days ≤1 month	-	2 615	2 989	50	5 654
Past due >1 month ≤2 months	-	312	152	0	464
Past due >2 months ≤3 months	-	202	383	-	585
Past due >3 months ≤12 months	-	609	224	-	833
Past due >12 months	-	508	207	-	715
Total	-	4 246	3 955	50	8 251

Past due exposures, provisions for probable losses and impact on profit/loss for IRB-approved exposures, by exposure classes 2015	Past due >5 days, exposure amount	Exposure amount on agreement for provision	Provision probable losses	Impact on profit/loss 2015	
				Gross provision ¹	Net incl. reversals
SEK m					
Corporate exposures	6 737	5 884	3 326	-1 482	-1 185
Retail exposures	3 887	1 723	1 121	-313	-246
private individuals	3 136	1 177	757	-193	-149
of which property loans	2 398	271	174	-85	-66
of which other	738	906	583	-108	-83
small companies	751	546	391	-120	-97
of which property loans	283	242	173	-59	-51
of which other	468	304	218	-61	-46
Institutional exposures	87	0	0	0	0
Securitisation positions	0	0	0	0	0
Total	10 711	7 607	4 447	-1 795	-1 431

Past due exposures, exposures with impairment losses and impact on profit/loss for non-IRB-approved exposures using the standardised approach 2015	Exposures with provision	Provision probable losses	Impact on profit/loss 2015	
			Gross provision ¹	Net incl. reversals
SEK m				
Past due items	159	91	-37	-29

Past due exposures, provisions for probable losses and impact on profit/loss for IRB-approved exposures, by exposure classes 2014	Past due >5 days, exposure amount	Exposure amount on agreement for provision	Provision probable losses	Impact on profit/loss 2014	
				Gross provision ¹	Net incl. reversals
SEK m					
Corporate exposures	6 727	5 409	2 537	-1 562	-1 393
Retail exposures	5 143	1 935	1 209	-379	-296
private individuals	4 498	1 341	823	-262	-211
of which property loans	2 425	235	144	-17	-14
of which other	2 073	1 106	679	-245	-197
small companies	645	594	428	-117	-85
of which property loans	267	239	172	-42	-30
of which other	378	355	256	-75	-55
Institutional exposures	55	0	0	0	0
Securitisation positions	0	0	0	0	48
Total	11 925	7 344	3 746	-1 941	-1 641

Past due exposures, exposures with impairment losses and impact on profit/loss for non-IRB-approved exposures using the standardised approach 2014	Exposures with provision	Provision probable losses	Impact on profit/loss 2014	
			Gross provision ¹	Net incl. reversals
SEK m				
Past due items	212	81	-41	-36

¹ Gross provisions refer to probable losses which have reduced the year's profits, excluding reversals.

Information about impaired and/or loans past due for more than 60 days

Impaired loans and loans which are overdue by more than 60 days, geographic breakdown 2015	Impaired loans				Loans past due >60 days, which are not impaired
	Gross	Provisions	Net ¹	Of which past due >60 days	
SEK m					
Sweden	3 229	-2 156	1 073	445	396
Norway	208	-130	78	46	181
Finland	973	-679	294	199	400
Denmark	2 803	-1 040	1 763	216	18
UK	1 437	-447	990	307	168
Netherlands	2	-1	1	-	-
Rest of Europe	192	-85	107	104	53
North America	-	-	-	-	-
Asia	-	-	-	-	2
Total	8 844	-4 538	4 306	1 317	1 218

¹ Carrying amount after taking into account specific provisions for individually valued loans and provisions for collectively valued loans but excluding collective provisions for loans which are individually assessed.

**Impaired loans and loans which are overdue by more than 60 days,
geographic breakdown 2014**

SEK m	Impaired loans			Of which past due >60 days	Loans past due >60 days, which are not impaired
	Gross	Provisions	Net ¹		
Sweden	3 455	-1 707	1 748	724	836
Norway	294	-138	156	118	381
Finland	949	-685	264	243	622
Denmark	2 741	-925	1 816	332	26
UK	1 103	-291	812	618	194
Netherlands	21	-8	13	11	-
Rest of Europe	137	-73	64	61	74
North America	-	-	-	-	-
Asia	2	0	2	-	-
Total	8 702	-3 827	4 875	2 107	2 133

¹ Carrying amount after taking into account specific provisions for individually valued loans and provisions for collectively valued loans but excluding collective provisions for loans which are individually assessed.

**Impaired loans and loans which are overdue by more than 60 days,
by sector 2015**

SEK m	Impaired loans			Of which past due >60 days	Loans past due >60 days, which are not impaired
	Gross	Provisions	Net ¹		
Private individuals	1 424	-755	669	494	757
Housing co-operative associations	35	-20	15	1	2
Property management	1 943	-697	1 246	410	149
Manufacturing	2 103	-1 542	561	49	21
Retail	394	-267	127	74	4
Hotel and restaurant	116	-30	86	85	168
Passenger and goods transport by sea	1 734	-543	1 191	0	-
Other transport and communication	78	-60	18	16	8
Construction	150	-92	58	40	77
Electricity, gas and water	73	-52	21	5	-
Agriculture, hunting and forestry	34	-15	19	3	0
Other services	101	-66	35	27	15
Holding, investment, insurance companies, mutual funds etc.	500	-282	218	74	17
Other corporate lending	159	-117	42	39	0
Credit institutions	-	-	0	-	-
Total	8 844	-4 538	4 306	1 317	1 218

¹ Carrying amount after taking into account specific provisions for individually valued loans and provisions for collectively valued loans but excluding collective provisions for loans which are individually assessed.

**Impaired loans and loans which are overdue by more than 60 days,
by sector 2014**

SEK m	Impaired loans			Of which past due >60 days	Loans past due >60 days, which are not impaired
	Gross	Provisions	Net ¹		
Private individuals	1 569	-813	756	575	1 148
Housing co-operative associations	49	-21	28	14	25
Property management	1 759	-589	1 170	885	397
Manufacturing	1 639	-726	913	70	113
Retail	596	-343	253	167	14
Hotel and restaurant	45	-25	20	11	260
Passenger and goods transport by sea	1 615	-405	1 210	-	-
Other transport and communication	49	-39	10	9	41
Construction	188	-114	74	42	56
Electricity, gas and water	32	-24	8	8	0
Agriculture, hunting and forestry	23	-16	7	1	2
Other services	73	-42	31	25	56
Holding, investment, insurance companies, mutual funds etc.	316	-187	129	34	2
Other corporate lending	749	-483	266	266	19
Credit institutions	-	-	-	-	-
Total	8 702	-3 827	4 875	2 107	2 133

¹ Carrying amount after taking into account specific provisions for individually valued loans and provisions for collectively valued loans but excluding collective provisions for loans which are individually assessed.

Information about loan losses

Loan losses SEK m	2015	2014
Specific provision for individually assessed loans		
The year's provision	-1 832	-1 982
Reversal of previous provisions	372	305
Total	-1 460	-1 677
Collective provisions		
The year's net provision for individually assessed loans	0	76
The year's net provision for homogeneous loans	-3	3
Total	-3	79
Off-balance-sheet items		
Losses on off-balance-sheet items	0	-2
Reversal of losses on off-balance-sheet items	0	1
Change in collective provision for off-balance-sheet items	-33	16
Total	-33	15
Write-offs		
Actual loan losses for the year	-964	-1 998
Utilised share of previous provisions	659	1 515
Recoveries	204	285
Total	-101	-198
Net loan losses	-1 597	-1 781

Impaired loans etc. SEK m	2015	2014
Impaired loans	8 844	8 702
Specific provisions for individually assessed loans	-4 444	-3 734
Provisions for collectively assessed homogeneous groups of loans with limited value	-94	-93
Collective provisions for individually assessed loans	-278	-284
Net impaired loans	4 028	4 591
Total impaired loans reserve ratio, %	54.5	47.2
Proportion of impaired loans, %	0.21	0.25
Impaired loans reserve ratio excluding collective provisions, %	51.3	44.0
Loans past due >60 days, which are not impaired	1 218	2 133
Impaired loans reclassified as normal loans during the year	167	34

Loans are classified as impaired if it is probable that the contractual cash flows will not be fulfilled. The full amount of each receivable that gives rise to a specific provision is included in impaired loans even if this amount is partly covered by collateral. Received collateral is thus not taken into account when calculating the reserve ratio.

Change in provision for probable loan losses 2015	Provision for individually assessed loans	Collective provision for individually assessed loans	Provision for collectively assessed homogeneous loans	Total provision for probable loan losses
SEK m				
Provision at beginning of year	-3 734	-284	-93	-4 111
The year's provision	-1 832	-	-49	-1 881
Reversal of previous provisions	372	0	4	376
Utilised for actual loan losses	659		42	701
Foreign exchange effect etc.	91	6	2	99
Provision at end of year	-4 444	-278	-94	-4 816

Change in provision for probable loan losses 2014	Provision for individually assessed loans	Collective provision for individually assessed loans	Provision for collectively assessed homogenous loans	Total provision for probable loan losses
SEK m				
Provision at beginning of year	-3 454	-357	-92	-3 903
The year's provision	-1 982		-57	-2 039
Reversal of previous provisions	305	76	3	384
Utilised for actual loan losses	1 515		57	1 572
Foreign exchange effect etc.	-118	-3	-4	-125
Provision at end of year	-3 734	-284	-93	-4 111

Group provisions by sector and counterparty type 2015 SEK m	General credit risk adjustments
Private individuals	-49
Housing co-operative associations	-2
Property management	-82
Manufacturing	-63
Retail	-31
Hotel and restaurant	-4
Passenger and goods transport by sea	-1
Other transport and communication	-7
Construction	-13
Electricity, gas and water	-9
Agriculture, hunting and forestry	-2
Other services	-20
Holding, investment, insurance companies, mutual funds etc.	-15
Other corporate lending	-5
Credit institutions	-
Sovereigns and municipalities	-
Total	-303

CAPITAL REQUIREMENTS FOR CREDIT RISKS

This section presents the credit portfolio based on CRR. The presentations show both the IRB Approach and the standardised approach. Portfolios in the IRB Approach are divided into the IRB Approach with own estimates of LGD and CCF, and the IRB Approach without own estimates of LGD and CCF. For balance sheet information, see the previous section concerning the credit portfolio. When the capital requirement is calculated, this is normally done for the exposure amount, which is the sum of the exposure on the balance sheet and the exposure off the balance sheet multiplied by a conversion factor.

Exposure, exposure amounts and capital requirements

The table below shows the exposures and the total exposure amounts within the credit portfolio approved for the IRB approach and their risk-weighted amounts and the capital requirement the exposures will generate. Exposures are the total exposures on and off the balance sheet. The exposure amount is the exposure on which the capital requirement is calculated according

to CRR. The following are also shown: the average exposure amount during the year, the average risk weight for the exposures (the risk-weighted amount divided by the exposure amount) and the average LGD value applied.

The risk estimates according to the IRB Approach with own estimates of LGD and CCF are based on the Bank's historical outcome data corrected for business cycle factors and applying the margins of conservatism approved by the Swedish Financial Supervisory Authority. In the IRB Approach with own estimates of LGD and CCF, the capital requirement is also affected by the maturity of the credit, unlike in the IRB Approach without own estimates.

For corporate exposures, SEK 66,549 million (70,574) are covered by guarantees from counterparties within the sovereign and municipal exposure class and also the institutional class. This reduces the exposure amount. The corresponding figure for institutional exposures is SEK 3,175 million (3,276). When there is a guarantor, the capital requirement is calculated based on this instead of the original counterparty which is known as substitution. This means that the guarantor's more advantageous PD can be used instead of the borrower's PD.

On the other hand, the capital requirement does not take account of the fact that the credit risk is less since both the borrower and the guarantor must default in order for the Bank to incur a loan loss.

For the parts of the credit portfolio which are not approved for the IRB Approach and also where a permanent or time-limited approval has been given by the Swedish Financial Supervisory Authority, the capital requirement for credit risks in 2015 is calculated according to the standardised approach. The table on the next page shows the exposure and capital requirement for the standardised portfolio.

When calculating risk weights according to the standardised approach, information regarding the external rating from external rating agencies is used, where applicable. Handelsbanken uses an external rating from Standard & Poor's for sovereign exposures and exposures to central banks, municipal exposures, institutional exposures and corporate exposures. The table below shows the exposure values per credit step. No deduction is made from own funds for exposures in the standardised approach with an external rating.

Exposure calculated according to standardised approach broken down into credit quality steps based on external ratings

SEK m	Sovereign and central banks		Municipalities		Institutions		Corporate	
	Exposure	Exposure value	Exposure	Exposure value	Exposure	Exposure value	Exposure	Exposure value
Credit quality step								
1	267 501	270 269	25 348	58 231	863	949	-	-
2	44	44	-	-	3 577	2 850	4 499	0
3	36	36	-	-	324	142	-	-
4	50	50	-	-	138	76	-	-
5	3	3	-	-	209	75	-	-
6	0	0	-	-	-	-	-	-

Credits approved for IRB Approach. Exposures according to various definitions and details of capital requirements for various exposure classes 2015

SEK m	Exposure	Exposure amount	Of which off-balance sheet	Average exposure amount	Risk-weighted exposure amount	Average risk weight %	Exposure amount-weighted LGD %	Capital requirement
Corporate exposures	1 268 906	992 382	137 902	980 353	210 429	21	27	16 834
of which repos and securities loans	9 324	9 324	2 910	-	260	2.8	-	21
of which other lending, IRB Approach without own estimates of LGD and CCF	222 737	143 430	74 287	-	42 501	30	-	3 400
of which other lending, IRB Approach with own estimates of LGD and CCF	1 036 845	839 628	60 705	-	167 668	20	25	13 413
of which large corporates	249 919	137 749	35 581	-	61 130	44	-	4 890
of which small and medium-sized companies	93 896	76 639	9 760	-	32 888	43	-	2 631
of which property companies	517 076	456 871	12 203	-	67 647	15	-	5 412
of which housing co-operative associations	175 953	168 369	3 161	-	6 003	4	-	480
Retail exposures	922 236	918 324	54 027	899 383	66 245	7	18	5 300
private individuals	893 543	891 487	47 716	872 218	58 841	7	17	4 707
of which property loans	810 315	810 312	20 165	-	43 517	5	-	3 481
of which other	83 228	81 175	27 551	-	15 324	19	-	1 226
small companies	28 693	26 837	6 311	27 166	7 404	28	34	593
of which property loans	7 551	7 541	12	-	2 016	27	-	161
of which other	21 142	19 296	6 299	-	5 388	28	-	432
Institutional exposures	124 831	117 263	11 508	138 140	20 471	18	18	1 638
of which repos and securities loans	31 143	31 143	7 031	-	424	1.4	-	34
of which other lending	93 688	86 120	4 477	-	20 047	23	-	1 604
Equity exposures	5 229	5 229		5 666	15 815	302	-	1 265
of which listed equities	4 418	4 418		-	12 811	290	-	1 025
of which other equities	811	811		-	3 004	370	-	240
Non credit-obligation assets	2 348	2 348		2 259	2 348	100	-	188
Securitisation positions	1 541	28		84	2	7	-	0
of which traditional securitisation	1 541	28		84	2	7	-	0
of which synthetic securitisation	-	-	-	-	-	-	-	-
Total IRB	2 325 091	2 035 574	203 437	2 025 884	315 310	15.5		25 225
of which repos and securities loans	40 467	40 467	9 941	-	683	1.7	-	55
of which operations in the trading book	29 733	29 733	290	-	110	0.4	-	9
of which other lending, IRB Approach without own estimates of LGD and CCF	325 543	237 156	78 764	-	80 714	34	-	6 457
of which other lending, IRB Approach with own estimates of LGD and CCF	1 959 081	1 757 951	114 732		233 912	13.3		18 713

Credits in the parts of the credit portfolio for which capital requirements are calculated using the standardised approach. Details of capital requirements for various exposure classes where exposures exist, 2015

SEK m	Exposure	Exposure value	Of which off-balance sheet	Average exposure value	Risk-weighted exposure amount	Average risk weight %	Capital requirement
Sovereign and central banks	267 634	270 402	23 539	500 265	72	0.0	6
Municipalities	25 348	58 231	13 072	61 841	18	0.0	1
Multilateral development banks	649	649	1	661	0	0.0	0
International organisations	1	1	0	7	0	0.0	0
Institutions	5 302	4 162	1 865	3 420	603	15	48
Corporate	21 868	12 232	8 814	10 703	11 570	95	926
Retail	31 588	22 417	11 514	21 988	16 774	75	1 342
Property mortgages	72 466	70 925	6 307	66 966	25 367	36	2 029
Past due items	321	229	10	234	319	139	25
Equities	7 978	7 978		8 238	17 308	217	1 385
of which listed equities	249	249		689	249	100	20
of which other equities	7 729	7 729		7 549	17 059	221	1 365
Other items	8 954	9 034	406	8 205	8 375	93	671
Total standardised	442 109	456 260	65 528	682 528	80 406	18	6 433
Total IRB + standardised	2 767 200	2 491 834	268 965	2 708 412	395 716	16	31 658

Credits approved for IRB Approach. Exposures according to various definitions and details of capital requirements for various exposure classes 2014

SEK m	Exposure	Exposure amount	Of which off-balance sheet	Average exposure amount	Risk-weighted exposure amount	Average risk weight %	Exposure amount-weighted LGD %	Capital requirement
Corporate exposures	1 233 130	958 861	125 956	941 399	230 739	24	28	18 459
of which repos and securities loans	14 060	14 060	444	-	57	0.4	-	5
of which other lending, IRB Approach without own estimates of LGD and CCF	230 757	142 047	68 308	-	46 601	33	-	3 728
of which other lending, IRB Approach with own estimates of LGD and CCF	1 002 373	802 754	57 648	-	184 081	23	26	14 726
of which large corporates	265 810	149 446	35 496	-	72 577	49	-	5 806
of which small and medium-sized companies	89 296	74 041	8 250	-	33 723	46	-	2 698
of which property companies	489 997	428 314	11 753	-	72 162	17	-	5 773
of which housing co-operative associations	157 270	150 952	2 149	-	5 619	4	-	450
Retail exposures	871 860	867 447	49 019	850 856	69 012	8	17	5 521
private individuals	842 405	839 719	42 629	822 841	61 380	7	17	4 910
of which property loans	756 228	756 225	16 584	-	42 051	6	-	3 364
of which other	86 177	83 494	26 045	-	19 330	23	-	1 546
small companies	29 455	27 728	6 390	28 015	7 632	28	32	611
of which property loans	7 537	7 535	28	-	1 529	20	-	122
of which other	21 918	20 193	6 362	-	6 103	30	-	489
Institutional exposures	141 455	134 409	14 529	119 339	16 671	12	15	1 334
of which repos and securities loans	51 433	51 433	8 912	-	661	1.3	-	53
of which other lending	90 022	82 976	5 617	-	16 010	19	-	1 281
Equity exposures	6 102	6 102		6 421	18 110	297	-	1 449
of which listed equities	5 584	5 584		-	16 195	290	-	1 296
of which other equities	518	518		-	1 915	370	-	153
Exposures without a counterparty	2 239	2 239		2 225	2 239	100	-	179
Securitisation positions	2 139	269		433	24	9	-	2
of which traditional securitisation	2 139	269		433	24	9	-	2
of which synthetic securitisation	-	-	-	-	-	-	-	-
Total IRB	2 256 925	1 969 327	189 504	1 920 672	336 795	17.1		26 944
of which repos and securities loans	65 493	65 493	9 356	-	718	1.1	-	57
of which operations in the trading book	49 705	49 705	65	-	286	0.6	-	23
of which other lending, IRB Approach without own estimates of LGD and CCF	317 199	233 633	73 481	-	82 984	36	-	6 639
of which other lending, IRB Approach with own estimates of LGD and CCF	1 874 233	1 670 201	106 667	-	253 093	15.2	-	20 247

Credits in the parts of the credit portfolio for which capital requirements are calculated using the standardised approach. Details of capital requirements for various exposure classes where exposures exist, 2014

SEK m	Exposure	Exposure value	Of which off-balance sheet	Average exposure value	Risk-weighted exposure amount	Average risk weight %	Capital requirement
Sovereign and central banks	547 438	558 624	22 216	501 858	46	0.00	4
Municipalities	27 154	64 086	14 484	63 833	20	0.00	2
Multilateral development banks	762	762	-	1 088	0	0.0	0
International organisations	-	-	-	-	-	-	-
Institutions	2 745	2 277	1 565	3 835	574	25	46
Corporate	24 998	12 771	10 249	19 041	10 389	81	831
Retail	26 578	19 212	9 859	17 821	14 350	75	1 147
Property mortgages	59 057	57 765	5 152	47 234	20 994	36	1 680
Past due items	229	144	8	161	186	130	15
Equities	7 110	7 110	-	7 089	16 393	231	1 311
of which listed shares	641	641	-	643	641	100	51
of which other shares	6 469	6 469	-	6 446	15 752	244	1 260
Other items	7 599	7 409	762	9 352	6 734	91	539
Total standardised	703 670	730 160	64 295	671 312	69 686	10	5 575
Total IRB + standardised	2 960 595	2 699 487	253 799	2 591 984	406 481	15	32 519

Geographical breakdown

IRB-approved exposures per country, divided into corporate, retail, institutional exposures and positions in securitisation, 2015

SEK m	Corporate exposures	Retail exposures		Institutional exposures	Securitisation positions	
		Private individuals	Small companies		Traditional	Synthetic
Sweden	701 871	720 784	23 597	90 794		-
UK	174 793			505		-
Denmark	52 800	50 790	2 872	16		-
Finland	92 545	37 773	1 230	22		-
Norway	178 782	84 196	994	260		-
Netherlands	4 472					-
USA	31 884			25 582	1 541	-
Other countries	31 759			7 652		-
Total	1 268 906	893 543	28 693	124 831	1 541	-

Exposures calculated using the standardised approach per country, broken down by exposure class, 2015, details of capital requirement for exposure classes where there are exposures

SEK m	Sovereign and central banks	Municipalities	Multilateral development banks	International organisations	Institutions	Corporate	Retail	Property mortgage	Past due items	Other items	Equities
Sweden	40 924	17 787	649	1	4 990	4 363	4 139	-	1	7 301	7 648
UK	55 921	-	-	-	10	1 363	21 476	47 446	82	272	-
Denmark	15 653	1	-	-	47	1 074	1 434	-	16	330	2
Finland	50 292	7 493	-	-	40	306	1 101	-	1	673	38
Norway	8 321	67	-	-	3	960	1 738	502	-	264	290
Netherlands	377	-	-	-	-	5 194	521	19 699	2	7	-
USA	94 731	-	-	-	4	872	0	36	-	37	-
Other countries	1 415	-	-	-	208	7 736	1 179	4 783	219	70	-
Total	267 634	25 348	649	1	5 302	21 868	31 588	72 466	321	8 954	7 978

IRB-approved exposures per country, divided into corporate, retail, institutional exposures and positions in securitisation, 2014

SEK m	Corporate exposures	Retail exposures		Institutional exposures	Securitisation positions	
		Private individuals	Small companies		Traditional	Synthetic
Sweden	689 372	668 305	23 717	92 215	231	-
UK	155 789			466		-
Denmark	53 255	47 902	3 134	14		-
Finland	93 151	38 638	1 382	99		-
Norway	175 261	87 560	1 222	243		-
Netherlands	5 129			0		-
USA	31 618			41 076	1 908	-
Other countries	29 555			7 342		-
Total	1 233 130	842 405	29 455	141 455	2 139	-

Exposures calculated using the standardised approach per country, broken down by exposure class, 2014, details of capital requirement for exposure classes where there are exposures

SEK m	Sovereign and central banks	Municipalities	Multilateral development banks	International organisations	Institutions	Corporate	Retail	Property mortgage	Past due items	Other items	Equities
Sweden	42 756	20 008	762	-	1 231	6 609	3 864	-	2	5 353	7 061
UK	56 140	-	-	-	13	1 303	17 509	38 695	6	275	-
Denmark	28 020	2	-	-	154	849	1 564	-	15	352	1
Finland	74 484	7 071	-	-	154	872	201	-	-	1 015	45
Norway	18 207	73	-	-	192	357	1 976	494	0	519	3
Netherlands	11 971	-	-	-	0	5 209	430	15 773	21	14	-
USA	312 833	-	-	-	0	710	1	6	-	5	-
Other countries	3 027	-	-	-	1 001	9 089	1 033	4 089	185	66	-
Total	547 438	27 154	762	-	2 745	24 998	26 578	59 057	229	7 599	7 110

Exposure amount/exposure value by country broken down into volumes calculated according to the IRB Approach and the standardised approach SEK m	2015		2014	
	IRB	Standardised	IRB	Standardised
Sweden	1 383 023	96 026	1 322 922	110 160
UK	149 247	121 799	133 001	110 122
Denmark	98 473	18 171	96 974	29 692
Finland	96 627	77 778	98 829	100 317
Norway	236 556	10 582	229 096	20 176
Netherlands	2 810	20 624	3 016	27 995
USA	43 195	97 145	59 714	315 397
Other countries	25 643	14 135	25 775	16 301
Total	2 035 574	456 260	1 969 327	730 160

Breakdown by sector and counterparty type

IRB-approved exposures by sector and counterparty type, broken down into exposure classes SEK m	2015		2014	
	of which SME corp.		of which SME corp.	
Retail exposures				
Private individuals	893 543		842 405	
Small companies	28 693		29 455	
Corporate exposures				
Housing co-operative associations	179 182	179 182	161 178	161 097
Property management	565 523	364 725	538 440	343 831
Manufacturing	96 329	10 903	100 106	11 426
Retail	45 481	12 274	49 556	12 989
Hotel and restaurant	8 686	6 300	8 161	5 541
Passenger and goods transport by sea	19 112	755	21 016	796
Other transport and communication	26 746	4 613	40 145	7 009
Construction	34 216	14 441	29 505	11 779
Electricity, gas and water	44 282	6 272	46 410	6 277
Agriculture, hunting and forestry	13 780	7 617	12 024	6 041
Other services	30 572	14 493	30 383	13 152
Holding, investment, insurance companies, mutual funds etc.	153 300	16 563	141 197	10 505
Other corporate lending	51 698	4 348	55 009	3 817
Institutional exposures	124 831		141 455	
Securitisation positions	1 541		2 139	
Total	2 317 513	642 489	2 248 584	594 260

Exposures approved for the standardised approach by sector, broken down by exposure class SEK m	2015		2014	
	of which SME corp.		of which SME corp.	
Retail exposures				
Private persons	28 711		23 801	
Small companies	2 876		2 777	
Sovereign and central banks exposures	267 634		547 438	
Regional governments or local authorities exposures	25 348		27 154	
Public sector entities exposures				
Multilateral development banks	649		762	
International organisations	1		0	
Secured by mortgages on immovable property	72 466	11 494	59 057	8 673
Exposures in default	321	117	229	60
Corporate exposures				
Housing co-operative associations	2	2	0	0
Property management	12 206	2 367	12 390	3 051
Manufacturing	1 485	406	646	229
Retail	604	264	560	280
Hotel and restaurant	1	0	0	0
Passenger and goods transport by sea	1	1	1	1
Other transport and communication	637	19	106	25
Construction	101	0	126	14
Electricity, gas and water	1	1	3	2
Agriculture, hunting and forestry	7	6	6	3
Other services	39	14	64	33
Holding, investment, insurance companies, mutual funds etc.	1 780	545	2 470	1 160
Other corporate lending	13 957	967	13 147	1 108
Institutional exposures	5 302		5 824	
Securitisation positions				
Equity exposures	7 978		7 110	
Other items				
Total	442 109	16 204	703 670	14 640

Information about maturity intervals

IRB-approved exposures broken down by maturity according to capital adequacy regulations 2015 (M)¹

SEK m	Exposure amount	<1 yr	1 yr	1yr<2.5 yrs	2.5 yrs	2.5 yr<5 yrs	5 yrs
Corporate exposures	992 382	9 324	213 693	164 675	143 430	162 875	298 385
Institutional exposures	117 263	31 152			86 111		
Total	1 109 645	40 476	213 693	164 675	229 541	162 875	298 385

IRB-approved exposures broken down by maturity according to capital adequacy regulations 2014 (M)¹

SEK m	Exposure amount	<1 yr	1 yr	1yr<2.5 yrs	2.5 yrs	2.5 yr<5 yrs	5 yrs
Corporate exposures	958 861	14 062	193 837	152 397	142 045	147 658	308 862
Institutional exposures	134 409	51 434			82 975		
Total	1 093 270	65 496	193 837	152 397	225 020	147 658	308 862

¹ The maturity factor M is only calculated for corporate exposures when applying the IRB Approach with own estimates of LGD and CCF. Other exposures are reported in the table with M=2.5. For other maturities, see page 57.

Risk weight and breakdown into risk classes

The tables below show exposures approved for the IRB Approach broken down into risk classes. The same information is presented according to a geographical breakdown. Exposures within a risk class may have different PD values. The PD values in the tables are therefore expressed as exposure-weighted average PD. The breakdown is shown for corporate, institutional and retail exposures.

The PD values applied in the IRB Approach for corporate and retail exposures are based on the Bank's own loss and default history. Handelsbanken's low, stable default rates and loan loss ratio means that the Bank's PD values are low, particularly in good risk classes where defaults have been extremely rare even in times of major economic turbulence. The risk weights are also affected by the LGD values used. These are also calculated on the basis of the Bank's own loss history for all exposures covered by the IRB Approach with own estimates of LGD and CCF.

The applied PD and LGD include margins of conservatism. Comprehensive tests have also been performed to ensure that the risk measures are applicable to the Bank's current port-

folios. An important consequence of this is that differences between banks' average risk weights are due to the credit quality of the existing exposures and the historic loan losses.

Differing portfolio composition is another factor which leads to variations in different banks' average risk weights for various exposure classes. An important aspect is how banks have chosen to categorise their exposures. Handelsbanken has classified its lending to housing co-operative associations as corporate exposures while certain other banks have decided to classify this as retail exposures. At the same time, lending to housing co-operative associations has lower risk than corporate lending on average. This means that the total average risk weight for the corporate exposures class, including housing co-operative associations, will be lower for Handelsbanken than for banks which have classified housing co-operative associations as retail exposures. The average risk weight for corporate exposures excluding housing co-operative associations is 24.8 per cent (27.9).

Handelsbanken's choice is conservative since exposures which are classified as corporates have a higher risk weight in the IRB

Approach than retail exposures with the same risk measure.

More information about Handelsbanken's lower risk weights for corporate exposures is shown on page 36.

The Bank has very low exposures to counterparties in poorer risk classes. For corporate exposures, 97 per cent (96) of the exposure amount is in risk class 1–5 with low PD values. The corresponding figure for institutional exposures is 100 per cent (100). For retail exposures – private individuals and small companies – the corresponding figures in the better risk classes are 97 per cent (97) and 88 per cent (86) respectively. A clear majority of the Bank's exposures are in risk classes 1–4, which means that the average risk level in the credit portfolio is significantly lower than the level which is assessed as normal risk.

The risk weights applied by Handelsbanken result in a capital requirement that is considerably higher in relation to the Bank's actual historical loss rates than the equivalent average ratio for other Nordic and European banks. This means that Handelsbanken's risk weights are more cautious in relation to the Bank's historical losses than in models applied by other banks.

Breakdown, risk class according to IRB Approach

IRB-approved corporate exposures broken down by risk class

SEK m	2015				2014			
	Exposure-weighted average PD %	Exposure amount	Proportion exposure amount %	Accum. % of total exposure amount	Exposure-weighted average PD %	Exposure amount	Proportion exposure amount %	Accum. % of total exposure amount
Risk class 1	0.03	97 508	9.83		9.83			
Risk class 2	0.04	286 571	28.88		38.71			
Risk class 3	0.09	362 642	36.53		75.24			
Risk class 4	0.26	152 811	15.40		90.64			
Risk class 5	0.80	61 388	6.19		96.83			
Risk class 6	2.91	14 030	1.41		98.24			
Risk class 7	7.95	7 361	0.74		98.98			
Risk class 8	15.91	1 970	0.20		99.18			
Risk class 9	31.96	603	0.06		99.24			
Defaults	100.00	7 498	0.76		100.00			
Total		992 382	100.00			958 861	100.00	
		Risk class 1–5	960 920			Risk class 1–5	919 208	
		Risk class 1–5	96.83%			Risk class 1–5	95.86%	

IRB-approved institutional exposures broken down by risk class

SEK m	2015					2014				
	Exposure-weighted average PD %	Exposure amount	Proportion exposure amount %	Accum. % of total exposure amount		Exposure-weighted average PD %	Exposure amount	Proportion exposure amount %	Accum. % of total exposure amount	
Risk class 1	0.05	38 010	32.41		32.41	0.04	39 568	29.44		29.44
Risk class 2	0.12	33 412	28.49		60.90	0.08	60 178	44.77		74.21
Risk class 3	0.21	45 576	38.88		99.78	0.19	34 198	25.44		99.65
Risk class 4	0.51	110	0.09		99.87	0.51	151	0.11		99.76
Risk class 5	1.24	88	0.07		99.94	1.20	201	0.15		99.91
Risk class 6	2.55	22	0.02		99.96	2.32	70	0.05		99.96
Risk class 7	13.25	24	0.02		99.98	7.82	38	0.03		99.99
Risk class 8	35.31	15	0.01		99.99	33.57	5	0.01		100.00
Risk class 9	35.31	6	0.01		100.00	47.19	0	-		-
Defaults	100.00					100.00	-	-		-
Total		117 263	100.00				134 409	100.00		
	Risk class 1–5	117 196				Risk class 1–5	134 296			
	Risk class 1–5	99.94%				Risk class 1–5	99.91%			

IRB-approved retail exposures, private individuals, broken down by risk class

SEK m	2015					2014				
	Exposure-weighted average PD %	Exposure amount	Proportion exposure amount %	Accum. % of total exposure amount		Exposure-weighted average PD %	Exposure amount	Proportion exposure amount %	Accum. % of total exposure amount	
Risk class 1	0.04	242 512	27.20		27.20	0.04	211 817	25.22		25.22
Risk class 2	0.07	316 737	35.53		62.73	0.09	301 741	35.94		61.16
Risk class 3	0.14	191 789	21.51		84.24	0.14	186 007	22.15		83.31
Risk class 4	0.37	82 190	9.22		93.46	0.38	81 645	9.72		93.03
Risk class 5	0.77	34 911	3.92		97.38	0.78	34 650	4.13		97.16
Risk class 6	1.91	5 451	0.61		97.99	2.08	5 599	0.67		97.83
Risk class 7	3.74	8 131	0.91		98.90	4.03	8 262	0.98		98.81
Risk class 8	3.03	1 760	0.20		99.10	3.47	1 706	0.20		99.01
Risk class 9	6.84	5 942	0.67		99.77	8.76	5 599	0.67		99.68
Defaults	100.00	2 064	0.23		100.00	100.00	2 693	0.32		100.00
Total		891 487	100.00				839 719	100.00		
	Risk class 1–5	868 139				Risk class 1–5	815 860			
	Risk class 1–5	97.38%				Risk class 1–5	97.16%			

IRB-approved retail exposures, small companies, broken down by risk class

SEK m	2015					2014				
	Exposure-weighted average PD %	Exposure amount	Proportion exposure amount %	Accum. % of total exposure amount		Exposure-weighted average PD %	Exposure amount	Proportion exposure amount %	Accum. % of total exposure amount	
Risk class 1	0.14	6 962	25.95		25.95	0.13	6 655	24.00		24.00
Risk class 2	0.43	6 507	24.25		50.20	0.51	6 433	23.20		47.20
Risk class 3	0.73	2 837	10.57		60.77	0.78	2 899	10.46		57.66
Risk class 4	0.96	5 107	19.03		79.80	0.91	5 576	20.11		77.77
Risk class 5	2.63	2 126	7.92		87.72	2.92	2 337	8.43		86.20
Risk class 6	3.66	1 082	4.03		91.75	4.44	1 251	4.51		90.71
Risk class 7	4.82	620	2.31		94.06	4.83	718	2.59		93.30
Risk class 8	7.07	610	2.27		96.33	10.18	686	2.47		95.77
Risk class 9	17.02	355	1.32		97.65	18.13	417	1.50		97.27
Defaults	100.00	631	2.35		100.00	100.00	756	2.73		100.00
Total		26 837	100.00				27 728	100.00		
	Risk class 1–5	23 539				Risk class 1–5	23 900			
	Risk class 1–5	87.71%				Risk class 1–5	86.20%			

Handelsbanken's lower risk weights for corporate exposures are due to reduced risk

Handelsbanken's lower risk weights for corporate exposures are a result of the risk in the credit portfolio being lower than it was previously. The risk weights have proved to be risk-sensitive as intended by the regulations, and there is therefore no reason for the Swedish Financial Supervisory Authority and other regulatory authorities to introduce limits which prevent the risk-sensitive capital requirements having full impact.

One of the overarching regulatory issues in the wake of the financial crisis has been whether capital adequacy regulations should be based on risk-based or non-risk-based measurement of a bank's assets. This question has been expressed in various ways, for example, whether there should be a floor for capital adequacy similar to the currently applicable Basel I floor, whether a leverage ratio requirement should be introduced, and – in Sweden – whether the risk weights produced using the banks' IRB Approaches should be limited by a floor in the context of mortgage loans. At present there is a floor of 25 per cent for the risk weights for mortgage loans and a leverage ratio requirement is in the process of being introduced globally. Recently these discussions have increasingly focused on two new variations of limiting banks' IRB Approach to calculating capital requirements; partly as to whether a floor should be globally introduced, based on how much the capital requirement calculated using the IRB Approach can deviate from standard methods (Basel IV), partly specifically in Sweden whether the risk weights for corporate lending should be limited in some way.

In many contexts, Handelsbanken has pointed out the advantages of risk-based capital requirements from the perspective of the general economy (for example, see Handelsbanken's publications: Risk-weighted capital requirements – do they work? and The socio-economic consequences of introducing a leverage ratio for banks). This section provides a brief commentary on the current discussion in Sweden concerning limitations in corporate risk weights. In autumn 2015, the Swedish Financial Supervisory Authority announced that it is considering various types of measures regarding banks' internal models for calculating capital requirements for corporate lending.

In light of this, Handelsbanken has specified the reasons why the Bank's corporate risk weights have decreased. The aim is to show that the risk weights are lower for natural reasons and are not due to any attempts to circumvent regulations or manipulate application of the valid regulations in any way. On the contrary,

they are the result of a natural development that ensues from a financial crisis, where losses have been more common than usual, so it is natural for the banking system as a whole to exercise greater caution when granting credit.

The figure below shows the development of Handelsbanken's corporate risk weights between Q4 2010 and Q4 2015, and the extent to which various factors have contributed to the decrease.

The various factors are explained and described in more detail below.

Portfolio composition

Demand for credit has varied between different parts of the corporate portfolio. Since the crisis, property companies in particular have displayed greater demand for credit than other corporate sectors. As credits with property as collateral involve lower LGD values than other credits, especially when the properties have low loan-to-value (LTV) ratios, as in Handelsbanken's case, the average risk weights are lower for these exposures. The proportion of property credits has risen in the corporate portfolio, resulting in a drop in the average risk weight.

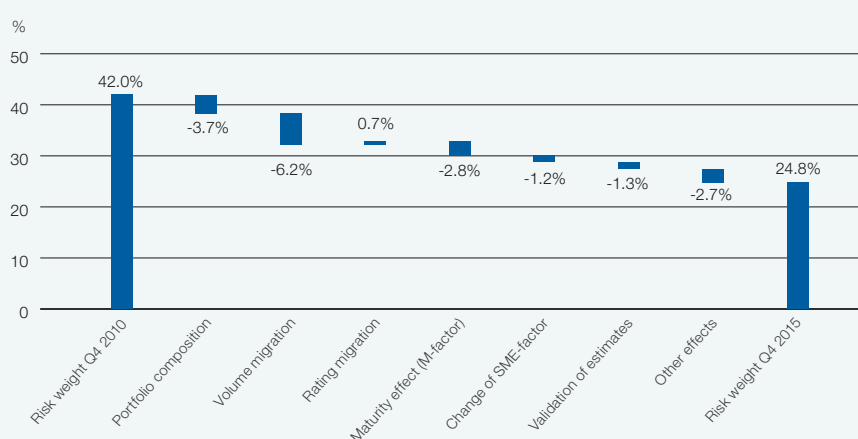
Volume migration

Handelsbanken's basic rule is only to grant new credits to counterparties with a repayment capacity that is better than normal and that therefore have a good rating according to the Bank's internal rating system. This means that new credits added to the portfolio generally have a relatively low risk weight. Existing counterparties in the Bank also need to have high creditworthiness to be able to increase their loan volumes. This means that new loan volumes generally have a low risk weight, at the same time as the Bank actively works on reducing or terminating exposures to counterparties with poorer creditworthiness. The Bank calls this effect "volume migration". This effect is the largest individual item underlying lower risk weights in the corporate portfolio.

Rating migration

The Bank's rating is dynamic, which means that it is changed as soon as the Bank receives information necessitating a change to the rating, in either a positive or negative direction. Over the five years covered by the graph, a changed rating has entailed a minor adverse effect on the average risk weight, i.e. the effect of the

Change in average risk weight for corporate exposures 2010–2015



counterparties that have received a less favourable rating is somewhat larger than the effect of those who have received an improved rating.

M effect

The measurement of the risk weight for corporate exposures takes into account the maturity for the exposure – a short-term credit is deemed to have lower risk than a long-term credit. The regulations clearly stipulate that the maturity to be measured is the maturity stipulated in the contract. In conjunction with the introduction of the advanced approach at Handelsbanken, the Swedish Financial Supervisory Authority decided that special processing requirements would apply to credits that typically had a short maturity, but that are often extended. For example, it is commonplace for operating credits to companies to have a contractually agreed maturity of one year, after which they are reassessed and possibly extended. In order to allow a one-year maturity to be taken into account for such credits, the Supervisory Authority has stipulated certain processing requirements: basically, a full new credit assessment must be made when the agreement is assessed for extension and the counterparty must not be given the impression that extension will somehow take place automatically. This requirement was set at a late stage in the application process in 2010, and it was not practically possible for Handelsbanken to introduce procedures that corresponded to the Supervisory Authority's processing requirements before the advanced approach was introduced later the same year. Credits that per se had a contracted one-year maturity were then assigned the maximum M value, 5. This had a significant impact on the risk weights and was the main reason why Handelsbanken did not gain any positive effect on the average risk weight from introducing the advanced approach. In the subsequent years, Handelsbanken has ensured compliance with the processing requirements; it has been possible to set the M value to the correct maturity, which has led to lowered risk weights. Other banks introduced the advanced approach several years later and were then able to adapt their

processing to the new requirements. As a result, they were not necessarily continually affected by a lower M factor and they generally gained significant positive effects from introducing the advanced method.

SME factor

In conjunction with the introduction of Basel III in Europe in the form of CRD IV/CRR, political concern was expressed that the capital requirements for small and medium-sized enterprises would become excessively high. Consequently, the calculation formula for the capital adequacy requirement was changed specifically for these companies. As Handelsbanken grants substantial volumes of credit to such companies, this entailed a significant impact on the average risk weight.

Amended estimates

The estimates which are included (PD, LGD and CCF) are continually updated when new data are added (see the section Quality assurance of the credit risk model). The updates may lead to both higher and lower estimates. The net effect of estimate amendments on the average risk weight has only entailed marginally lower risk weights. The main reason that there has been a slight decrease is mainly the fact that the higher number of defaults that occurred in 2008 and 2009 led to higher PD estimates, both as a direct effect of higher proportions of defaults and because higher safety margins were introduced. As the defaults have decreased and the safety margins have been normalised to a certain extent, the PD estimates have gradually decreased somewhat.

Other effects

Other effects, such as changed use of collateral, have been less significant.

All in all, the compilation shows that there are very natural reasons that are relevant in terms of risk for Handelsbanken's lower corporate risk weights. In light of this, from the Bank's perspective, the Supervisory Authority's possible plans to limit the risk weights produced by

banks' IRB Approaches appear difficult to comprehend. If the Supervisory Authority's assessment is that the methods are not fair in terms of risk sensitivity, or that the safety margins which the methods encompass are insufficient, it would be more appropriate for the Supervisory Authority to demand that banks correct the specific parts of their methods where such shortcomings are highlighted. More general limitations create a risk of reducing risk sensitivity in the capital requirement and reducing the main advantage of risk-based capital requirements: the major focus on the risk level.

Breakdown, risk class and country

IRB-approved corporate exposures, broken down by risk class and country 2015

%	Exposure-weighted average PD	Exposure, SEK m	Proportion exposure	Accum. of total exposure	Exposure-weighted average LGD	Sweden	UK	Denmark	Finland	Norway	Netherlands	USA	Other countries
Risk class 1	0.03	97 508	9.83	9.83	27.84	9.12	1.19	16.26	9.22	15.56	7.95	43.52	6.75
Risk class 2	0.04	286 571	28.88	38.71	23.89	32.39	20.03	20.05	41.40	20.66	18.25	25.16	47.80
Risk class 3	0.09	362 642	36.53	75.24	27.11	35.38	45.92	27.39	27.31	40.06	69.63	25.15	25.13
Risk class 4	0.26	152 811	15.40	90.64	29.14	13.74	22.80	21.05	10.80	16.52	3.96	3.90	11.01
Risk class 5	0.80	61 388	6.19	96.83	32.12	6.92	6.13	7.07	5.22	4.38	0.13	2.04	5.33
Risk class 6	2.91	14 030	1.41	98.24	34.21	1.21	1.54	1.31	2.29	1.66	0.02		3.74
Risk class 7	7.95	7 361	0.74	98.98	35.81	0.61	1.03	1.41	1.50	0.63	0.06		0.06
Risk class 8	15.91	1 970	0.20	99.18	37.32	0.17	0.29	0.12	0.23	0.27			0.07
Risk class 9	31.96	603	0.06	99.24	41.92	0.05	0.07	0.03	0.24	0.03		0.06	
Defaults	100.00	7 498	0.76	100.00	43.65	0.41	1.00	5.31	1.79	0.23		0.17	0.11
Total		992 382	100.00										
		Risk class 1–5	960 920										
		Risk class 1–5	96.83%										

IRB-approved institutional exposures, broken down by risk class and country 2015

%	Exposure-weighted average PD	Exposure, SEK m	Proportion exposure	Accum. of total exposure	Exposure-weighted average LGD	Sweden	UK	Denmark	Finland	Norway	Netherlands	USA	Other countries
Risk class 1	0.05	38 010	32.41	32.41	22.87	38.68	85.83	49.49		85.09		0.22	62.07
Risk class 2	0.12	33 412	28.49	60.90	17.29	25.07	8.55	33.99		1.97		40.09	31.81
Risk class 3	0.21	45 576	38.88	99.78	14.67	36.00	1.81	3.76	57.70	2.61		59.69	6.01
Risk class 4	0.51	110	0.09	99.87	40.77	0.10	0.64	2.77	42.30	3.37			0.09
Risk class 5	1.24	88	0.07	99.94	32.78	0.08	0.13	9.99		6.71			0.02
Risk class 6	2.55	22	0.02	99.96	21.29	0.03				0.07			
Risk class 7	13.25	24	0.02	99.98	45.00	0.03	0.03			0.04			
Risk class 8	35.31	15	0.01	99.99	45.00		3.01						
Risk class 9	35.31	6	0.01	100.00	45.00	0.01				0.14			
Defaults	100.00												
Total		117 263	100.00										
		Risk class 1–5	117 196										
		Risk class 1–5	99.94%										

Breakdown, risk class and country, cont.

IRB-approved retail exposures, private individuals, broken down by risk class and country 2015

%	Exposure-weighted average PD	Exposure, SEK m	Proportion exposure	Accum. of total exposure	Exposure-weighted average LGD	Sweden	UK	Denmark	Finland	Norway	Netherlands	USA	Other countries
Risk class 1	0.04	242 512	27.20	27.20	16.03	29.57		23.86	49.24				
Risk class 2	0.07	316 737	35.53	62.73	16.11	35.08		55.57	21.80	33.04			
Risk class 3	0.14	191 789	21.51	84.24	17.48	20.38		15.11	1.96	43.12			
Risk class 4	0.37	82 190	9.22	93.46	20.87	10.67		3.35	10.61				
Risk class 5	0.77	34 911	3.92	97.38	23.02	1.81			9.50	21.59			
Risk class 6	1.91	5 451	0.61	97.99	19.93	0.74			0.44				
Risk class 7	3.74	8 131	0.91	98.90	22.44	0.74		1.31	3.15	1.21			
Risk class 8	3.03	1 760	0.20	99.10	19.76	0.16				0.70			
Risk class 9	6.84	5 942	0.67	99.77	19.19	0.70		0.13	1.92	0.17			
Defaults	100.00	2 064	0.23	100.00	42.00	0.15		0.67	1.38	0.17			
Total		891 487	100.00										
		Risk class 1–5	868 139										
		Risk class 1–5	97.38%										

IRB-approved retail exposures, small companies, broken down by risk class and country 2015

%	Exposure-weighted average PD	Exposure, SEK m	Proportion exposure	Accum. of total exposure	Exposure-weighted average LGD	Sweden	UK	Denmark	Finland	Norway	Netherlands	USA	Other countries
Risk class 1	0.14	6 962	25.95	25.95	34.26	24.55		28.22	49.39	20.18			
Risk class 2	0.43	6 507	24.25	50.20	33.10	23.27		41.07	19.33				
Risk class 3	0.73	2 837	10.57	60.77	30.06	13.02			1.36				
Risk class 4	0.96	5 107	19.03	79.80	32.50	18.81		16.85	13.92	37.83			
Risk class 5	2.63	2 126	7.92	87.72	35.62	8.45		3.76	3.98	13.98			
Risk class 6	3.66	1 082	4.03	91.75	35.56	4.16		2.92	4.73	3.60			
Risk class 7	4.82	620	2.31	94.06	37.14	2.08			0.79	17.05			
Risk class 8	7.07	610	2.27	96.33	38.61	2.32		2.08	1.53	2.57			
Risk class 9	17.02	355	1.32	97.65	35.85	1.30		0.21	2.16	3.97			
Defaults	100.00	631	2.35	100.00	49.00	2.04		4.89	2.81	0.82			
Total		26 837	100.00										
		Risk class 1–5	23 539										
		Risk class 1–5	87.71%										

Average PD and LGD by country, exposure amount-weighted 2015

%	Corporate		Institutional		Retail, property lending		Retail, other	
	PD	LGD	PD	LGD	PD	LGD	PD	LGD
Sweden	0.66	24.77	0.13	20.01	0.23	14.43	2.29	30.67
UK	1.34	26.29	1.13	45.00	-	-	-	-
Denmark	5.67	35.28	0.21	45.00	0.57	23.06	4.70	65.06
Finland	2.22	28.83	0.34	45.00	1.71	27.00	6.32	44.75
Norway	0.51	29.93	0.21	45.00	0.34	20.04	0.86	23.74
Netherlands	0.15	43.50	-	-	-	-	-	-
Other	0.36	43.31	0.15	12.41	-	-	-	-

Breakdown, risk class according to IRB Approach without own estimates of LGD and CCF

Corporate exposures – total IRB Approach without own estimates of LGD and CCF, broken down by risk class

SEK m	2015					2014				
	Exposure amount	Exposure amount-weighted average PD %	Exposure amount-weighted average LGD %	Risk-weighted exposure amount	Average risk weighting %	Exposure amount	Exposure amount-weighted average PD %	Exposure amount-weighted average LGD %	Risk-weighted exposure amount	Average risk-weighting %
Risk class 1	29 359	0.03	40.33	4 029	13.72	30 366	0.03	37.81	3 868	12.74
Risk class 2	51 281	0.05	37.27	8 363	16.31	51 280	0.05	37.98	9 555	18.63
Risk class 3	48 787	0.17	35.91	15 068	30.88	48 024	0.17	32.36	13 316	27.73
Risk class 4	13 601	0.38	39.58	7 054	51.86	16 434	0.48	41.02	10 222	62.20
Risk class 5	6 227	0.90	42.07	5 144	82.60	6 155	0.97	40.98	5 053	82.09
Risk class 6	1 601	3.17	42.39	1 880	117.45	2 000	4.05	42.76	2 558	127.88
Risk class 7	454	7.52	41.23	645	142.27	527	10.09	40.87	856	162.55
Risk class 8	114	17.12	39.19	187	163.17	386	20.68	42.34	790	204.55
Risk class 9	179	36.70	44.07	391	218.85	239	54.57	41.70	441	184.21
Defaults	1 151	100.00	53.60	0	0.00	696	100.00	44.16		
Total	152 754			42 761		156 107			46 658	

Institutional exposures – without own estimates of LGD and CCF broken down by risk class

SEK m	2015						2014					
	Exposure amount	Exposure amount-weighted average PD %	Exposure amount-weighted average LGD %	Risk-weighted exposure amount	Average risk-weighting %	External rating	Exposure amount	Exposure amount-weighted average PD %	Exposure amount-weighted average LGD %	Risk-weighted exposure amount	Average risk-weighting %	External rating
Risk class 1	38 010	0.05	22.87	5 367	14.12	Aaa, Aa	39 568	0.04	18.78	3 862	9.76	Aaa, Aa
Risk class 2	33 412	0.12	17.29	5 784	17.31	Aa, A	60 178	0.08	13.61	6 416	10.66	Aa, A
Risk class 3	45 576	0.21	14.67	9 016	19.78	A	34 198	0.19	14.18	5 982	17.49	A
Risk class 4	110	0.51	40.77	94	86.34	Baa	151	0.51	38.96	117	77.21	A, Baa
Risk class 5	88	1.24	32.78	77	88.11	Baa, Ba	201	1.20	25.43	133	66.42	Baa, Ba
Risk class 6	22	2.55	21.29	16	70.51	Ba	70	2.32	34.67	72	102.44	Ba
Risk class 7	24	13.25	45.00	59	241.61	B	38	7.82	45.00	75	198.87	B
Risk class 8	15	35.31	45.00	40	260.71	B, Caa	5	33.57	45.00	13	280.80	B, Caa
Risk class 9	6	35.31	45.00	18	287.55	Caa, C	0	47.19	45.00	1	258.64	Caa, C
Defaults	-	-	-				-	-	-			
Total	117 263			20 471			134 409			16 671		

Breakdown, risk class according to IRB Approach with own estimates of LGD and CCF

Corporate exposures – total IRB Approach with own estimates of LGD and CCF broken down by risk class

SEK m	2015					2014				
	Exposure amount	Exposure amount-weighted average PD %	Exposure amount-weighted average LGD %	Risk-weighted exposure amount	Average risk-weighting %	Exposure amount	Exposure amount-weighted average PD %	Exposure amount-weighted average LGD %	Risk-weighted exposure amount	Average risk-weighting %
Risk class 1	68 149	0.03	22.46	4 871	7.15	63 139	0.03	22.74	4 799	7.60
Risk class 2	235 290	0.03	20.98	17 483	7.43	230 547	0.03	22.48	19 680	8.54
Risk class 3	313 855	0.07	25.82	43 054	13.72	294 574	0.08	26.98	47 319	16.06
Risk class 4	139 210	0.25	28.12	39 452	28.34	123 828	0.28	28.89	38 970	31.47
Risk class 5	55 161	0.79	31.00	29 062	52.69	54 860	0.81	29.74	28 818	52.53
Risk class 6	12 429	2.88	33.16	10 693	86.03	17 341	3.68	33.40	16 406	94.61
Risk class 7	6 907	7.98	35.46	7 824	113.28	8 528	9.85	34.80	10 890	127.70
Risk class 8	1 856	15.83	37.20	2 899	156.21	2 545	18.39	40.27	4 531	178.04
Risk class 9	424	29.96	41.02	778	183.44	684	38.47	36.22	915	133.85
Defaults	6 347	100.00	41.84	11 552	182.01	6 708	100.00	39.95	11 753	175.22
Total	839 628			167 668		802 754			184 081	

Retail exposures – of which property loans with own estimates of LGD and CCF broken down by risk class

SEK m	2015					2014				
	Exposure amount	Exposure amount-weighted average PD %	Exposure amount-weighted average LGD %	Risk-weighted exposure amount	Average risk-weighting %	Exposure amount	Exposure amount-weighted average PD %	Exposure amount-weighted average LGD %	Risk-weighted exposure amount	Average risk-weighting %
Risk class 1	222 603	0.04	13.70	3 974	1.79	192 111	0.04	13.48	3 559	1.85
Risk class 2	296 022	0.07	15.40	9 015	3.05	281 323	0.09	14.93	9 883	3.51
Risk class 3	184 124	0.14	16.86	9 884	5.37	178 249	0.14	16.36	9 300	5.22
Risk class 4	75 427	0.36	19.50	9 720	12.89	75 146	0.37	19.05	9 543	12.70
Risk class 5	20 192	0.65	19.95	3 881	19.22	19 167	0.68	19.65	3 681	19.20
Risk class 6	4 837	1.17	18.04	915	18.93	4 912	1.46	17.35	1 036	21.10
Risk class 7	6 502	2.43	19.64	2 568	39.49	6 200	2.77	19.61	2 706	43.65
Risk class 8	1 560	2.77	20.58	637	40.86	1 461	3.48	20.12	649	44.41
Risk class 9	5 609	6.49	18.27	2 812	50.13	5 191	8.42	17.92	3 223	62.10
Defaults	977	100.00	24.30	2 124	217.31	0	-	-	-	-
Total	817 853			45 533		763 760			43 580	

Retail exposures – of which other IRB approach with own estimates of LGD and CCF broken down by risk class

SEK m	2015					2014				
	Exposure amount	Exposure amount-weighted average PD %	Exposure amount-weighted average LGD %	Risk-weighted exposure amount	Average risk-weighting %	Exposure amount	Exposure amount-weighted average PD %	Exposure amount-weighted average LGD %	Risk-weighted exposure amount	Average risk-weighting %
Risk class 1	26 871	0.08	40.12	2 297	8.55	26 360	0.09	36.01	2 029	7.70
Risk class 2	27 223	0.17	27.87	2 412	8.86	26 851	0.19	28.03	2 503	9.32
Risk class 3	10 502	0.39	31.77	1 781	16.97	10 656	0.40	30.89	1 718	16.13
Risk class 4	11 870	0.69	34.65	3 235	27.26	12 074	0.71	34.75	3 275	27.12
Risk class 5	16 845	1.14	28.29	4 504	26.73	17 820	1.20	28.82	4 843	27.18
Risk class 6	1 695	5.17	35.29	857	50.54	1 937	5.24	33.53	926	47.80
Risk class 7	2 249	7.84	34.58	1 263	56.10	2 780	7.18	33.69	1 483	53.35
Risk class 8	810	6.59	32.42	351	43.41	933	8.38	30.58	408	43.77
Risk class 9	688	15.02	35.29	444	64.81	827	15.69	34.61	532	64.38
Defaults	1 718	100.00	54.05	3 568	207.75	3 449	100.00	39.23	7 715	223.70
Total	100 471			20 712		103 687			25 432	

Development of risk exposure amounts in 2015

In 2015, the Bank's risk exposure amount decreased by SEK 7.3 billion. The effect of exchange rate movements led to a decrease of SEK 2.7 billion in the risk exposure amount.

The largest decrease in the risk-weighted exposure amount for credit risks during the year was the result of improved quality in the portfolio, since volumes for exposures with a high risk weight have fallen, while for exposures with a low risk weight they have risen. In other words, new business has been with counterparties in better risk classes than the average of the Bank's existing credit portfolio. This is known as volume migration. The net effect of counterparties migrating between risk classes, measured as the net of exposures to customers which migrate to better risk classes and those that migrate to poorer classes, was zero during the year (known as rating migration).

The overall effect of the volume migration, rating migration and improved collateral means that the risk-weighted exposure amounts decreased by SEK 24.6 billion during the year. In other words, the portfolio has lower risk at the end of 2015 than at the beginning of the year. The combined effect of the annual validation of the risk estimates was a decrease in the risk-weighted amount of SEK 3.0 billion. The "Other effects, credit risk" item includes factors such as changes in shareholdings, the effects of defaults, and changes in maturity. In net terms, these factors have contributed to an increase in the risk-weighted exposure amount.

Market risks and operational risk have contributed to a small increase in the risk exposure amount during the year. The risk exposure amount for operational risk increased by SEK 2.7 billion from the previous year, due to higher operating income. The risk exposure amount for market risks decreased by SEK 1.4 billion.

Migrations

Trends in the quality of the credit portfolio can be identified to some extent by analysing changes in the internal risk assessment at counterparty level. This is known as credit risk migration (number migration).

The Bank's corporate counterparties are given an internal rating which is split into two dimensions. The first refers to the risk of financial strain and the second to the counterparty's financial resistance to such strain. The rating is converted to an internal risk class for application of the IRB Approach.

For private individuals, in addition to the internal rating, other factors are included when setting the risk class for application of the IRB Approach. In the analysis of how the risk assessment changes at counterparty level for private individuals, only the internal rating is used. This grades the risk level in a dimension which combines the risk of financial strain and financial powers of resistance on a scale from very low risk to very high risk.

Handelsbanken's internal rating method is dynamic, which means that the rating is reassessed when there are signs that the counterparty's repayment capacity has changed to lower or higher risk.

In the adjoining diagrams, the proportion of counterparties migrating between risk classes is presented for corporate exposures and for small companies, which due to their size are included in the exposure class for retail exposures, and also for migrations based on the internal rating for retail exposures to private individuals.

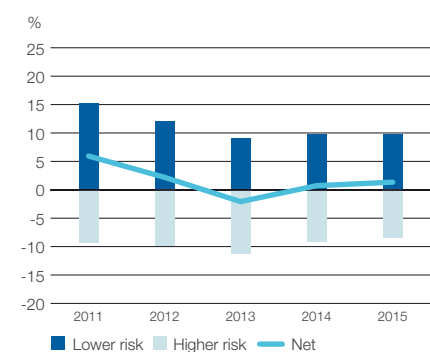
For corporate exposures, the gross migration is stable between the years. Net migration has continuously moved towards lower risk since 2011, except for 2013 when it was slightly negative. In 2014 and 2015, the net migration developed towards lower risk on a par with 2012, albeit at a more moderate rate than 2011. The change is mainly between risk classes which indicate lower risk than normal. Migrations to risk classes that indicate a more substantial risk of default are limited.

Since 2012, net migration for small companies has been small and stable, while the activity level and gross migration remain at a stable level which is higher than before 2011. In 2015, the trend of net migration towards lower risk has been rather stronger than in the two previous years, and are on the same level as 2012. In 2011, net migration moved towards lower risk due to a clearly positive migration. One reason

for the trend for small companies during 2011 was the higher activity level for updating the rating, due to the stricter internal requirement for dynamic rating of these exposures. As of 2011, counterparties with a small credit exposure are also included in the requirement for an active confirmation of the current rating at least once a year, even if there is no reason for a dynamic change of the rating.

For private individuals, the underlying migration development is stable over time. During the past three years, there has been a clear improvement with mainly positive migration.

Proportion of counterparties migrating between internal risk classes. Corporate exposures, 2011–2015

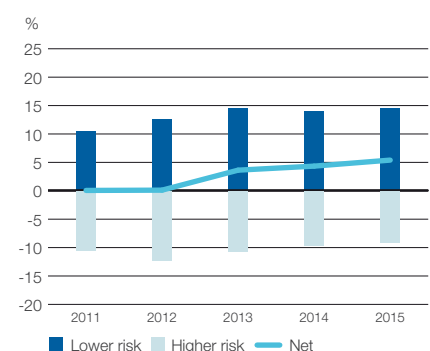


Proportion of counterparties migrating between internal risk classes. Retail exposures – small companies, 2011–2015



Development of risk exposure amounts in 2015	
SEK m	
	2015
Risk exposure amount opening balance	480.4
Volume change	11.9
Credit quality	-24.6
of which volume migration	-23.1
of which rating migration	0.4
of which effect of better collateral	-2.0
Model updates	-3.0
Methodology and policy, including effects of new regulation	0.0
Foreign exchange movements	-2.7
Other effects credit risk	7.6
CVA	2.2
Market risk	-1.4
Operational risk	2.7
Risk exposure amount closing balance	473.1

Proportion of counterparties whose internal rating migrates. Retail exposures – private individuals, 2011–2015



COUNTERPARTY RISK

Counterparty risk arises when the Bank has entered into derivative contracts with a counterparty for instruments such as futures, swaps or options, or contracts regarding loans of securities.

Counterparty risk is regarded as a credit risk where the market value of the contract determines the size of the exposure. If the contract has a positive value, the default of the counterparty means a potential loss for the Bank – in the same way as for a loan.

In calculating both the capital requirement and economic capital (EC), counterparty exposures are taken into account based on the exposure amounts stipulated by the capital adequacy regulations. These credit exposures are then treated in the same way as other credit exposures.

In addition to derivatives, the capital adequacy regulations treat both repurchase transactions and equity loans as counterparty risks. When calculating EC, these transaction types are treated in the same way. The Bank applies the mark to market method to calculate the exposure amount for counterparty risks for capital adequacy purposes.

The size of counterparty exposures is restricted by setting credit limits in the regular credit process. The size of the exposures may vary substantially due to fluctuations in the price of the underlying asset. In order to take account of the risk that the exposure may increase, supplements are added to the value of the exposure when setting credit limits. These add-ons are calculated using standard amounts that depend on the type of contract and the time to maturity. The exposures are calculated and followed up daily. The counterparty risk in derivatives is reduced through so-called netting agreements, which involve setting off positive values against negative values in all derivative transac-

tions with the same counterparty. Handelsbanken's policy is to aim to have netting agreements with all counterparties which are credit institutions. Netting agreements are supplemented with agreements for issuing collateral for the net exposure, which further reduces the credit risk. No transactions with material specific correlation risk have been identified.

The collateral for these transactions is mainly cash, but government securities are also used. Due to the high proportion of cash, the concentration risks in the collateral are limited.

A small number of the collateral agreements entered into by the Bank include terms and conditions concerning rating-based threshold amounts for Handelsbanken. These conditions mean that the Bank must provide further collateral for the counterparty in question, in the event of the Bank's rating from external parties being lowered. At the year-end, a downgrading from AA-/Aa2 to A+/Aa1 would have meant the Bank having to issue further collateral of SEK 42 million (76).

The Bank holds a portfolio of credit derivatives (credit default swaps, CDS) which is classed as trading book. The value of purchased protection is SEK 46 million (521), and the value of sold protection is SEK 0 million (474). The portfolio is being wound down.

In addition to the capital requirement for counterparty risk, derivative transactions result in capital requirements for value change risks related to the counterparty's credit quality (credit valuation adjustment, CVA). The capital requirement for CVA was SEK 713 million (534). Derivatives which are cleared via central counterparties also give rise to capital requirements. Central counterparties are clearing houses which act as the counterparty for both the buyer and seller in various transactions, and thus take over the responsibility

for fulfilling the parties' obligations. All parties which use a central counterparty must provide collateral for all transactions. In most cases the risk weight for centrally cleared derivatives is considerably lower than for other types of derivatives. The risk-weighted amount for derivative transactions with central counterparties is SEK 342 million (176).

Payment risks arise in transactions where the Bank has fulfilled its commitments in the form of foreign exchange conversion, payments or delivery of securities, but cannot at the same time ensure that the counterparty has fulfilled its commitments to the Bank. The risk amount equals the amount of the payment transaction. The payment risks are not included in the credit limit of each customer; instead, they are covered by a separate limit. At Handelsbanken, the risk of value changes in spot transactions is categorised as payment risk, while the risk of value changes in derivative transactions is categorised as credit risk.

Setting a limit for the payment risk is a vital part of Handelsbanken's constant aim to limit risks. This includes developing technical solutions which reduce the period of time during which there is a payment risk. In these efforts, Handelsbanken cooperates with various banking sector clearing institutions. The Bank has also established collaborations with the banks considered to be the strongest and the most creditworthy.

Handelsbanken participates in clearing collaborations such as CLS (Continuous Linked Settlement) for currency trading. Handelsbanken is part-owner of CLS together with around 60 of the largest international FX banks. Handelsbanken is also a partner and direct member of EBA (Euro Banking Association) and its euro payment system.

Counterparty risks in derivative contracts excluding standard add-ons for potential future exposure SEK m	2015	2014
Positive gross market value for derivative contracts	109 287	128 764
Netting gains	49 600	58 286
Current set-off exposure	59 687	70 478
Collateral	35 678	38 191
Net credit exposure for derivatives	24 009	32 287

Counterparty risks in derivative contracts including potential future exposure 2015	Current set-off exposure	Potential future exposure	Total credit exposure/exposure value for derivatives/EAD	Risk-weighted amount	Capital requirement
SEK m					
Sovereign exposures	1 783	1 035	2 818	63	5
Institutional exposures	45 087	25 296	70 383	13 336	1 067
Corporate exposures	12 671	4 181	16 852	4 473	358
Other	145	86	231	181	14
Total	59 686	30 598	90 284	18 053	1 444
<i>of which operations in trading book</i>	<i>18 522</i>	<i>13 524</i>	<i>32 046</i>	<i>6 628</i>	<i>530</i>

Counterparty risks in derivative contracts including potential future exposure 2014	Current set-off exposure	Potential future exposure	Total credit exposure/exposure value for derivatives/EAD	Risk-weighted amount	Capital requirement
SEK m					
Sovereign exposures	7 766	1 824	9 590	19	2
Institutional exposures	41 726	21 611	63 338	9 683	775
Corporate exposures	20 799	7 107	27 905	7 215	577
Other	187	302	489	153	12
Total	70 478	30 844	101 322	17 070	1 366
<i>of which operations in trading book</i>	<i>34 439</i>	<i>15 986</i>	<i>50 425</i>	<i>9 195</i>	<i>736</i>

Market risk

Handelsbanken aims to have low market risks and low volatility in its earnings. Market risks mainly arise in Handelsbanken Capital Markets as a result of customer-driven transactions, and at Central Treasury through the Bank's funding.

Market risks arise from price and volatility changes in the financial markets. Market risks are divided into interest rate risks, equity price risks, exchange rate risks and commodity price risks.

Handelsbanken has a restrictive view of market risks. Market risks at Handelsbanken have decreased further during the past few years from already low levels to very low at present. This work has continued for a long period of time and started before the financial crisis broke out and long before the regulations started to assign such importance to market risks as they do today. One result of this is that a much smaller part of the earnings come from net gains/losses on financial transactions.

At a full-service bank like Handelsbanken, market risks arise when the Bank's customers demand services where the Bank must have flexible funding. The Bank can also obtain funding on other markets than those where it has its

lending so that it can diversify its sources of funding. The funding can also have a different maturity than the assets which are to be funded. Central Treasury manages a liquidity portfolio that can be converted into liquidity at short notice in conjunction with possible disruptions in the markets where the Bank conducts its operations. The portfolio secures the Group's payments in the daily clearing operations and forms part of the Bank's liquidity reserve.

Market risks also arise to meet customers' demand for financial instruments with exposure to the fixed income, currency, equity or commodities markets. To meet this demand, it may be necessary for the Bank to have certain holdings. This situation arises for example when the Bank has undertaken to set prices in its function as a market maker.

Market risk is measured using several different methods. Various sensitivity measures are used, showing the changes in value arising from pre-defined changes in prices and volatilities. Position-related risk measures and probability-based Value at Risk models (VaR) are also used.

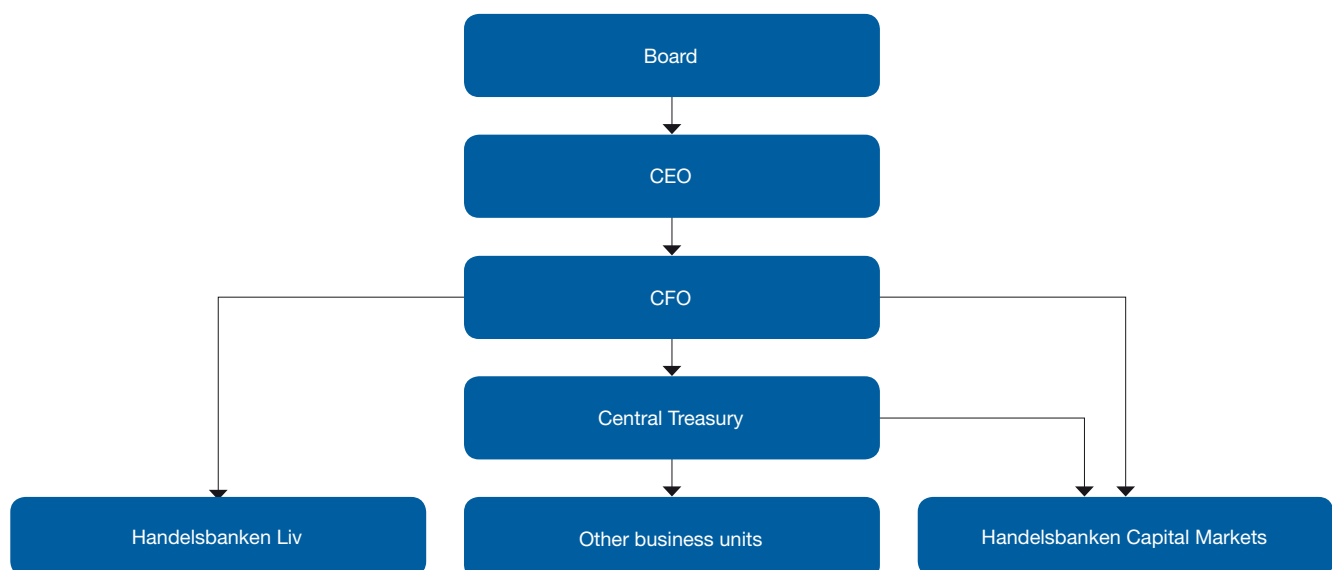
The Bank's limit system restricts the size of the exposure to market risks. Measurement methods and limits are established by the Board. The limits for interest rate, currency and

liquidity risk are allocated by the CEO and the CFO to the Head of Central Treasury, who in turn allocates these to the business-operating units. The Head of Central Treasury has operational responsibility under the CFO for managing interest rate, currency and liquidity risks. Limits for equity price risk and commodity risk are allocated directly to the Head of Capital Markets by the CFO.

The CEO and the CFO also decide on supplementary risk measures, limits and detailed guidelines. The supplementary limit measures aim to reduce the Bank's sensitivity to volatility changes in the financial markets, and to limit the risks of specific holdings and the liquidity risk per currency. These measures also limit the risks from a maturity perspective. The CFO, CEO and Board continually receive reports on the market risks and utilisation of the limits.

Market risks in the Bank's business operations mainly arise at Central Treasury, Handelsbanken Capital Markets and Handelsbanken Liv, and are managed there. The market risks at the insurance company, Handelsbanken Liv, are described in a separate section. Consequently, the information on market risks given in this section refers to risks excluding Handelsbanken Liv.

Decision levels and monitoring of market risk



Risk measured as VaR

VaR is calculated for the portfolios at Handelsbanken Capital Markets and Central Treasury which are classified as trading book. VaR is a probability-based measure and expresses the losses in Swedish kronor that may arise in risk positions due to movements in the underlying markets over a specified holding period and for a given confidence level. VaR is calculated for indi-

vidual classes of risk and at portfolio level with a 99-per cent confidence level and a one-day holding period. The method means that different risk classes can be handled in a uniform way so that they can be compared and aggregated into a total market risk. The overall risk in the portfolios which are classified as trading book was SEK 16 million (12) at the year-end. VaR is reported to the CFO, the CEO and the Board on a regular basis.

The VaR model does not identify risks associated with extreme market fluctuations. The calculations are therefore supplemented with regular stress tests where the portfolios are tested against scenarios based on all events in the financial markets since 1994. The results of these stress tests are also reported to the CFO, CEO and the Board's risk committee on a regular basis.

VaR for trading book, Handelsbanken Capital Markets and Central Treasury

SEK m	Total		Equities		Fixed income		Currency		Commodities	
	2015	2014	2015	2014	2015	2014	2015	2014	2015	2014
Average	12	14	1	1	12	14	5	2	1	1
Maximum	19	24	4	3	17	24	9	6	5	3
Minimum	8	8	0	1	7	9	2	0	0	0
Year-end	16	12	2	1	15	13	7	4	2	1

Worst outcome in stress test for trading book – Handelsbanken Capital Markets and Central Treasury

SEK m	2015	2014
Average	40	27
Maximum	130	46
Minimum	12	13
Year-end	107	37

INTEREST RATE RISK

Interest rate risk mainly arises at Handelsbanken Capital Markets, Central Treasury and in the lending operations. Interest rate risk is measured in several ways at the Bank. General interest rate risk is measured and limited as the sum of the least favourable changes in fair value per currency in the case of substantial instantaneous upward or downward parallel shifts of one percentage point for all interest rates. At the year-end, the Bank's total general interest rate risk was SEK 1,423 million (908). In the calculation of general interest rate risk, deposits without an established interest-fixing period are assumed to have an average interest-fixing period of approximately one month. This risk measure includes both interest-bearing items at market value and not at market value, and it is therefore not appropriate to assess the effects on the balance sheet and income statement.

Specific interest rate risk is measured and limits set are using sensitivity to changes in credit spreads. This risk mainly arises within Handelsbanken Capital Markets and in the Central Treasury liquidity portfolio. The risk is measured and limited on the basis of different rating classes and is calculated as the least favourable change in market value in the case of an upward or downward parallel shift in the credit spreads of one basis point, i.e. the difference between the interest on the current holding and the yield on a government bond with the same maturity. This is performed for each individual counterparty and the outcomes are summed as an absolute total. The total specific interest rate risk at the year-end was SEK 7 million (9).

Interest rate risk in the trading book

The trading book at Handelsbanken comprises Capital Markets' and Central Treasury's port-

folios which are classified as trading book. The general interest rate risk in the trading book was SEK 51 million (117) and the specific interest rate risk was SEK 5 million (7). VaR and other risk measurements are used for the trading book, supplemented by various stress scenarios. Yield curve twist risks – which are measured and followed up on a regular basis – show the development of the risks in the case of hypothetical changes in various yield curves. The non-linear interest rate risk, for example, part of the risk in interest rate options, is measured and a limit set with pre-defined stress scenarios expressed in matrices. This means that the risk is measured as changes in underlying market interest rates and volatilities.

Interest rate risk in other operations

In the lending operations, interest rate risk arises as a result of the lending partly having

General interest rate risk for positions not included in the trading book (change in fair value as the worst outcome in the case of a one percentage point parallel shift in the yield curve)		
SEK m	2015	2014
SEK	920	241
DKK	234	206
EUR	68	103
NOK	12	101
USD	112	91
GBP	24	60
Other currencies	14	17
Total	1 384	819

different interest-rate fixing periods than the funding. In bond funding, the reverse may also apply, i.e. that the interest-rate fixing period on the bonds is longer than the interest-rate fixing period for the lending that the bonds are funding. Interest rate risk is mainly managed by means of interest rate swaps. In general, interest rate risk exposure is in markets which are characterised by good liquidity. The general interest rate risk in other operations measured

as above was SEK 1,384 million (819) and the specific interest rate risk was SEK 2 million (2).

To estimate the effect of interest rate changes on the income statement, the net interest income effect is also measured. The net interest income effect when interest rates change is measured as the change in net interest income over a twelve-month period in the case of a general increase of market rates by one percentage point. This effect reflects the differ-

ences in interest-rate fixing periods and volume composition between assets, liabilities and derivatives outside the trading book, assuming that the size of the balance sheet is constant. In the calculation, it is assumed that deposits without an established interest-fixing period have an average interest-fixing period of approximately one month. The net interest income effect at the year-end was SEK 929 million (788).

Interest rate adjustment periods for assets and liabilities 2015						
SEK m	Up to 3 mths	3–6 mths	6–12 mths	1–5 yrs	Over 5 yrs	Total
Assets						
Loans	1 237 710	149 780	97 672	351 750	29 555	1 866 467
Banks and other financial institutions	284 882	862	453	131	76	286 404
Bonds etc.	40 709	502	2 754	59 920	12 071	115 956
Total assets	1 563 301	151 144	100 879	411 801	41 702	2 268 827
Liabilities						
Deposits	737 001	5 117	2 508	349	2	744 977
Banks and other financial institutions	125 322	32 221	2 679	547	3 630	164 399
Issued securities	440 990	90 976	87 107	575 551	84 959	1 279 583
Other liabilities	-	-	-	-	-	-
Total liabilities	1 303 313	128 314	92 294	576 447	88 591	2 188 959
Off-balance sheet items	-233 048	27 449	15 152	162 738	60 726	33 017
Difference between assets and liabilities including off-balance sheet items	26 934	50 279	23 737	-1 908	13 837	112 879

The table shows the interest rate adjustment periods for interest-rate related assets and liabilities as at 31 December 2015. Non-interest-bearing assets and liabilities have been excluded.

Interest rate adjustment periods for assets and liabilities 2014						
SEK m	Up to 3 mths	3–6 mths	6–12 mths	1–5 yrs	Over 5 yrs	Total
Assets						
Loans	1 261 702	85 192	94 117	338 804	28 020	1 807 835
Banks and other financial institutions	480 157	1 643	194	169	77	482 240
Bonds etc.	40 039	4 730	15 057	45 553	17 189	122 568
Total assets	1 781 898	91 565	109 368	384 526	45 286	2 412 643
Liabilities						
Deposits	980 659	31 768	7 292	1 543	1 007	1 022 269
Banks and other financial institutions	185 229	8 208	696	474	5 468	200 075
Issued securities	287 955	94 458	153 569	605 712	101 208	1 242 902
Other liabilities	-	-	-	-	-	-
Total liabilities	1 453 843	134 434	161 557	607 729	107 683	2 465 246
Off-balance sheet items	-124 028	-12 929	-22 541	138 925	36 792	16 219
Difference between assets and liabilities including off-balance sheet items	204 027	-55 798	-74 730	-84 278	-25 605	-36 384

The table shows the interest rate adjustment periods for interest-rate related assets and liabilities as at 31 December 2014. Non-interest-bearing assets and liabilities have been excluded.

EQUITY PRICE RISK

The Bank's equity price risk mainly arises at Handelsbanken Capital Markets through customer trading and in the Bank's own equity portfolio.

The equity price risk table shows the risk in the Bank's total equity positions in the case of an instantaneous change in equity prices and volatilities by +/-10 and +/-25 per cent respectively. At the year-end, the Bank's worst case outcome of this risk was SEK 651 million (825).

Equity price risk in the trading book

The equity price risk at Handelsbanken Capital Markets arises in customer-generated equity-related transactions. Handelsbanken Capital

Markets is a market maker for structured products, which gives rise to equity price risk, both linear and non-linear. The non-linear equity price risk arises via options mainly included in the structured products.

The extent of own position-taking, which arises to meet customers' needs, is restricted by the limits decided by the Bank's Board, the CEO and the CFO. The Bank limits and measures the equity price risk at Handelsbanken Capital Markets using matrices. The advantage of this method is that it effectively identifies equity price risk including the non-linear risk. VaR as well as other risk measures and stress scenarios are used as a complement when measuring the equity price risk. At the year-end,

the Bank's VaR for equity price risk in the trading book was SEK 2 million (1).

Equity price risk outside the trading book

The majority of the Group's shareholdings outside the trading book, 71 per cent (81), comprise shares listed on an active market valued at market price. Holdings of unlisted securities mainly consist of various types of jointly owned operations related to the Bank's core business. In general, such holdings are valued at the Bank's share of the company's net asset value, or alternatively at the price of the last completed transaction. Equity exposures outside the trading book are classified as available for sale and are recognised at fair value in the balance sheet.

Equity price risk SEK m	Change in volatility					
	2015			2014		
	-25%	0%	25%	-25%	0%	25%
Change in equity price						
10%	647	651	654	833	833	834
-10%	-651	-648	-645	-825	-822	-820

EXCHANGE RATE RISK

Handelsbanken has home markets outside Sweden and also operations in a number of other countries. Indirect currency exposure of a structural nature therefore arises, because the Group's accounts are expressed in Swedish kronor. The structural risk is minimised by matching assets and liabilities in the same currency as far as possible. The exchange rate movements that affect the Bank's equity are

shown in the table on page 70 of the Annual Report: Statement of changes in equity – Group.

The Bank's direct foreign exchange exposure arises as a consequence of customer-driven intra-day trading in the international foreign exchange markets. This trading is conducted at Handelsbanken Capital Markets. The Board, the CEO and the CFO have set VaR limits for this exchange rate risk.

Some foreign exchange exposure also arises in the normal banking operations as part of managing customer payment flows and in funding operations at Central Treasury. The Board, CEO and CFO have set position limits for these risks. At year-end, the aggregate net position amounted to SEK 391 million (355). The exchange rate risk in the Bank does not depend on trends for an individual currency or group of currencies, because the positions are very short and arise in management of customer-driven flows. The total exchange rate risk in the trading book and other operations was SEK 36 million (6), measured as the impact on the Bank's earnings of an instantaneous 5 per cent change of the Swedish krona.

Exchange rate sensitivity (worst outcome +/- 5% change SEK against the respective currency)		
SEK m	2015	2014
EUR	3	14
NOK	20	2
DKK	3	1
USD	4	1 ¹
GBP	6	0
Other currencies	8	10

¹ Positive effect of worst outcome +/- 5% change.

Equity exposures outside the trading book		
SEK m	2015	2014
Classified as available for sale	6 581	8 367
of which listed	4 667	6 753
of which unlisted	1 914	1 614
Classified as available for sale	6 581	8 367
of which business-related	5 198	6 198
of which other holdings	1 383	2 169
Fair value reserve at beginning of year	1 460	1 217
Unrealised market value change during the year for remaining and new holdings	789	237
Realised due to sale and settlements during the period	-111	6
Fair value reserve at end of year	2 138	1 460
Included in tier 2 capital	0	0

COMMODITY PRICE RISK

Exposure in commodity-related instruments only occurs as a result of customer-based trading in the international commodity markets and is restricted by limits decided by the Board, CEO and CFO. Trading in commodities is conducted exclusively at Handelsbanken Capital Markets. Commodity price risk, both linear and non-linear, is measured as the absolute total of risk for all commodities to which the Bank is exposed. At the year-end, the commodity price risk was SEK 5 million (6), measured as the maximum loss on price changes up to 20 per cent in underlying commodities and changes in volatility up to 35 per cent. At the year-end, the Bank's VaR for commodity price risk was SEK 2 million (1).

Funding and liquidity risk

The starting point for Handelsbanken's work on liquidity risk is a well-balanced balance sheet where long-term assets are financed with stable funding. As a natural consequence of the Bank's low tolerance of risks, Handelsbanken has over time worked on building up liquidity reserves and matching cash flows to limit its liquidity risks.

Liquidity risk is the risk that the Bank will not be able to meet its payment obligations when they fall due without being affected by unacceptable costs or losses.

In 2015, Handelsbanken was slightly less active than previously in the bond markets, mainly due to a large increase in deposits. The Bank has, however, continued to meet investors to the same extent as previously, updated its funding programmes and also in other respects maintained the conditions for bond funding on all relevant funding markets worldwide. This enables funding operations to be maintained in circumstances that are much more difficult than those which have existed in the past few years.

Handelsbanken is the only major Swedish bank which has managed completely on its own

for its funding throughout the latest financial crisis, with no support from central banks or public authorities.

Funding strategy

Handelsbanken has a low tolerance of liquidity risks and works actively to minimise them in total and also in each individual currency. The aim is to have good access to liquidity, a low level of variation in results and a considerable capacity to meet customers' funding needs, even in difficult times. This is achieved by maintaining a good matching of incoming and outgoing cash flows over time in all currencies of importance to the Bank and by maintaining large liquidity reserves of good quality.

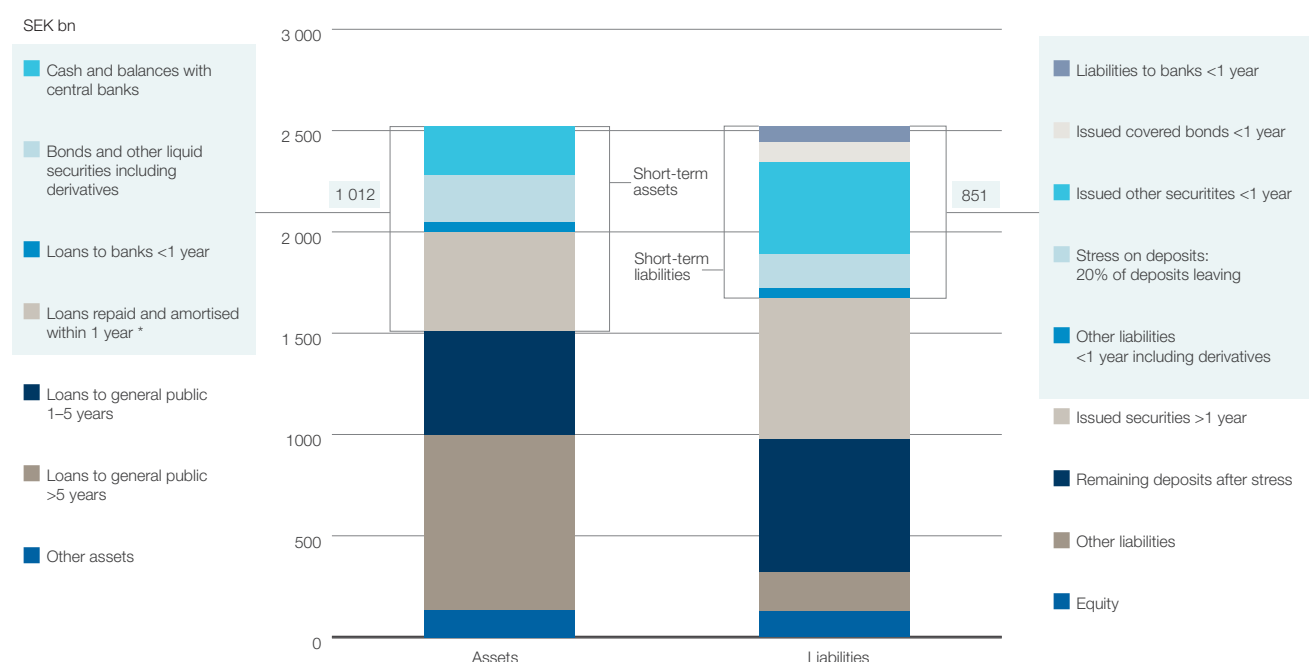
Furthermore, the Bank aims for breadth in its funding programmes and their use, so that no type of investor is treated at a disadvantage compared to others. This ensures that the Bank can keep its core business intact for a long period of time, even if there is extensive disruption in the financial markets.

The starting point of this work is a well-matched balance sheet, where illiquid assets are financed using stable funding. The illiquid assets comprise credits to households and companies; these credits constitute the Bank's core business. The long-term stable funding of these assets consists of covered bonds issued by Stadshypotek, senior bonds issued by Handelsbanken, deposits from households and companies, subordinated liabilities and equity. Part of the core operations are short-term lending to households and companies and on the liabilities side, some of the deposits for these customers are shorter term.

The main point is that illiquid assets are funded with long-term liabilities. The rest of the balance sheet comprises liquid assets and liabilities that are shorter term.

The short-term market funding and deposits from financial institutions finance liquid assets and assets with shorter maturities. In addition, short-term assets and liabilities arise via transactions that support customer-driven transac-

Composition of the balance sheet from a maturity perspective, as at 31 December 2015



* Scheduled amortisations, contractual maturities and estimated additional loan repayments.

tions, such as derivative and repo transactions with other banks.

A balance sheet is a snapshot of assets and liabilities. To ensure that the Bank's obligations towards customers and investors are fulfilled, it is important to adopt a future-oriented perspective in funding and liquidity risk management. The balance sheet is therefore structured in such a way that the real economy players in the form of companies and households and their needs for credit can be supported even during lengthy periods of stress in the financial markets. Short-term assets cover short-term liabilities by a good margin. In the diagram on the previous page, the balance sheet is described in a stressed scenario where 20 per cent of deposits are assumed to disappear within one year and all access to new market funding disappears. Despite the stress, short-term assets are estimated to exceed short term liabilities by a considerable amount at year-end. A long-term crisis could result in a reduced balance sheet with retained core business, whereby the volume of short-term assets is gradually used to

pay back maturing short-term liabilities. In the event of an even longer crisis, measures have been prepared to create liquidity which will provide more support to the business operations.

The market has great confidence in Handelsbanken and its assessment is that Handelsbanken has a low credit risk. One illustration of this is that the cost of insuring a credit risk on the Bank, which is known as the CDS spread, is one of the lowest of all among European banks, and Handelsbanken has the lowest funding cost of all peer banks.

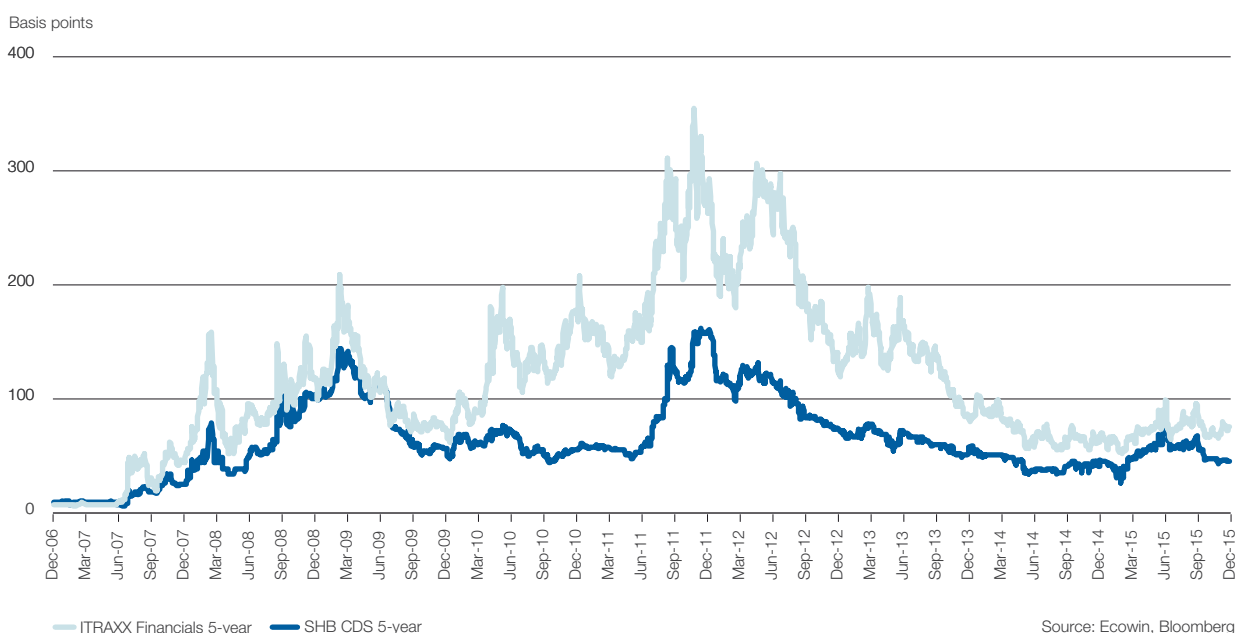
Good diversification between different types of sources of funding in various markets, currencies and forms of funding instruments is a key component of the funding strategy. This reduces the significance of individual markets or sources of funding. In recent years, the Bank has considerably broadened its long-term international funding and has issued significant volumes of bonds in, for example, the eurozone, the UK, the US, Asia and Australia. The most important sources of funding are deposits from households and companies as well as covered

and senior bonds. The short-term funding mainly comprises deposits from financial companies and institutions as well as issues of certificates and CDs. Central Treasury has a number of different funding programmes for market funding at its disposal, which in addition to the programmes reported in the table Funding programmes/limits on page 54, include covered bonds in Swedish kronor. Bonds and certificates are issued under these programmes in the Bank's and Stadshypotek's names. The funding programmes ensure well-diversified access to funding in terms of different currencies, the number of investors and geographic breakdown.

Encumbered assets and cover pools

An important part of Handelsbanken's liquidity management consists of retaining significant volumes of unutilised collateral that can be used in the event of disruptions in the financial markets. One prerequisite for being able to pledge additional collateral is for the Bank to have collateral at its disposal from the outset. The Bank

Handelsbanken's 5-year CDS spread compared with ITRAXX Financials 2007–2015



Source: Ecwin, Bloomberg

ITRAXX Financials is an index of CDS spreads for the 25 largest bond issuers in the European bank and insurance sector. It describes the average premium that an investor requires in order to accept credit risk on the companies.

therefore retains substantial volumes of non-encumbered assets that could be used as collateral in the issue of covered bonds and liquid securities with very high credit ratings. The Bank is restrictive about entering into agreements with other parties than credit institutions, such as CSA agreements that stipulate that the Bank, according to certain criteria, may be forced to provide collateral to another counterparty. In addition to securing the Bank's liquidity, this also contributes to limiting the extent to which the Bank's senior lenders could have lower priority than lenders who invest in covered bonds, known as subordination.

To assess the degree of subordination between investors of non-encumbered funding and encumbered funding, the volume and credit quality of the non-encumbered assets are the relevant factors. Handelsbanken's restrictive approach to risk-taking means that the non-encumbered assets are of high quality. Since Handelsbanken wishes to have a balanced utilisation of covered and senior bonds, there is a large volume of mortgage loans which are not encumbered. Other non-encumbered loans also have a low risk measured, for example, in terms of the Bank's internal rating.

The table of non-encumbered assets shows

that the volume of non-encumbered assets for Handelsbanken is 203 per cent of the outstanding volume of non-encumbered funding. At the end of the year, the Bank decided to reduce the volume of short-term deposits. This explains the decrease in holdings with central banks and the ratio between non-encumbered assets in relation to the outstanding volume of non-covered funding compared with previous quarters.

The majority of the encumbered assets consist of Stadshypotek's cover pools, which comprise mortgage loans provided as collateral for outstanding covered bonds. The Bank also has voluntary OC (over-collateralisation – extra

Encumbered assets and other pledged collateral	Reported values	
	2015	2014
SEK bn		
Loans to the public ¹	618	623
Government instruments and bonds	26	29
Equities	1	1
Cash	22	31
Other	113	105
Total pledged assets²	780	789
Other pledged assets ³	33	36

Loans to the public are reported at amortised cost. Other pledged assets are reported at fair value. The reported value of the liabilities related to the collateral was SEK 833bn.

¹ Of which over-collateralisation in the cover pool (OC) SEK 57bn (57).

² Of which SEK 18bn (27) is collateral which can be freely reclaimed by the Bank.

³ Of which SEK 22bn (27) is collateral which can be freely reclaimed by the Bank.

Non-encumbered/non-pledged assets	2015		2014	
	NEA ¹	% of non-secured funding ²	NEA ¹	% of non-secured funding ²
SEK bn				
Cash and balances with central banks	238	28	519	62
Liquid bonds in liquidity portfolio	114	42	129	77
Loans to households including derivatives	486		461	
<i>of which mortgage loans</i>	283	75	310	114
<i>of which loans secured by property mortgage</i>	14	77	15	116
<i>of which other household lending</i>	189	100	136	132
Loans to companies including derivatives	786		702	
<i>of which mortgage loans</i>	170	120	90	142
<i>of which loans to housing co-operative associations excl. mortgage loans</i>	40	125	32	146
<i>of which loans to property companies inc./exc. mortgage loans</i>				
- risk category 1–3	238	153	221	173
- risk category 4–5	88	163	79	182
- of which risk category >5	11	165	14	184
<i>of which other corporate lending</i>				
- risk category 1–3	150	182	169	204
- risk category 4–5	71	191	74	212
- risk category >5	18	193	23	215
Loans to credit institutions including derivatives	46		64	
- risk category 1–3	46	198	63	223
- risk category >3	0	198	1	223
Other assets	0	198	0	223
Other lending	39	203	117	237
Non-encumbered/non-pledged assets	1 709	203	1 992	237

¹ NEA: Non-encumbered assets.

² Issued short and long non-secured funding and due to credit institutions.

assets in addition to those which are needed to cover the issued bonds) of 10 per cent which is included in the pool. These extra assets are in the pool in case the value of the mortgage loans were to fall to a level such that further assets are needed to match the volume of outstanding bonds. When assessing the risk that it will be necessary to add further assets, the loan to value (LTV) of the mortgage loans in the cover pool is of fundamental importance. The lower the LTV, the lower the risk that more mortgage loans are required in the pool if prices fall in the property market. Handelsbanken's average LTV, LTV Max, was 53.6 per cent in the Swedish pool

and 56.7 per cent in the Norwegian pool. This shows that the Bank can withstand substantial drops in prices of underlying property assets before further mortgage loans have to be added to the pools. As shown in the table on page 19, the total LTV for the Group's property lending fell in 2015.

The assets which the Bank has chosen to keep outside the pool are shown in the table on the previous page and can be used for issues of covered bonds if necessary.

Collateral received available for encumbrance	Fair value of collateral received available for encumbrance		Fair value of encumbered collateral received	
	2015	2014	2015	2014
SEK bn				
Government instruments and bonds	11	29	5	1
Shares	4	4	4	4
Total	15	33	9	5

The carrying amount of the liabilities and other commitments for which the collateral has been pledged amounts to SEK 8bn (5).

Cover pool data	Sweden		Norway	
	31 Dec 2015	31 Dec 2014	31 Dec 2015	31 Dec 2014
SEK m				
Stadshypotek total lending, public	936 504	878 943	66 986	64 243
Available assets for cover pool	859 398	786 304	62 264	58 311
Utilised assets in cover pool	600 025	600 850	17 701	22 394
Maximum LTV, weighted average ASCB definition ¹	53.6	49.3	56.7	49.4
Volume-weighted LTV (LTV Mid)	27.1	25	29.1	25.4
LTV, breakdown				
0–10%	23.5	23.9	19.6	23.1
10–20%	20.1	20.9	20.3	22
20–30%	16.8	18.1	17.3	18.1
30–40%	13.7	15.2	14.9	15.6
40–50%	10.8	12.3	12.1	12.4
50–60%	8	9.5	9.2	8.8
60–70%	5.4	0	5.5	0
70–75%	1.7	0	1.1	0
Loan amount, weighted average, SEK	625 700	638 600	3 115 226	3 156 843
Loan term, weighted average, no. of months	42	41	22	22
Interest fixing periods, breakdown				
Floating rate %	45	50	100	100
Fixed rate %	55	50	0	0

¹ The calculation method has been changed which has affected the comparison figures for 2014.

Reporting asset encumbrance

Reporting of asset encumbrance needs to be developed so that it presents a true and fair view of the extent to which senior lenders to banks have access to high-quality assets to protect their claims. In particular, the use of central bank financing should be discussed and collateral used for covered bonds should be reported in a consistent manner.

In the wake of the financial crisis, investors have become increasingly focused on the extent to which a bank's assets are pledged or otherwise unavailable to the bank's unprioritised lenders in the event of the bank going bankrupt. The term "asset encumbrance" is used internationally and can be interpreted to mean the use of a bank's assets as collateral, although it actually concerns a wider perspective on limitations of the possibility to realise assets in a hypothetical bankruptcy situation. The focus on asset encumbrance has grown in parallel with it becoming increasingly clear that a bank's lenders may lose money if the bank is about to fail. It has therefore become more important for lenders to understand how their claim on the bank is prioritised in relation to other liabilities on the bank's balance sheet, and to what extent high-quality assets are available to cover these claims.

For the past few years, Handelsbanken has reported the extent to which the Bank's assets are encumbered and, above all, because the Bank regards it as more important: which assets are unencumbered and therefore constitute protection for unprioritised creditors.

The risks concerning encumbered assets have been addressed in European banking regulations, and a requirement for presenting information on encumbered assets has been introduced. The European Banking Authority (EBA) has also published a report commenting on the extent of encumbered assets in the European banking sector (EBA Report on Asset Encumbrance, September 2015).

The publication requirements that have been introduced aim to show a bank's overall level of encumbrance, i.e. only show what proportion of the assets are encumbered. In Handelsbanken's opinion, this information is hardly valuable to investors unless it also states what type of assets are or are not encumbered, and the reason for the encumbrance.

Handelsbanken presents encumbered assets in two tables. One table shows the type of assets that are encumbered and the other shows unencumbered assets, grouped by the level of risk attached to the assets.

The aim of displaying the types of assets that are encumbered is to highlight the reason for

their encumbrance. As shown in Handelsbanken's tables, the clearly dominating proportion of the encumbered assets comprises mortgage loans that are encumbered by having been registered as assets available as security for the issue of covered bonds, i.e. they are included in the cover pool. Other assets mainly consist of liquid assets that are used as collateral for derivatives and in repos and for securities lending.

In contrast with most other banks, Handelsbanken also chooses to show the unencumbered assets, and to specifically highlight the composition of these assets, focusing on what level of risk they may be deemed to involve for the Bank's investors. The point is that it is not particularly interesting for those investors who purchase the Bank's senior bonds to look at the degree of encumbrance because for banks that use covered bonds in order to finance housing this in principle only shows the extent to which a bank has a large or small proportion of mortgage loans in its loan portfolio. Handelsbanken has a relatively large proportion of mortgage loans, which is positive from a risk perspective as they generally constitute low-risk lending. As mortgage loans are largely financed using covered bonds, and are thereby encumbered, the degree of encumbrance will appear high compared to banks with a lower proportion of mortgage lending. This is not negative for the investor, however, when the assets that are unencumbered are of extremely high quality.

The table of encumbered assets demonstrates that Handelsbanken has a large volume of mortgage loans that are unencumbered and can in principle be financed using covered bonds. There are several reasons why Handelsbanken has chosen not to finance all available mortgage loans in this way. One is to show those who invest in the Bank's senior bonds that there are plenty of high-quality assets as protection for their investments. Another is that the Bank limits its already low liquidity risk in this manner because it is able to increase its issues of covered bonds in a stressed situation, when senior financing is hypothetically more expensive or not available at all. The market for covered bonds has demonstrated substantial resilience, especially in Sweden, where in practice, it has never been entirely closed to issuance.

Additionally, the table illustrates that the unencumbered assets available as protection for investors in the Bank's senior bonds are characterised by very low risk. It also illustrates what proportion of the Bank's senior funding is covered by the various types of assets.

One specific issue that is important to highlight regarding encumbrance and covered bonds is how to recognise over-collateralisation. When issuing covered bonds, the market demands that a larger volume of collateral be added to the collateral pool than the volume of bonds being issued. The reason for this is that there must be a certain margin in the hypothetical event of the Bank going bankrupt and that the collateral must be kept separate, so that the value of the collateral is adequate to repay the bonds, even in less favourable market conditions. Many banks choose to transfer all available collateral to the collateral pool and can thereby demonstrate a high proportion of over-collateralisation, i.e. the value of the collateral pool exceeds the value of the issued bonds by a wide margin. This is naturally viewed positively by investors in the covered bonds. However, at the same time it is negative for investors in the Bank's senior bonds because an unnecessarily high proportion of the assets are transferred to the total collateral that specifically protects investors in covered bonds. In this respect, the presentation of information by many banks is misleading. In the presentation of over-collateralisation for covered bonds, all assets are included in the total collateral, but only assets corresponding to the value of the outstanding covered bonds are recognised as encumbered when information is presented on encumbered assets. In Handelsbanken's opinion, it is important to have consistency in the presentation of over-collateralisation and encumbered assets.

Handelsbanken also regards it as important to have a balance between the interests represented by investors in senior bonds and investors in covered bonds, respectively. This is why Handelsbanken transfers the collateral to the cover pool that Bank has communicated as constituting suitable over-collateralisation, but no more than that. How much over-collateralisation is deemed suitable is governed

by the obligation to achieve a reasonable balance between the interests of senior bond holders and covered bond holders, and rating agencies' views on over-collateralisation when rating the bank's covered bonds. The transferred over-collateralisation is then also recognised as encumbered in the presentation of encumbered assets.

Another aspect regarding the requirements for recognition of encumbered assets is that they avoid the information that is of greatest interest from an investor's perspective: whether the bank has pledged assets in order to gain access to central bank financing. During the crisis, it was primarily banks with limited access to other sources of financing that needed to use central bank financing in order to manage their liquidity. For investors, a bank's need for central bank financing is naturally extremely important information to have access to. It is probable that the main interest in gaining access to information about encumbered assets stems precisely from the information value concerning the use of central bank financing. Regulatory authorities have so far not deemed it appropriate to demand this transparency, chiefly because of not wanting to create stigmatisation regarding the use of such financing. With the heightened risks that the new resolution directive entails for senior lenders, however, it is very important to improve this transparency and make this information available to investors.

From Handelsbanken's perspective, the regulatory authorities' standpoint on this matter has been strange. Countries have generally been extremely negative to the need for government support to the banking sector during the global financial crisis. Although there is a difference between using central bank financing during a general system crisis and seeking direct support from the state with which to cover losses, it should generally be regarded as a desirable aim that banks should only use government financing when it is really needed. Handelsbanken's view is that it is inappropriate that banks should not even need to publicly report whether government-supported financing has been used (which is what central bank financing actually comprises). Throughout the crisis, Handelsbanken made it clear that the Bank did not use

central bank financing or any other form of government financing.

To summarise, Handelsbanken welcomes the fact that a transparency requirement has been introduced for encumbered assets, but the Bank finds the requirement far too limited in scope. Greater requirements should be set on highlighting the quality of unencumbered assets, on consistency in how encumbered assets are presented in conjunction with information on covered bonds, and on stating the cause of the encumbrance in the presentation of the data – particularly whether the encumbrance took place in connection with the use of central bank financing.

Organisation

Handelsbanken has a highly decentralised business model, but all funding and liquidity risk management in the Group is centralised to Central Treasury. Funding and liquidity risk management is governed by policies established by the Board which also decides on limits. Guidelines from the CEO and CFO make these policies concrete. The guidelines stipulate limits, the composition of the funding and guides in the case of disruptions in the funding markets.

The basic condition for the funding operation is that it must promote long-term stable growth in profits by limiting market and liquidity risks. This is achieved by matching cash flows between funding and lending. The Bank thus minimises the economic risks in funding and can thereby decide on stable and long-term internal interest rates to the business-operating units. Furthermore, all liquidity risk limits are channelled to the operations via Central Treasury.

In the wake of the financial crisis of recent years, a number of new regulations have been introduced. The Bank has previously implemented a number of measures at its own initiative. It has therefore fulfilled these regulations for a long period of time. The measures include a centralised treasury function with overall

responsibility for all funding and liquidity risk management, an increased proportion of long-term funding, internal prices that reflect the market price, liquidity risk and maturity. In addition, the transparency related to funding, liquidity risk and the proportion of pledged assets has been considerably increased.

Central Treasury is also responsible for the Bank's clearing operation and monitors liquidity flows during the day to ensure that the Bank has sufficient collateral in its payment systems at any given time to meet the Bank's payment obligations. The Bank's liquidity monitoring takes place locally, near the transactions, and is supplemented by central management of collateral and the liquidity reserve for the whole Group. The Bank participates in Continuous Linked Settlement (CLS) and local payment systems required to support the core operation and in this way ensures payments and settlements by providing liquidity or collateral.

The size of collateral in the clearing systems is determined on the basis of what the Bank deems is required to fulfil its obligations, both in normal circumstances and in case of larger flows. If the flow changes, the size of collateral and liquidity is adjusted, and in times of crisis, collateral can also be redistributed and the liquidity reserve can be activated. The Bank

secures liquidity in its nostro accounts for expected payment and settlement undertakings through active liquidity planning and monitoring in all currencies.

Pricing of liquidity risk

An important part of liquidity risk management is that deposits and lending are priced internally, taking into account the liquidity risks that they give rise to. For example, when the Bank grants a loan with a long maturity this creates the need to obtain additional long-term funding – which is more expensive than shorter-term funding. This is because investors who purchase the Bank's long-term bonds normally demand higher compensation for the maturity. This must be taken into account in the Bank's internal pricing by ensuring that the price which internal units in the Bank have to pay for the loans they obtain from Central Treasury varies according to factors such as the maturity period. No liquidity risks can be taken locally. The internal pricing is important in order to create the right incentive and to avoid unsound risk-taking. The Bank has worked with maturity-based internal prices for a long time. They ensure that the price at contract level takes into account the liquidity risk that the agreement has given rise to. This system was already fully implemented at the Bank in 2010.

Funding programmes/limits as at 31 December 2015

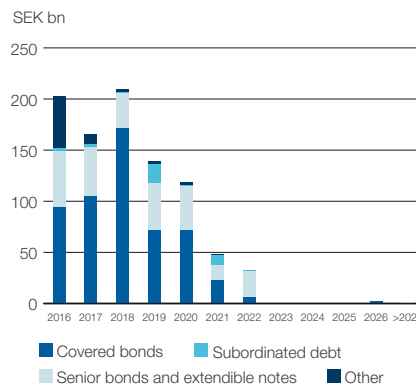
Programme	Currency	Programme size	Utilised amount, current programme	Countervalue SEK m
ECP ¹	EUR	5 000	3 271	29 881
ECP (Stadshypotek) ¹	EUR	4 000	106	968
French commercial paper	EUR	7 500	673	6 148
Swedish commercial paper	SEK	25 000	400	400
Swedish commercial paper (Stadshypotek)	SEK	90 000	0	0
USCP	USD	15 000	7 032	58 734
AMTN	AUD	5 000	650	3 956
AMTCN (Stadshypotek)	AUD	5 000	750	4 565
EMTN ¹	USD	50 000	23 681	197 793
EMTCN (Stadshypotek) ¹	EUR	20 000	10 864	99 243
US 144A/3(a)(2)	USD	20 000	10 900	91 041
Stadshypotek US 144A	USD	15 000	3 750	31 322
Samurai	JPY	400 000	192 300	13 335
MTN ¹	SEK	100 000	15 392	15 392
General funding >1 yr ¹	USD	15 000	2 324	19 411
Extendible notes	USD	15 000	3 804	31 773
Total				603 962
Total programme or limited amounts, SEK m		1 722 839		
Unutilised amount, SEK m		1 118 877		
Remaining to utilise, %		65		

¹ It is possible to issue in other currencies than the original programme currency under these programmes, where currency conversion takes place at the time of issue.

Long-term market funding – composition

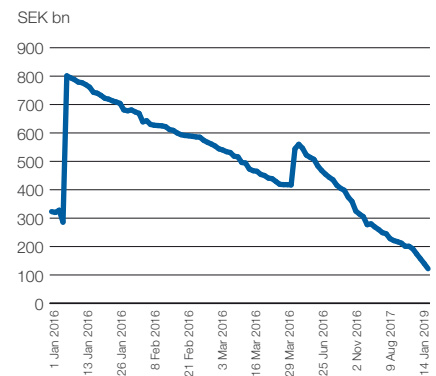
During the year, Handelsbanken issued long-term market funding in all currencies that are important to the Bank. Short-term funding mainly takes place through issues of certificates of deposit under the various loan programmes in Sweden, Europe and the US. These loan programmes are supplemented by funding in the international interbank market. Central Treasury ensures that the maturity structure and currency composition in the balance sheet are in keeping with the Bank's risk tolerance. In total, SEK 214 billion in long-term market funding was issued during the year.

Maturity profile long-term market funding

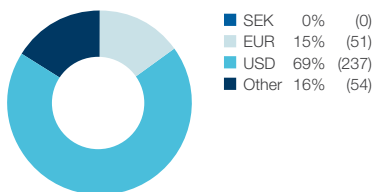


Refers to issued securities as at 31 December 2015 with an original maturity exceeding one year.

Stress test of liquidity, including liquidity-creating measures – accumulated liquidity position

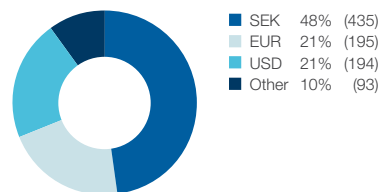


Short-term market funding per currency as at 31 December 2015



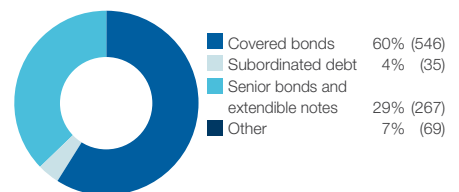
Refers to the currency breakdown as at 31 December 2015 for issued securities with original time to maturity of less than one year. Amounts in brackets SEK billions.

Long-term market funding per currency as at 31 December 2015



Refers to the currency breakdown as at 31 December 2015 for issued securities with original time to maturity of more than one year. Amounts in brackets SEK billions.

Long-term market funding per instrument as at 31 December 2015



Refers to breakdown per instrument as at 31 December 2015 for issued securities with original time to maturity of more than one year. Amounts in brackets SEK billions.

Holdings with central banks and banks, and securities holdings in the liquidity reserve as at 31 December 2015, market value

SEK m	SEK	EUR	USD	Other	Total
Cash and balances with and other lending to central banks	15 998	45 560	94 626	80 175	236 359
Balances with other banks and National Debt Office, overnight	0	43	75	1 062	1 180
Government-issued securities	33 915	6 900	16 933	-	57 748
Securities issued by municipalities and other public entities	2 045	275	3 068	-	5 388
Covered bonds	35 707	2 554	-	10 521	48 782
Own covered bonds	1 314	-	-	-	1 314
Securities issued by non-financial companies	502	135	-	-	637
Securities issued by financial companies (excl. covered bonds)	214	4	-	15	233
Other securities	-	-	-	-	-
Total	89 695	55 471	114 702	91 773	351 641

Holdings with central banks and banks, and securities holdings in the liquidity reserve as at 31 December 2014, market value

SEK m	SEK	EUR	USD	Other	Total
Cash and balances with and other lending to central banks	5 797	81 766	312 770	103 509	503 842
Balances with other banks and National Debt Office, overnight	13 697	254	343	1 173	15 467
Government-issued securities	38 470	7 743	15 946	3 785	65 944
Securities issued by municipalities and other public entities	158	-	-	171	329
Covered bonds	36 765	2 710	-	11 263	50 738
Own covered bonds	8 398	86	-	1 401	9 885
Securities issued by non-financial companies	1 423	432	-	-	1 855
Securities issued by financial companies (excl. covered bonds)	124	96	-	49	269
Other securities	-	-	-	-	-
Total	104 832	93 087	329 059	121 351	648 329

Liquidity reserve

As at the year-end, Handelsbanken's total liquidity reserve exceeded SEK 800 billion and it covers the Bank's liquidity requirement in stressed conditions for over three years.

To ensure sufficient liquidity to support its core operations in stressed financial conditions, the Bank holds large liquidity reserves. Liquidity reserves are kept in all currencies that are relevant to the Bank and are accessible from Central Treasury. The liquidity reserve is independent of funding and foreign exchange markets and can provide liquidity to the Bank at any time – some parts immediately and other parts gradually over a period of time.

The liquidity reserve comprises several different parts. Cash, balances and other lending to central banks are components which can provide the Bank with immediate liquidity. The reserve also comprises government bonds, covered bonds and other high-quality securities which are liquid and eligible as collateral with central banks. These can also provide the Bank with immediate liquidity. The remainder of the liquidity reserve comprises an unutilised issue amount for covered bonds and other liquidity-creating measures.

Liquidity risk

The Bank handles a large number of incoming and outgoing cash flows every day. The gap between incoming and outgoing flows is restricted by means of limits. Central Risk Control reports risk utilisation daily to the CFO, weekly to the CEO and continuously to the Board.

Liquidity planning is based on an analysis of cash flows for the respective currency. As a general rule, a larger exposure is permitted in currencies with high liquidity than in currencies

where the liquidity is low. The strategy is that expected outgoing cash flows from the Bank must always be matched with incoming cash flows into the Bank that are at least of the same amount, and that a positive cash flow and cash position must be maintained – even in stressed conditions. This kind of gap analysis is supplemented by scenario tests, in which the effect on liquidity is stressed and analysed using various assumptions. These stress tests are performed at Group level and also individually for the currencies that are important to the Bank. The internal governance of the Bank's liquidity situation is based on these stressed liquidity figures.

Since 2013, Liquidity Coverage Ratio (LCR) has been a binding requirement for Swedish banks, and Handelsbanken reports it according to the Swedish Financial Supervisory Authority's definition. The figure states the ratio between the Bank's liquidity buffer and net cash flows in a very stressed scenario during a 30-day period. The ratio must be more than 100 per cent. The requirement applies to LCR at aggregate level and separately for US dollars and euros. Since 1 October 2015, the European Commission's delegated act contains a minimum European requirement for LCR. The minimum requirement is initially 60 per cent and will be gradually raised to 100 per cent by 2018 when the delegated act will be fully implemented. The LCR introduced by the Swedish Financial Supervisory Authority is based on considerably more stressed assumptions, particularly in terms of outflow assumptions regarding deposits and the composition of the liquidity portfolio.

The LCR may display a degree of volatility over time, for example when funding that was originally long term and that finances mortgage loans is replaced by new long-term funding, or when the composition of counterparty categories

varies in the short-term funding. At the year-end, the Group's aggregated LCR according to the Swedish Financial Supervisory Authority's definition was 137 per cent (140), which shows that the Bank has large resistance to short-term disruptions in the funding markets. This also applies in US dollars and euros.

Daily stress testing of cash flows based on certain assumptions is used to test resistance to long-term disruptions in the market. For example, it is assumed that the Bank cannot obtain funding in the financial markets at the same time as 10 per cent of non-fixed-term deposits from households and companies disappear gradually in the first month. It is further assumed that the Bank will continue to conduct its core activities, i.e. that fixed-term deposits from and loans to households and companies will be renewed at maturity and that issued commitments and credit facilities will be partly utilised by customers. The Bank also takes into account that balances with central banks and banks will be utilised and that Central Treasury's securities can immediately supply liquidity if provided as collateral in central banks.

Measures to create liquidity are also used to gradually provide the Bank with liquidity. With these conditions, the Bank will be liquid for more than three years. Thus, the Bank also has major powers of resistance to serious, long-term disruptions in the funding markets.

A condition for the Bank to be able to maintain such substantial resistance to disruptions in the financial markets as stated above is that the balance sheet is well balanced. The diagram on page 48 shows that the volume of current assets significantly exceeds the volume of current liabilities in a stressed scenario where 20 per cent of the deposits are assumed to disappear within one year. Furthermore, the volume and quality of unutilised collateral must be able to give the Bank the liquidity it needs in times of crisis. Consistently steering the Bank towards positive future net cash flows, instead of point-in-time ratios, also secures this over time.

The maturity analysis table shows cash flows for the contracted payment commitments, including interest flows, due for payment at the latest within the stated time intervals. The table shows holdings of bonds and other interest-bearing securities in the time intervals in which they can be converted to liquidity if they are pledged as collateral or sold. Assets, liabilities and interest flows are also shown that mature in the time intervals corresponding to the contractual maturity dates. Interest flows for lending in the mortgage operations are matched in time with the liabilities that funded the lending. Financial guarantees, committed loan offers and unutilised overdraft facilities are reported in their entirety in a 0–1-month time interval. The total outstanding amount of these commitments does not necessarily represent future funding requirements. For derivative instruments, cash flows are reported net for interest rate swaps and gross for instruments where gross cash flows are paid or received, such as currency swaps.

Liquidity Coverage Ratio (LCR) %	2015	2014
EUR	161	154
USD	429	137
Total	137	140

Calculated according to the Swedish Financial Supervisory Authority's directive 2012:6 which came into force on 1 January 2013.

Liquidity Coverage Ratio (LCR) – decomposition SEK m	2015	2014
Liquid assets	283 573	312 480
Liquid assets level 1	242 606	270 364
Liquid assets level 2	40 967	42 116
Cash outflows	318 364	595 043
Deposits from customers	141 589	205 068
Market funding	142 770	351 164
Other cash outflows	34 005	38 811
Cash inflows	111 599	372 482
Inflows from maturing lending to non-financial customers	22 612	25 437
Other cash inflows	88 987	347 045

The components are defined in line with the Swedish Financial Supervisory Authority's directives and requirements for the liquidity coverage ratio and reporting of liquid assets and cash flows, FFFS 2012:6. Liquid assets level 1 corresponds to Chapter 3, Section 6. Liquid assets level 2 corresponds to Chapter 3, Section 7. Deposits from customers corresponds to Chapter 4, Sections 4–9. Market funding corresponds to Chapter 4, Sections 10–13. Other cash flows corresponds to Chapter 4, Sections 14–25. Lending to non-financial customers corresponds to Chapter 5, Section 4. Other cash inflows corresponds to Chapter 5, Sections 6–12.

Maturity analysis for financial assets and liabilities, 2015								Unspecified maturity	Total
SEK m	Up to 1 mth	1–6 mths	6–12 mths	1–2 yrs	2–5 yrs	Over 5 yrs			
Cash and balances with central banks	236 752	-	-	-	-	-	-	-	236 752
Interest-bearing securities eligible as collateral with central banks ¹	75 192	-	-	-	-	-	-	-	75 192
Bonds and other interest-bearing securities ²	44 951	-	-	-	-	-	-	-	44 951
Loans to credit institutions	31 161	13 968	212	230	787	3 920	-	-	50 278
of which reverse repos	14 586	8 833	-	-	-	-	-	-	23 419
Loans to the public	58 113	233 279	171 597	191 513	364 138	940 827	-	-	1 959 467
of which reverse repos	7 742	-	-	-	-	-	-	-	7 742
Other	34 952	-	-	-	-	-	215 020	-	249 972
of which shares and participating interests	30 387	-	-	-	-	-	-	-	30 387
of which claims on investment banking settlements	4 565	-	-	-	-	-	-	-	4 565
Total assets	481 121	247 247	171 809	191 743	364 925	944 747	215 020		2 616 612
Due to credit institutions	69 819	67 894	1 620	5 868	903	7 736	14 113	-	167 953
of which repos	290	-	-	-	-	-	-	-	290
of which central banks	13 066	55 291	-	5	-	-	1 333	-	69 695
Deposits and borrowing from the public	3 119	43 653	7 729	1 084	2 396	6 650	689 373	-	754 004
of which repos	-	-	-	-	-	-	-	-	0
Issued securities ³	98 204	356 399	120 523	182 911	478 689	79 415	-	-	1 316 141
of which covered bonds	23	44 708	68 531	120 017	337 249	33 424	-	-	603 952
of which certificates and other securities with original maturity of less than one year	96 773	270 064	7 722	-	-	-	-	-	374 559
of which senior bonds and other securities with original maturity of more than one year	1 408	41 627	44 270	62 894	141 440	45 991	-	-	337 630
Subordinated liabilities	374	825	2 566	4 226	21 791	10 416	-	-	40 198
Other	8 940	-	-	-	-	-	315 985	-	324 925
of which short positions	2 416	-	-	-	-	-	-	-	2 416
of which investment banking settlement debts	6 524	-	-	-	-	-	-	-	6 524
Total liabilities	180 456	468 771	132 438	194 089	503 779	104 217	1 019 471		2 603 221
Off-balance-sheet items									
Financial guarantees and unutilised commitments	420 857								
Derivatives 2015									
SEK m	Up to 1 mth	1–6 mths	6–12 mths	1–2 yrs	2–5 yrs	Over 5 yrs			Total
Total derivatives inflow	270 580	390 214	75 129	115 406	274 686	110 695			1 236 710
Total derivatives outflow	269 984	384 083	72 032	108 327	254 483	108 497			1 197 406
Net	596	6 131	3 097	7 079	20 203	2 198			39 304

Maturity analysis for financial assets and liabilities, 2014								Unspecified maturity	Total
SEK m	Up to 1 mth	1–6 mths	6–12 mths	1–2 yrs	2–5 yrs	Over 5 yrs			
Cash and balances with central banks	505 579	-	-	-	-	-	-	-	505 579
Interest-bearing securities eligible as collateral with central banks ¹	78 618	-	-	-	-	-	-	-	78 618
Bonds and other interest-bearing securities ²	64 389	-	-	-	-	-	-	-	64 389
Loans to credit institutions	27 920	37 022	812	333	706	4 204	-	-	70 997
of which reverse repos	9 576	32 589	-	-	-	-	-	-	42 165
Loans to the public	96 163	226 110	157 476	180 500	350 694	898 017	-	-	1 908 960
of which reverse repos	23 859	-	-	-	-	-	-	-	23 859
Other	55 897	-	-	-	-	-	235 081	-	290 978
of which shares and participating interests	46 546	-	-	-	-	-	-	-	46 546
of which claims on investment banking settlements	9 351	-	-	-	-	-	-	-	9 351
Total	828 566	263 132	158 288	180 833	351 400	902 221	235 081		2 919 521
Due to credit institutions	108 169	58 681	982	5 467	1 096	7 993	22 555	-	204 943
of which repos	88	-	-	-	-	-	-	-	88
of which central banks	45 647	47 374	116	-	-	-	3 948	-	97 085
Deposits and borrowing from the public	237 220	54 865	14 723	1 709	2 893	8 595	703 632	-	1 023 637
of which repos	168	-	-	-	-	-	-	-	168
Issued securities ³	80 155	312 655	163 892	189 492	439 450	105 760	-	-	1 291 404
of which covered bonds	3 255	63 108	89 216	118 756	295 715	43 644	-	-	613 694
of which certificates and other securities with original maturity of less than one year	72 171	239 067	46 845	-	-	-	-	-	358 083
of which senior bonds and other securities with original maturity of more than one year	4 729	10 480	27 831	70 736	143 735	62 116	-	-	319 627
Subordinated liabilities	388	341	4 931	3 245	24 323	955	-	-	34 183
Other	28 608	-	-	-	-	-	322 825	-	351 433
of which short positions	20 648	-	-	-	-	-	-	-	20 648
of which investment banking settlement debts	7 960	-	-	-	-	-	-	-	7 960
Total	454 540	426 542	184 528	199 913	467 762	123 303	1 049 012		2 905 600
Off-balance-sheet items									
Financial guarantees and unutilised commitments	387 913								
Derivatives 2014									
SEK m	Up to 1 mth	1–6 mths	6–12 mths	1–2 yrs	2–5 yrs	Over 5 yrs			Total
Total derivatives inflow	362 607	459 377	82 332	134 595	293 242	136 415			1 468 568
Total derivatives outflow	355 952	448 422	78 481	126 537	273 046	132 743			1 415 181
Net	6 655	10 955	3 851	8 058	20 196	3 672			53 387

¹ SEK 25,294m (21,927) of the amount (excl. interest) has a residual maturity of less than one year.

² SEK 6,021m (6,023) of the amount (excl. interest) has a residual maturity of less than one year.

³ SEK 550,827m (529,498) of the amount (excl. interest) has a residual maturity of less than one year.

For deposit volumes the column "Unspecified maturity" refers to deposits payable on demand. The table contains interest flows which means that the balance sheet rows are not reconcilable with the Group's balance sheet. Maturity tables without interest flows including maturity tables in foreign currencies can be found in the Fact Book.

Risks in the insurance operations

The risks in the insurance business arise partly in management of customers' insurance assets and how these assets match future commitments.

The risks in the insurance business mainly comprise market risks and insurance risks.

Market risk

Handelsbanken Liv conducts life insurance operations with traditional management, unit-linked insurance and portfolio bond insurance. For unit-linked and portfolio bond insurance, the customer chooses the investment option and bears the market risk. In traditional insurance with guaranteed interest, Handelsbanken Liv bears the risk of fulfilling the financial guarantees entailed by the insurance terms.

The financial guarantee means that the company makes a capital contribution at the value of the insurance contract at specific points in time if the value is less than the guaranteed value of the insurance. Any capital contributions are realised at the year-end or when there is an insurance event.

Handelsbanken Liv's board establishes the annual investment guidelines for the company, which is ultimately the controlling document for allocation of the company's investment assets relating to traditionally managed insurance. The purpose of the investment guidelines is to provide instructions on how the assets are to be invested given the undertakings to the policyholders and the statutory requirements of the Swedish Insurance Business Act and the applicable regulations of the Swedish Financial Supervisory Authority.

Handelsbanken Liv has a low risk tolerance. The goal of the asset management is to secure the company's obligations to the policyholders.

Market risk at Handelsbanken Liv arises in the management of investment assets for the traditional insurance and from the fact that value of the company's guaranteed obligations is sensitive to interest rate changes.

The total market risk at Handelsbanken Liv is calculated using Value at Risk (VaR) with a 99.5 per cent confidence level and a holding period of three months. In addition, the company's solvency ratio, the so-called traffic-light model and liability coverage are checked according to statutory requirements. The market risk management model used by Handelsbanken Liv weights the risk of a capital contribution at insurance contract level together with the risk

of a capital contribution at company level due to the increased present value of future guaranteed amounts. Market risk is measured in terms of the overall sensitivity of the capital contributions to market disruptions. The risk exposure is checked daily against a limit stipulated by the Board of Handelsbanken. The larger of the value of contributions to policyholders or contributions due to solvency constitutes the risk utilisation. Sub-categories of financial risk are interest rate risk, equity risk, credit risk, property risk and exchange rate risk. The main risk at Handelsbanken Liv is interest rate risk. At year-end, VaR was SEK 819 million (754).

Liquidity risk in the insurance operations is the risk that the company will not be able to meet its payment obligations when they fall due, or that the company will not be able to sell securities at acceptable prices. This risk is limited by most of the investment assets being invested in listed securities with good liquidity.

Insurance risk

Insurance companies set their premiums based on assumptions regarding the size of costs for future insurance events. Insurance risk is the risk that the actual and assumed insurance costs differ. The ultimate governing document is Handelsbanken Liv's risk management policy, established by the Board of the insurance company. A supplementary steering document, adopted by the Board of the insurance company, states the limits within which risk-taking insurance may be entered into. Insurance risk at Handelsbanken Liv is related to the following events:

- mortality – payment to beneficiaries in the event of the death of the insured person
- longevity – payment that is dependent on the insured person living, e.g. pension disbursements
- morbidity – payment in the event of illness or work incapacity
- accident – payment in the event of accident.

An insurance policy may contain combinations of protection for these four events.

Most of Handelsbanken Liv's policies are taken out by small companies and private individuals. There is no risk concentration in terms of insurance risk, other than that most of the policies are taken out in Sweden.

Increased life expectancy in Sweden affects the insurance company's future obligations. The effect is positive for mortality insurance but

negative for life insurance since life expectancy is rising and pension disbursements must then be made over a longer period. In 2015, Handelsbanken Liv started to use the life expectancy assumptions based on the industry standard, DUS14, and observed mortality in its own portfolio. If mortality continues to decline and in general were to be ten per cent lower than the company's assumptions, the present value of the expected increased cost would be SEK 67 million for the part of the group with longevity risk. Most of Handelsbanken Liv's insurance policies with mortality risk are, however, priced annually. This means that the company can unilaterally change the premium from year to year. Thus, an incorrect mortality assumption can be changed with rapid effect.

Changes in morbidity occur much more rapidly than changes in mortality, which may contribute to variations in the risk result. The result therefore depends both on how many insured persons fall ill and how many recover in relation to the assumptions applied. Sickness/disability insurance products are generally designed in such a way that the premium can be changed annually, thus allowing the company to compensate for changes in morbidity. The sickness/disability result for 2015 is SEK 53 million, where SEK 32 million is attributable to sickness cases reported during the year, SEK 4 million to existing sickness cases which are being closed, and the remaining SEK 17 million to sickness cases which have occurred but not yet been reported, and settlements of sickness cases.

The insurance operations report their market and insurance risks as well as operational risk to the insurance company's board and chief executive, to Handelsbanken's Central Risk Control and to the Bank's CFO and CEO. The risk situation is also reported regularly to the Board of the Bank.

Solvency II

In 2016, the new Solvency II regulations will come into force. One overall purpose of the regulations is to strengthen protection for insurance policyholders by more clearly linking the capital requirement to how the insurance companies identify, measure and manage their risks. During the past few years, Handelsbanken Liv has worked actively on adapting its operations to the new regulatory demands and it will report according to the new regulations in 2016.

Compliance risk

The objective is to identify and manage the risks that the Bank does not meet its obligations according to the internal and external regulations which apply to licensed operations.

Compliance risk is the risk that the Bank does not comply with laws, regulations and internal rules, or accepted business practices or standards.

The Handelsbanken Group has high ambitions regarding good administrative order, ethical standards and compliance with laws and regulations. In its Compliance Policy, Handelsbanken's Central Board has established that: "The Bank has a low tolerance with regard to compliance risks and, as far as possible, it must endeavour to prevent these risks." The objective is that no breaches of regulations should occur within the Group's operations, and that compliance risks are identified and managed.

Poor management of compliance risks may lead to increased operational and legal risks, reputation risk and the risk of intervention by the supervisory authorities. The work of compliance aims to identify compliance risks and to ensure that the requisite action is taken to manage them.

The Swedish Financial Supervisory Authority's regulations and general guidelines regarding governance, risk management and control at credit institutions (FFFS 2014:1), EBA Guidelines on Internal Governance (GL44), and ESMA's Guidelines on certain aspects of the MiFID compliance function requirements establish the guidelines for how supervisory authorities consider the compliance function should be set up, and how work with compliance matters should be carried out. In addition to these, the Basel Committee's "Compliance and the compliance function in banks" establishes how compliance should function. Handelsbanken has implemented this work method through its policies, guidelines and instructions.

Organisation

Handelsbanken's compliance function is organised as a central compliance department ("Central Compliance"), and also local compliance officers or departments ("Local Compliance") in every business area, regional bank and central department, and in all countries where Handelsbanken has local operations.

Responsibility

Compliance is an essential part of Handelsbanken's operations and is thus the responsibility of all managers and employees in the Group. Compliance is responsible for identifying and assessing material compliance risks, performing regular controls and assessments as to how the Bank fulfils its obligations with regard to legislation, regulations and other rules applying to the licensed operations, providing support and advice to the Bank's units regarding compliance questions and reporting to management and the Board regarding compliance and compliance risks. Central Compliance has the functional and operational responsibility for all compliance work at Handelsbanken. Central Compliance may delegate functional responsibility for following up regulations to Local Compliance, which is thus allocated the operational responsibility and the authority for how the work is to be performed at the unit in question.

Local compliance functions are evaluated by Central Compliance, in order to assess whether they have satisfactory independence and sufficient quantitative and qualitative resources.

Risk-based compliance work

Compliance's risk-based work follows a structure based on identifying regulations, risk analysis for prioritisation, activities in the form of support and advice as well as controls, identifying compliance risks and reporting these. To evaluate Handelsbanken's compliance risks, a three-level assessment scale is used: "Low", "Medium" and "High". The assessments are based on the risk of sanctions, losses or damage to the brand. The Head of Central Compliance reports identified compliance risks and action taken every quarter to the CEO, every six months to the Board's risk committee and annually to the Board.

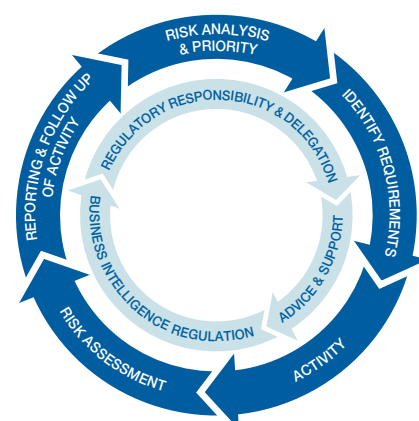
Compliance risk

In 2015, a few compliance risks were reported as high and were subject to rapid action to reduce them to an acceptable level. In 2015, the risk that the Bank would be used for money laundering or for financing of terrorism was the highest risk. In spring 2015, the Bank received a sanction from the Swedish Financial Supervisory Authority since the Bank's anti-money laundering measures were not considered to be adequate. An extensive project was immediately started to ensure good management of the risks and compliance in this area.

The increasingly comprehensive and detailed regulations concerning investment advice and insurance mediation constitute a compliance risk for Handelsbanken and for the banking system as a whole. The Bank has undertaken extensive measures in order to manage this risk. A new user access system with three different levels of certification has been introduced for employees who give advice, system support for advisory services has improved, comprehensive internal training has been carried out and internal control of the advice given has been enhanced.

Another area which comprises a potential risk for the Bank and the banking sector as a whole is data quality. The Bank is deemed to have complete information for its risk management, but future, new requirements are very strict in terms of automatic aggregation of data in various dimensions. A large internal project is in progress to ensure compliance in this area when the new regulations come into force.

Compliance work process



Operational risk

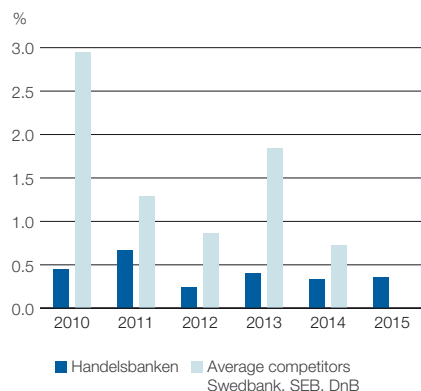
Operational risk must be managed so that the Group's operational risk and losses remain low, both in comparison with previous own losses incurred, and compared to other banks' operational losses.

Operational risk refers to the risk of loss due to inadequate or failed internal processes, human error, erroneous systems or external events. The definition includes legal risk.

Handelsbanken has a low tolerance of operational risk. Operational risk must be managed so that the Group's operational losses remain small, both in comparison with previous own losses incurred, and with other banks' operational losses. In 2015, Handelsbanken's operational losses were SEK 74 million (63). This is a low figure, both in comparison with previous years and compared with other banks, as shown in the figure below.

Operational risk occurs in all operations at Handelsbanken. The responsibility for identifying, assessing and managing operational risk is therefore part of managerial responsibility at all levels in Handelsbanken. The Bank's decentralised method of work promotes good management of operational risk by means of the cost-consciousness which leads to vigilance against potential loss risk in daily procedures and events. Operational errors and deficiencies are reduced as far as possible. This applies to minor but frequent events and major events which could cause major unexpected losses.

Volume-weighted operational losses as a proportion of operating profit



The strong focus on good administrative order in the Group also contributes to all parts of the operations keeping their risks at a level which is in line with the Bank's strict view of risk. Management of operational risk is thus carried out in the business operations and its work is checked by Local and Central Risk Control.

Specially appointed local co-ordinators for operational risk are in place at regional banks, main departments, subsidiaries and units outside the Bank's home markets to assist managers in their processing of operational risk. They are responsible for ensuring that existing methods and procedures for managing operational risk are used in the business operations. They are also responsible for monitoring that the business operations take and implement appropriate proactive measures. The Local Risk Control functions at regional banks, main departments, subsidiaries and units outside the Bank's home markets check that management of operational risk is correctly performed. This is done by means of regular quality assurance and evaluation of the operations' work with operational risk.

Central Risk Control has the overall responsibility for the methods and procedures used to identify, steer, control and report operational risk, and for follow-up at overall Group level. To achieve and maintain good quality in this management, Central Risk Control has close, regular co-operation with both local co-ordinators for operational risk and the Local Risk Control functions. Central Risk Control is also responsible for analysing and reporting the Group's operational risk to the management and Board.

As an aid to continual identification, handling and management of operational risk, the Bank has a reporting and case management system for incidents, a self-assessment procedure and Key Risk Indicators (KRI). All employees throughout the Group must collect facts about incidents which have affected their unit and which result in a loss in excess of SEK 25,000. To further promote the unit's proactive work with risks, all employees are encouraged to also collect facts about incidents which lead to smaller losses or no loss at all.

Incidents reported are reviewed and categorised on a regular basis by the local co-ordinator for operational risk. The Bank categorises operational risk according to seven types of events:

- Execution, Delivery & Process Management
- Business Disruptions & System Failures
- Clients, Products & Business Practices
- External Crime
- Damage to Physical Assets
- Employment Practices and Workplace Safety
- Internal Fraud.

OPRA risk analysis is a self-assessment procedure to document and assess operational risk which may have an impact on the Bank. These are carried out at least once a year at all units. The respective head of all regional banks, main units, subsidiaries and international units outside the Bank's home markets is responsible for this being performed. The local co-ordinator for operational risk provides support for the planning and implementation. Normally, between five and eight experienced employees who have a good overview of the unit's operations and risks participate in the sessions. The aim is to assess the consequence and likelihood of an event. The assessment of the impact includes both financial losses and lost reputation. Important information includes facts and statistics from incidents reported during the previous year together with incidents that have affected other parts of the Group or other banks and companies. The self-assessment procedure results in an action plan stating the risks to be reduced, how this will be done, who is responsible and time limits for when measures are to be taken. The action plan is a working document that is regularly followed up during the year by the business operations with the support of the local co-ordinator for operational risk. Local Risk Control is informed about the completed OPRA risk analysis, including the action plan, and it evaluates the procedure. Central Risk Control provides regular support to the co-ordinators for operational risk in planning, implementation and follow-up and also performs an annual aggregate assessment of the evaluations from all Local Risk Control units.

Key Risk Indicators is a method of identifying operational risk at an early stage. Key Risk Indicators were implemented in 2015 as a tool at local and central level. Local co-ordinators for operational risk regularly collect data and present it to the local management. Some Key Risk Indicators are collected by Central Risk Control and presented to management and the Board.

Since May 2015, the Bank has been a member of ORX (Operational Riskdata eXchange Association). The main purpose of ORX is for participating banks to exchange anonymised data concerning incidents leading to operational losses. ORX also has an important function in standardising and ensuring the quality of data on operational risk. Extensive research is being done on methods regarding operational risk and it is an important forum for exchange of information.

The Bank pays great care when processing new products and services and major changes to existing products and services. Each business area, subsidiary and regional bank with product responsibility processes new products in accordance with central guidelines, which are minimum requirements. This includes an established process for deciding how products are to be introduced. A risk analysis led by Local Risk Control is always performed before a product is launched. The analysis takes account of the risks for the Bank and for the customer, including operational risk. Central Risk Control is involved in complex cases or when this is justified for other reasons.

There are contingency and continuity plans in place in all parts of the Group for dealing with serious disruptions. The contingency plans help the crisis team to quickly and systematically start to deal with a crisis situation and its effects. There is a central crisis team for the whole Group, and a local crisis team within each regional bank, subsidiary and international unit outside the Bank's home markets and also at Central Risk Control, Central IT, Group Finance, the national organisations in Sweden and in the UK, and Handelsbanken Capital Markets.

The central crisis team has permanent staff consisting of members of management and/or

those close to them. The central crisis team functions as a liaison crisis team in the event of a major crisis in the Group, supports the local crisis teams working with an acute crisis and functions as a crisis team for the main central departments. Continuity planning focuses on taking preventive measures to minimise the consequences of a serious disruption of business operations. Local Risk Control performs an annual evaluation of the procedure. Central Risk Control then performs an aggregated evaluation at Group level.

Handelsbanken uses TSA, The Standardised Approach, to calculate the capital requirement for operational risk. According to TSA, the capital requirement is calculated by multiplying a factor specified in the regulations by the average operating income during the last three years of operation. Different factors are applied in different business segments.

The total capital requirement for operational risk for the whole of the Handelsbanken Group was SEK 4,655 million (4,439) at the end of 2015.

Operational risk management at Handelsbanken



Risks in the remuneration system

Handelsbanken's remuneration system is intended to boost the Bank's competitiveness and to contribute to higher profitability by attracting, retaining and developing skilled staff. To ensure that Handelsbanken has a well designed remuneration system, risks in the remuneration system are managed as a separate risk, with the same allocation of responsibilities as other types of risk.

Remuneration risk is the risk of loss or other damage arising due to the remuneration system.

The aim of Handelsbanken's policy on salaries is to increase the Bank's competitiveness and profitability, to enable the Bank to attract, retain and develop skilled staff, and to ensure good skills development and management succession planning. Good long-term profitability and productivity performance at the Bank create the conditions for stable and positive salary development for the Bank's employees.

Remuneration for work performed is set individually for each employee, and is paid in the form of a fixed salary, customary salary benefits and a pension provision. At Handelsbanken, salaries are set at local level. Salaries are set in salary reviews between the employee and their line manager. These principles have been applied for many years. They mean that managers at all levels participate regularly in salary processes, and take responsibility for the Bank's salary policy and the growth in their own unit's staff costs. Salaries are based on salary-setting factors defined in advance: the nature and level of difficulty of the work, skills, performance and results achieved, leadership (for managers who are responsible for the career development of employees), supply and demand in the

market, and the task of ambassador for the Bank's corporate culture.

Handelsbanken has low tolerance of remuneration risks and actively strives to keep them at a low level. This is achieved in part by only using variable remuneration to a very limited extent and only in the areas where this is market practice and necessary in order to achieve the goals for the unit's operations. Where variable remuneration exists, it is subject to deferred payment.

In 2015, SEK 114 million (115) was paid in variable remuneration to 217 employees (216). This amount corresponds to a small part of total salaries and the number of employees who receive variable remuneration is also a small proportion of the total number of employees. The Bank's principles for remuneration to employees are long established. The principles for the Bank's remuneration system are stipulated in the remuneration policy which is decided by the Board. More detailed guidelines and implementation directives are decided by the CEO. The responsibility for identifying and managing remuneration risks rests with every responsible manager in the operations and is managed according to internal policy documents, guidelines and instructions. Local Risk Control regularly monitors that the remuneration system is applied as intended. Central Risk Control is responsible for analysing the risks associated with the remuneration policy and the remuneration system before the remuneration policy is processed and established by the Board. This is

done at least once a year. The report analyses elements such as the incentive structure, the balance between fixed and variable remuneration, deferral rules, and effects on own funds. In addition, Central Risk Control evaluates the application of the remuneration system. Based on this risk analysis and evaluation, an assessment is made as to whether the remuneration system is designed in a way that could threaten the Bank's financial position. The responsibility also includes ensuring that risk costs are calculated correctly in the context of remuneration.

Handelsbanken's remuneration policy and remuneration system are deemed to generate low risks and promote sound and effective risk management, counteract excessive risk-taking, fit in with the Bank's low tolerance of risks and support the Bank's long-term interests. The remuneration system is designed in such a way that there is no risk that the Bank's own funds are undermined as a result of mandatory payment of variable remuneration. It is possible to reduce or remove variable remuneration, wholly or partly – this applies both to allocations for variable remuneration and to deferred variable remuneration which has not yet been paid.

For more detailed information and statistics about the Bank's remuneration system, see the Corporate Governance Report and note G8 in the Annual Report.

Allocated variable remuneration	2015	2014
Earned variable remuneration ¹ , SEK m	114	115
Salaries and fees, SEK m	7 986	7 574
No. of persons to whom variable remuneration has been allocated	217	216
Average number of employees	11 819	11 692
Allocated variable remuneration, as a proportion of salaries and fees, %	1.4	1.5
No. of persons to whom variable remuneration has been allocated as a proportion of average number of employees, %	1.8	1.8

¹ All variable remuneration is paid in cash. The amounts are excluding social security costs.

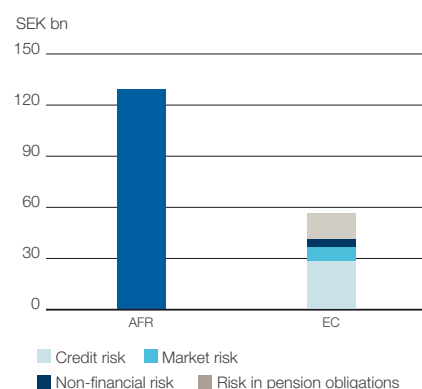
Economic capital

Handelsbanken is well capitalised in relation to the total risks. The Group's total values exceed by a wide margin the values that could be lost in an event that would be extremely detrimental to the Group.

Handelsbanken's model for calculating economic capital identifies in one measurement the Group's overall risks and indicates the capital which, with very high probability, will cover unexpected losses or decreases in value.

Central Risk Control is responsible for comprehensive monitoring of the Group's various risks. The Bank's model for economic capital (EC) is an instrument in this monitoring. It is also the foundation of the Bank's assessment of the internal capital requirement. This assessment is intended to ensure that the Group has sufficient capital at all times in relation to all risks in the Group. The Group perspective means that economic capital also includes risks in the insurance operations and risks in the Bank's pension obligations.

Total of AFR and EC including diversification, as at 31 December 2015



Economic capital is calculated with a time horizon of one year and a confidence level that reflects an acceptable level of risk and desired rating. The Board has determined that the calculation of economic capital must be made with a 99.97 per cent confidence level, which captures an event which is extremely unfavourable for the Bank. EC is the difference between the outcome in an average year – with positive results and good growth in the value of the Bank's assets – and the outcome at a 99.97 per cent confidence level.

Diversification effects between the different risk classes are taken into account when calculating EC. Since the risks are partly independent of each other, the capital requirement for all risks is lower than the sum of the economic capital for each individual risk.

The capital and other financial resources which form a buffer that can absorb negative outcomes are called available financial resources (AFR). AFR is Handelsbanken's equity with the addition of other financial values on and off the balance sheet, available to cover losses with a one-year time horizon.

In risk and capital management, the Group applies a shareholder perspective. The economic capital model provides an overall view of the Group which makes it possible to optimise the risk and capital situation from the shareholder's perspective. The outcome of the calculations plays an important role when new transactions or structural changes are considered.

Credit risk is calculated using simulated outcomes of default for all the Group's counterparties and exposures.

Market risks comprise the risk in the assets classified as the trading book, the interest rate risk in the banking operations, market risks in the insurance operations and the risk of value losses in the Bank's own share portfolio.

The risk in the pension obligations mainly consists of the risk of a decrease in the values that exist for securing the Bank's pension obligations. Most of the pension obligations are in Sweden and are secured there in a pension

foundation and insured in an occupational pension fund.

The non-financial risks are operational risk, business risk, property risk and insurance risk. Business risk is related to unexpected variations in earnings in the business area in question. For example, this may arise if demand or competition changes unexpectedly, thus resulting in lower volumes and squeezed margins. Property risk captures the risk of a fall in the value of the properties which the Bank owns.

At year-end, EC was SEK 57 billion (57), of which credit risks accounted for the main part of the total risk. The Board stipulates that the AFR/EC ratio should be at least 120 per cent. The ratio was 228 per cent (214) at year-end, which illustrates that the Bank is well-capitalised in relation to its overall risks. The Swedish Financial Supervisory Authority has come to the same conclusion in its overall capital assessment of the Bank.

The risk and capital situation reported is a snapshot picture, even though the risk calculations include margins of conservatism for business cycle fluctuations. To perform a final assessment of the Group's capital adequacy requirements, account must also be taken of the stress and scenario analysis carried out as part of the Bank's capital planning.

Capital planning

If Handelsbanken were to suffer serious losses despite its low risk tolerance, the Bank holds capital to ensure its survival even in the wake of unexpected, extreme events. Capital planning is based on assessments of the capitalisation based on statutory capital requirements, coupled with calculations of economic capital and stress tests.

Handelsbanken's capital planning aims to ensure that the Group has adequate financial resources available at all times and that the capital is of optimal composition.

The capital requirement is a function of the Group's risks, expected development, the regulations and target ratios, Handelsbanken's model for economic capital and also of stress tests. The Bank's capital requirement is reported weekly to the CFO, regularly to the CEO, and at least quarterly to the Board.

As part of proactive capital planning, there is a contingency and action plan with specific measures that can be taken if the Bank needs to improve its capital position. The purpose of the contingency and action planning is to ensure that there is a warning system that identifies potential threats at an early stage and that the Group is prepared to take rapid action, if necessary.

A long-term capital plan is drawn up annually, which is designed to give a comprehensive overview of the Group's current capital situation, a forecast of expected capital performance, and the outcome in various scenarios. These scenarios are designed to substantially differ from expected events and thus harmonise with the Group's low risk tolerance. The capital plan also contains proposals for how to maintain the capital situation at a satisfactory level in a strongly negative business environment, from both a regulatory and shareholder perspective.

The capital planning is divided into short-term and mid- to long-term forecasting. The part of capital planning that comprises short-term forecasts up to two years ahead principally focuses on assessing existing performance and the development of the capital requirement. This forecasting is necessary to enable continual adaptation of the size and composition of own funds.

Capital planning is performed through an ongoing analysis of changes in volume, risk and performance, and by monitoring events that may affect the capital requirements and capital level. Short-term forecasting includes all sub-

components that make up the Group's own funds and, in addition to the regulatory minimum requirements and buffers, the capital requirement includes Pillar 2 of the regulations. This work also includes conducting various sensitivity analyses, with a short-term perspective, of the expected change in the capital adequacy requirement and own funds. The Bank can thus be prepared to alter the size and composition of its own funds if required – for example, through market operations.

The result of the short-term analysis forms the basis of any capital operations performed and is reported weekly to the CFO, on a regular basis to the CEO and, if necessary, to the Board. The analysis is based on a cautious basic scenario, with decision points in the near future for how existing earnings capacity can cope with various changes in volume, as well as the effects which arise from potential capital operations.

The part of capital planning that comprises mid- to long-term forecasts aims to ensure compliance with statutory capital adequacy requirements and that the Group's available financial resources (AFR) at all times cover by a good margin all risks calculated according to the economic capital model.

The long-term forecast also includes an assessment of the trend for the Bank's overall capital over the period: the minimum requirements, the combined buffer requirements and the Pillar 2 requirement. The objective is to forecast the expected performance and judge whether the Bank's resistance is satisfactory in various scenarios. The planning horizon is at least five years and takes account of the Group's overall business performance trend.

A basic scenario forms the foundation of the long-term capital forecast. This scenario is obtained from expected performance in the next five years regarding profit, volume growth, financial assumptions such as loan losses, and performance of the equity, property and fixed income markets. The basic scenario is then compared to the outcomes in a number of business cycle and crisis scenarios. The stress scenarios have been established following analysis of the historical links between the impacts of different macroeconomic variables on the financial markets and have been selected by using the scenarios expected to have the most severe impact on Handelsbanken.

The result of the internal capital adequacy assessment is reported quarterly to the Board.

At the end of 2015, the common equity tier 1 ratio was 21.2 per cent (20.4). The ratio between AFR and EC was 228 per cent (214) at the same date. Thus, AFR exceeds the assessed internal capital requirement (EC) by a very good margin.

The Bank's strong position is further emphasised by the result of the various forward-looking stress scenarios which are carried out, showing that Handelsbanken's long-term capital situation is very stable from both a financial and regulatory perspective.

The Group's targets for regulatory capital

The Board continuously sets the targets for the Bank's capitalisation. A cornerstone of the internal capital requirement assessment of the regulatory capital situation is stress and scenario analysis of the Bank's situation, both long-term and short-term. The scenarios used are principally based on the Bank's internal risk tolerance and the direct requirements resulting from the regulations and other requirements from public authorities. In addition to the internal assessment of the capital requirement, the Swedish Financial Supervisory Authority has communicated that the target figures of Swedish banks must not be lower than the total capital requirement calculated by the Supervisory Authority, regardless of the banks' internal calculations. The Bank has taken this into account when setting the target figures for the regulatory capitalisation.

The Board has decided that the common equity tier 1 ratio, which is the most relevant measure for the governance of the Bank under the current regulatory framework, under normal circumstances must be between 1 and 3 percentage points above the total common equity tier 1 capital assessment communicated to the Bank by the Swedish Financial Supervisory Authority. The other capital tiers (the tier 1 ratio and the total capital ratio) must be at least 1 percentage point above the total capital assessment communicated to the Bank by the Supervisory Authority for the respective capital tiers.

In November 2015, the Financial Supervisory Authority informed Handelsbanken that they assess that Handelsbanken's requirement for common equity tier 1 capital corresponds to a common equity tier 1 ratio of 18.6 per cent.

Own funds and capital requirement

Handelsbanken aims to be well capitalised in relation to the risks at all times, and to fulfil the capital adequacy requirements established by supervisory authorities, including in situations of financial stress. This is part of the Bank's strategy to have a business model that is independent of changes in the business cycle.

Handelsbanken is obliged to meet the requirements of the capital adequacy regulations and also requirements regarding the financial conglomerate.

The Bank's goal is that the common equity tier 1 ratio must under normal circumstances amount to between 1 and 3 percentage points above the total common equity tier 1

capital requirement communicated to the Bank by the Swedish Financial Supervisory Authority. Furthermore, the tier 1 ratio and the total capital ratio must amount to at least 1 percentage point above the total capital assessment communicated to the Bank by the Supervisory Authority for the respective capital tiers.

OWN FUNDS

The Bank's Annual Report provides a description of the composition of own funds for the consolidated situation, the terms applying to the different parts of own funds and the deductions made from various items.

For the Bank's risk management, it is important that in risk terms, both the Group and the regulatory consolidation can be viewed as one unit. To enable efficient risk management in the Group, capital may need to be re-allocated among the various companies in the Group. In general, Handelsbanken is able to re-allocate capital among the Group companies, to the extent that is permitted by legislation, for example, with reference to capital adequacy requirements and restrictions in corporate law. The Bank sees no other material or legal obstacles to a rapid transfer of funds from own funds, or repayment of liabilities between the parent company and its subsidiaries.

Balance sheet	2015		2014	
	Consolidated situation	Banking group	Consolidated situation	Banking group
SEK m				
ASSETS				
Cash and balances with central banks	202 630	202 630	454 532	454 532
Other loans to central banks	34 118	34 118	51 047	51 047
Treasury bills and other eligible securities	71 441	74 777	74 367	78 219
Loans to other credit institutions	50 726	49 656	71 445	70 339
Loans to the public	1 866 717	1 866 467	1 808 036	1 807 836
Value change of interest-hedged item in portfolio hedge	27	27	70	70
Bonds and other interest-bearing securities	40 977	44 513	59 652	63 725
<i>of which interest-bearing instruments classified as available for sale (carrying amount)</i>	3 479	3 479	2 322	2 322
<i>of which interest-bearing instruments classified as available for sale accumulated, value change</i>	-100	-194	-124	-228
Shares and participating interests	29 338	30 387	44 995	46 546
<i>of which shares classified as available for sale (carrying amount)</i>	6 581	6 581	8 367	8 367
<i>of which shares classified as available for sale, accumulated value change</i>	2 268	2 268	1 614	1 614
Investments in associates	6 626	245	6 655	286
Assets where the customer bears the value change risk	3 422	105 146	3 024	94 763
Derivative instruments	85 347	85 347	116 135	116 124
<i>of which cash flow hedges</i>	4 940	4 940	5 331	5 331
Reinsurance assets	0	10	0	6
Intangible assets	8 179	8 254	8 055	8 132
Property and equipment	2 348	2 348	2 239	2 239
Current tax assets	143	143	115	115
Deferred tax assets	1 489	1 489	389	389
<i>of which related to cash flow hedges</i>	0	0	0	0
<i>of which related to interest-bearing instruments classified as available for sale</i>	37	37	43	43
Pension assets	-	-	0	0
Assets held for sale	-	1 442	0	1 196
Other assets	8 786	8 887	14 135	14 321
Prepaid expenses and accrued income	6 164	6 247	6 688	6 791
Total assets	2 418 478	2 522 133	2 721 579	2 816 676

Balance sheet	2015		2014	
	Consolidated situation	Banking group	Consolidated situation	Banking group
SEK m				
LIABILITIES AND EQUITY				
Liabilities to credit institutions	172 957	163 770	208 018	200 074
Deposits and borrowing from the public	744 977	753 855	1 012 258	1 022 267
Liabilities where the customer bears the value change risk	3 501	105 225	3 125	94 864
Issued securities	1 245 367	1 245 367	1 212 613	1 212 613
Derivative instruments	40 596	40 592	62 878	62 878
<i>of which cash flow hedges</i>	0	0	0	0
Short positions	2 416	2 416	20 648	20 648
Insurance liabilities	0	607	0	663
Current tax liabilities	970	996	906	957
Deferred tax liabilities	8 799	8 844	9 164	9 209
<i>of which related to cash flow hedges</i>	1 393	1 393	1 504	1 504
<i>of which related to interest-bearing instruments classified as available for sale</i>	130	130	155	155
Provisions	101	113	208	68
Pension obligations	5 263	5 314	1 460	1 480
Liabilities related to assets held for sale	-	759	0	580
Other liabilities	13 854	14 206	14 366	14 578
Accrued expenses and deferred income	17 440	17 585	18 536	18 681
Subordinated liabilities	34 216	34 216	30 289	30 289
<i>of which tier 1 capital loans</i>	12 332	12 332	8 043	8 043
<i>of which loans with remaining time to maturity >5 yrs</i>	16 706	16 706	17 163	17 163
<i>of which loans with remaining time to maturity <5 yrs</i>	2 420	2 420	2 323	2 323
<i>of which other loans</i>	2 758	2 758	2 643	2 643
Total liabilities	2 290 457	2 393 865	2 594 469	2 689 849
Minority interest	4	4	3	3
Share capital	2 956	2 956	2 956	2 956
<i>Holdings of own shares</i>	0	0	0	0
Share premium reserve	3 204	3 204	3 203	3 203
<i>of which equity from combined financial instruments</i>	1 045	1 045	1 045	1 045
Other reserves	8 557	8 440	12 271	12 220
Retained earnings	97 705	97 322	94 227	93 262
Profit for the year (shareholders')	15 595	16 342	14 450	15 183
Total equity	128 021	128 268	127 110	126 827
Total liabilities and equity	2 418 478	2 522 133	2 721 579	2 816 676

Linkages between financial statements and prudential exposures

SEK m	Amount as reported in published financial statements	Amounts under regulatory scope of consolidation	Regulatory banking book			Regulatory trading book	Deducted from own funds
			Of which subject to credit risk treatment	Of which subject to counterparty credit risk treatment	Of which subject to securitisation framework	Subject to market risk treatment	
Assets							
Cash and balances with central banks	236 748	236 748	236 748	-			
Loans to credit institutions	49 656	49 597	16 873	32 724			
Loans to the public	1 866 467	1 867 846	1 858 975	7 742			1 129
Bonds and other fixed-income securities	119 289	112 418	3 961		1 541	106 916	
Shares and participating interests	30 387	29 338	6 582			22 756	
Investments in associates	245	6 626	6 626				
Derivatives	85 347	85 347		85 347		30 998	
Other	133 994	30 558	21 091				9 467
Total assets	2 522 133	2 418 478	2 150 856	125 813	1 541	160 670	10 596

Transitional own funds	Amounts subject to pre-regulation (EU) No 575/2013 treatment or prescribed residual amount of regulation (EU) No 575/2013		Amounts subject to pre-regulation (EU) No 575/2013 treatment or prescribed residual amount of regulation (EU) No 575/2013	
	2015	2014	2015	2014
SEK m				
Common equity tier 1 (CET1) capital: instruments and reserves				
Capital instruments and the related share premium accounts	5 832	5 741		
<i>of which share capital</i>	5 760	5 593		
<i>of which convertible securities</i>	72	148	72	148
Retained earnings	97 705	94 227		
Accumulated other comprehensive income (and any other reserves, to include unrealised gains and losses according to the applicable accounting standards)	8 556	12 271		
Funds for general banking risk				
Amount of qualifying items referred to in Article 484 (3) and the related share premium accounts subject to phase-out from CET1				
Public sector capital injections grandfathered until January 2018				
Minority interests (amount allowed in consolidated CET1)				
Independently reviewed interim profits net of any foreseeable charge or dividend	4 153	3 326		
Common equity tier 1 (CET1) capital before regulatory adjustment	116 246	115 565		
Common equity tier 1 (CET1) capital: regulatory adjustment				
Additional value adjustments (negative amount)	-553	-1		
Intangible assets (net of related tax liability) (negative amount)	-8 246	-8 123		
[non-relevant in EU regulation]				
Deferred tax assets that rely on future profitability excluding those arising from temporary differences (net of related tax liability where the conditions in Article 38 (3) are met) (negative amount)				
Fair value reserves related to gains or losses on cash flow hedges	-4 940	-5 331		
Negative amounts resulting from the calculation of expected loss amounts	-1 395	-2 103		
Any increase in equity that results from securitised assets (negative amount)				
Gains or losses on liabilities valued at fair value resulting from changes in own credit standing				
Defined-benefit pension fund assets (negative amount)				
Direct and indirect holdings by an institution of own CET1 instruments (negative amounts)	-577	-466		
Direct, indirect and synthetic holdings of the CET1 instruments of financial sector entities where those entities have reciprocal cross holdings with the institution designed to inflate artificially the own funds of the institution (negative amount)				
Direct, indirect and synthetic holdings by the institution of the CET1 instruments of financial sector entities where the institution does not have a significant investment in those entities (amount above 10% threshold and net of eligible short positions) (negative amount)				
Direct, indirect and synthetic holdings by the institution of the CET1 instruments of financial sector entities where the institution has a significant investment in those entities (amount above 10% threshold and net of eligible short positions) (negative amount)				
[non-relevant in EU regulation]				
Exposure amounts of the following items which qualify for a RW of 1,250%, where the institution opts for deduction alternative				
<i>of which qualifying holdings outside the financial sector (negative amount)</i>				
<i>of which securitisation positions (negative amount)</i>				
<i>of which free deliveries (negative amount)</i>				
Deferred tax assets arising from temporary differences (amount above 10% threshold, net of related tax liability where the conditions in Article 38 (3) are met) (negative amount)				
Amount exceeding the 15% threshold (negative amount)				
<i>of which direct and indirect holdings by the institution of CET1 instruments of financial sector entities where the institution has significant investments in those entities</i>				
[non-relevant in EU regulation]				
<i>of which deferred tax assets arising from temporary difference</i>				
Losses for the current financial year (negative amount)				
Foreseeable tax charges relating to CET1 items (negative amount)				
Regulatory adjustments applied to common equity tier 1 in respect of amounts subject to pre-CRR treatment				
Regulatory adjustments relating to unrealised gains and losses pursuant to Article 467 and 468		-1 457		
<i>of which filter for unrealised loss, shares classified as available for sale</i>		-1 457		
Amount to be deducted from or added to common equity tier 1 capital with regard to additional filters and deductions required pre-CRR				
Qualifying AT1 deductions that exceed the AT1 of the institution (negative amount)				
Total regulatory adjustments to common equity tier 1 (CET1) capital	-15 711	-17 480		
Common equity tier 1 (CET1) capital	100 535	98 084		

Presentation in accordance with the requirements of Commission Implementing Regulation (EU) No 1423/2013.

Transitional own funds	Amounts subject to pre-regulation (EU) No 575/2013 treatment or prescribed residual amount of regulation (EU) No 575/2013		Amounts subject to pre-regulation (EU) No 575/2013 treatment or prescribed residual amount of regulation (EU) No 575/2013	
	2015		2014	
SEK m				
Additional tier 1 (AT1) capital: instruments				
Capital instruments and the related share premium accounts	9 981			
<i>of which classified as equity under applicable accounting standards</i>				
<i>of which classified as liabilities under applicable accounting standards</i>	9 981			
Amount of qualifying items referred to in Article 484 (4) and the related share premium accounts subject to phase-out from AT1	2 351	2 351	8 043	8 043
Public sector capital injections grandfathered until 1 January 2018				
Qualifying tier 1 capital included in consolidated AT1 capital (including minority interest not included in row 5) issued by subsidiaries and held by third parties				
<i>of which instruments issued by subsidiaries subject to phase-out</i>				
Additional tier 1 (AT1) capital before regulatory adjustments	12 332		8 043	
Additional tier 1 (AT1) capital: regulatory adjustments				
Direct and indirect holdings by an institution of own AT1 instruments (negative amount)	-399	-399		
Holdings of the AT1 instruments of financial sector entities where those entities have reciprocal cross holdings with the institution designed to inflate artificially the own funds of the institution (negative amount)				
Direct, indirect and synthetic holdings of the AT1 instruments of financial sector entities where the institution does not have a significant investment in those entities (amount above 10% threshold and net of eligible short positions) (negative amount)				
Direct, indirect and synthetic holdings of the AT1 instruments of financial sector entities where the institution has a significant investment in those entities (amount above 10% threshold and net of eligible short positions) (negative amount)				
Regulatory adjustments applied to additional tier 1 capital in respect of amounts subject to pre-CRR treatment and transitional treatments subject to phase-out as prescribed in Regulation (EU) No 585/2013 (i.e. CRR residual amounts)				
Residual amounts deducted from additional tier 1 capital with regard to deduction from common equity tier 1 capital during the transitional period pursuant to Article 472 of Regulation (EU) No 575/2013				
<i>of which items to be detailed line by line, e.g. material net interim losses, intangibles, shortfall of provisions to expected losses etc.</i>				
Residual amounts deducted from additional tier 1 capital with regard to deduction from tier 2 capital during the transitional period pursuant to Article 475 of Regulation (EU) No 575/2013				
<i>of which items to be detailed line by line, e.g. reciprocal cross holdings in tier 2 instruments, direct holdings of non-significant investments in the capital of other financial sector entities etc.</i>				
Amounts to be deducted from or added to additional tier 1 capital with regard to additional filters and deductions required pre-CRR				
Qualifying (T2) deductions that exceed the T2 capital of the institution (negative amount)				
Total regulatory adjustments to additional tier 1 (AT1) capital	-399		0	
Additional tier 1 (AT1) capital	11 933		8 043	
Tier 1 capital (T1 = CET1 + AT1)	112 468		106 127	
Tier 2 (T2) capital: instruments and provisions				
Capital instruments and the related share premium accounts	17 150	444	17 860	697
Amount of qualifying items referred to in Article 484 (5) and the related share premium accounts subject to phase-out from T2				
Public sector capital injections grandfathered until 1 January 2018				
Qualifying own funds instruments included in consolidated T2 capital (including minority interest and AT1 instruments not included in rows 5 or 34) issued by subsidiaries and held by third party				
<i>of which instruments issued by subsidiaries subject to phase-out</i>				
Credit risk adjustments				
Tier 2 (T2) capital before regulatory adjustment	17 150		17 860	

Presentation in accordance with the requirements of Commission Implementing Regulation (EU) No 1423/2013.

Transitional own funds	Amounts subject to pre-regulation (EU) No 575/2013 treatment or prescribed residual amount of regulation (EU) No 575/2013	
	2015	2014
SEK m		
Tier 2 (T2) capital: regulatory adjustments		
Direct and indirect holdings by an institution of own T2 instruments and subordinated loans (negative amount)		
Holdings of the T2 instruments and subordinated loans of financial sector entities where those entities have reciprocal cross holdings with the institutions designed to inflate artificially the own funds of the institution (negative amount)		
Direct, indirect and synthetic holdings of the T2 instruments and subordinated loans of financial sector entities where the institution does not have a significant investment in those entities (amount above 10% threshold and net of eligible short positions) (negative amount)		
<i>of which new holdings not subject to transitional arrangements</i>		
<i>of which holdings existing before 1 January 2013 and subject to transitional arrangements</i>		
Direct, indirect and synthetic holdings of the T2 instruments and subordinated loans of financial sector entities where the institution has a significant investment in those entities (net of eligible short positions) (negative amounts)	-1 129	-1 129
Regulatory adjustments applied to tier 2 capital in respect of amounts subject to pre-CRR treatment and transitional treatments subject to phase out as prescribed in Regulation (EU) No 575/2013 (i.e. CRR residual amounts)		
Residual amounts deducted from tier 2 capital with regard to deduction from common equity tier 1 capital during the transitional period pursuant to Article 472 of Regulation (EU) No 575/2013		
<i>of which items to be detailed line by line, e.g. material net interim losses, intangibles, shortfall of provisions to expected losses etc.</i>		
Residual amounts deducted from tier 2 capital with regard to deduction from additional tier 1 capital during the transitional period pursuant to Article 475 of Regulation (EU) No 575/2013		
<i>of which items to be detailed line by line, e.g. reciprocal cross holdings in tier 2 instrument, direct holdings of non-significant investments in the capital of other financial sector entities etc.</i>		
Amounts to be deducted from or added to tier 2 capital with regard to additional filters and deductions required pre-CRR		
Total regulatory adjustments to tier 2 (T2) capital	-1 129	-1 129
Tier 2 (T2) capital	16 021	16 731
Total capital (TC = T1 + T2)	128 489	122 858
Risk-weighted assets in respect of amounts subject to pre-CRR treatment and transitional treatments subject to phase-out as prescribed in Regulation (EU) No 575/2013 (i.e. CRR residual amount)	473 132	480 388
<i>of which additional capital to insurance companies in the Group not deducted from common equity tier 1 capital (residual values according to Regulation (EU) No 575/2013)</i>	15 633	15 633
<i>of which deferred tax claims not deducted from common equity tier 1 capital (residual values according to Regulation (EU) No 575/2013)</i>	3 220	332
Items not deducted from T2 items (Regulation (EU) No 575/2013 residual amounts) (items to be detailed line by line, e.g. indirect holdings of own T2 instruments, indirect holdings of non-significant investments in the capital of other financial sector entities, indirect holdings of significant investments in the capital of other financial sector entities etc.)		
Total risk-weighted assets	473 132	480 388

Presentation in accordance with the requirements of Commission Implementing Regulation (EU) No 1423/2013.

Transitional own funds	Amounts subject to pre-regulation (EU) No 575/2013 treatment or prescribed residual amount of regulation (EU) No 575/2013	Amounts subject to pre-regulation (EU) No 575/2013 treatment or prescribed residual amount of regulation (EU) No 575/2013
SEK m	2015	2014
Capital ratios and buffers		
Common equity tier 1 (as a percentage of total risk exposure amount)	21.2	20.4
Tier 1 capital (as a percentage of total risk exposure amount)	23.8	22.1
Total capital (as a percentage of total risk exposure amount)	27.2	25.6
Institution-specific buffer requirement (CET1 requirement in accordance with Article 92 (1) (a) plus capital conservation and countercyclical buffer requirements plus a systemic risk buffer, plus systemically important institution buffer expressed as a percentage of total risk exposure amount)	6.1	2.5
<i>of which capital conservation buffer requirement</i>	2.5	2.5
<i>of which countercyclical buffer requirement</i>	0.6	0.0
<i>of which systemic risk buffer requirement</i>	3.0	0.0
<i>of which Global Systemically Important Institution (G-SII) or Other Systemically Important Institution (O-SII) buffer</i>	0	0.0
Common equity tier 1 available to meet buffers (as a percentage of risk exposure amount)	16.7	15.9
[non-relevant in EU regulation]		
[non-relevant in EU regulation]		
[non-relevant in EU regulation]		
Capital ratios and buffers		
Direct and indirect holdings of the capital of financial sector entities where the institution does not have a significant investment in those entities (amount below 10% threshold and net of eligible short positions)		
Direct and indirect holdings of the CET1 instruments of financial sector entities where the institution has a significant investment in those entities (amount below 10% threshold and net of eligible short positions)	3	72
[non-relevant in EU regulation]		
Deferred tax assets arising from temporary difference (amount below 10% threshold, net of related tax liability where the conditions in Article 38 (3) are met)	-1 288	-133
Applicable caps on the inclusion of provisions tier 2		
Credit risk adjustments included in T2 in respect of exposures subject to standardised approach (prior to the application of the cap)		
Cap on inclusion of credit risk adjustments in T2 under standardised approach		
Credit risk adjustments included in T2 in respect of exposures subject to internal rating-based approach (prior to the application of the cap)		
Cap for inclusion of credit risk adjustments in T2 under internal ratings-based approach		
Capital instruments subject to phase-out arrangements (only applicable between 1 January 2013 and 1 January 2022)		
Current cap on CET1 instruments subject to phase-out arrangements	203	232
Amount excluded from CET1 due to cap (excess over cap after redemptions and maturities)	0	0
Current cap on AT1 instruments subject to phase-out arrangements	8 558	9 780
Amount excluded from AT1 due to cap (excess over cap after redemptions and maturities)	0	0
Current cap on T2 instruments subject to phase-out arrangements	5 185	5 926
Amount excluded from T2 due to cap (excess over cap after redemptions and maturities)	0	0

Presentation in accordance with the requirements of Commission Implementing Regulation (EU) No 1423/2013.

Change in own funds SEK m	2015 Q4	2014 Q4
Common equity tier 1 capital – opening amount	98 084	93 039
Profit for the period	15 595	14 450
Dividend	-11 442	-11 124
Conversions	91	-58
Minority interests	0	0
Deferred tax	1 155	75
Capital contributions outside consolidated situation	0	0
Positions in securitisations	0	491
Goodwill and other intangible assets	-124	174
Value adjustments for positions measured at fair value	-552	66
Own shares	-110	-466
Special deduction for IRB institutions	708	-117
Items affected via Other comprehensive income		
AFS shares	2 138	-1 460
AFS shares	21	39
Pensions (IAS 19)	-3 573	-2 102
Currency effects	-1 303	3 341
Net investment hedging	-307	1 995
Other	154	-259
Common equity tier 1 capital – closing amount	100 535	98 084
Additional tier 1 capital – opening amount	8 043	10 602
<i>Additional tier 1 instruments</i>		
Issues	9 981	
Calls	-5 521	-2 897
Currency effects	-169	341
Conversions	-2	-3
Regulatory adjustments capital	-399	-
Additional tier 1 capital – closing amount	11 933	8 043
Total tier 1 capital	112 468	106 127
Tier 2 capital – opening amount	16 731	2 753
<i>Tier 2 capital instruments</i>		
Issues	0	14 174
Currency effects	-457	0
Adjustment for time to maturity	-253	-196
Tier 2 capital – closing amount	16 021	16 731
Total own funds	128 489	122 858

Capital instruments main features, CET1	SHB A	SHB B
Issuer	Svenska Handelsbanken AB	Svenska Handelsbanken AB
Unique identifier (e.g. CUSIP, ISIN or Bloomberg identifier for private placement)	SE0000193120	SE0000152084
Governing law(s) of the instrument	Swedish law	Swedish law
<i>Regulatory treatment</i>		
Transitional CRR rules	Common equity tier 1 capital	Common equity tier 1 capital
Post-transitional rules	<i>Common equity tier 1 capital</i>	<i>Common equity tier 1 capital</i>
Eligible at solo/(sub)consolidated/solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated
Instrument type (types to be specified by each jurisdiction)	Share capital, class A	Share capital, class B
Amount recognised in regulatory capital (currency in million, at most recent reporting date)	SEK 4,456m	SEK 84m
Nominal amount of instrument	SEK 2,901m	SEK 55m
Issue price	SEK 4,456m	SEK 84m
Redemption price	N/A	N/A
Accounting classification	Equity	Equity
Original date of issuance		
Perpetual or dated	Perpetual	Perpetual
Original maturity date	N/A	N/A
Issuer call subject to prior supervisory approval	N/A	N/A
Optional call date, contingent call dates and redemption amount	N/A	N/A
Subsequent call dates, if applicable	N/A	N/A
<i>Coupons/dividends</i>		
Fixed or floating dividend/coupons	N/A	N/A
Coupon rate and any related index	N/A	N/A
Existence of dividend stopper	N/A	N/A
Fully discretionary, partially discretionary or mandatory (in terms of timing)	N/A	N/A
Fully discretionary, partially discretionary or mandatory (in terms of amount)	N/A	N/A
Existence of step-up or other incentive to redeem	No	No
Non-cumulative or cumulative	Non-cumulative	Non-cumulative
Convertible or non-convertible	Non-convertible	Non-convertible
If convertible, conversion trigger(s)	N/A	N/A
If convertible, fully or partially	N/A	N/A
If convertible, conversion rate	N/A	N/A
If convertible, mandatory or optional conversion	N/A	N/A
If convertible, specify instrument type convertible into	N/A	N/A
If convertible, specify issuer of instrument it converts into	N/A	N/A
Write-down features	No	No
If write-down, write-down trigger(s)	N/A	N/A
If write-down, full or partial	N/A	N/A
If write-down, permanent or temporary	N/A	N/A
If temporary write-down, description of write-up mechanism	N/A	N/A
Position in subordination hierarchy in liquidation (specify instrument type immediately senior to instrument)	Lowest, next senior is additional tier 1 capital	Lowest, next senior is additional tier 1 capital
Non-compliant transitioned features	No	No
If yes, specify non-compliant features	N/A	N/A

Presentation in accordance with the requirements of Commission Implementing Regulation (EU) No 1423/2013.

Capital instruments main features, T1			
Issuer	Svenska Handelsbanken AB	Svenska Handelsbanken AB	Svenska Handelsbanken AB
Unique identifier (e.g. CUSIP, ISIN or Bloomberg identifier for private placement)	SE0002450601	XS0406264092	XS1194054166
Governing law(s) of the instrument	Swedish law	Mainly English law, Swedish insolvency law	Mainly English law, Swedish insolvency law
<i>Regulatory treatment</i>			
Transitional CRR rules	Additional tier 1 capital	Additional tier 1 capital	Additional tier 1 capital
Post-transitional rules	Non-eligible	Tier 2 capital	Tier 1 capital
Eligible at solo/(sub)consolidated/solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated
Instrument type (types to be specified by each jurisdiction)	Additional tier 1 capital	Additional tier 1 capital	Additional tier 1 capital
Amount recognised in regulatory capital (currency in million, at most recent reporting date)	SEK 4m	SEK 2,347m	SEK 9,981m
Nominal amount of instrument	SEK 4m	SEK 2,350m	USD 1,200m
Issue price	100%	100%	100%
Redemption price	100%	100%	100%
Accounting classification	Liability – amortised cost	Liability – amortised cost	Liability – amortised cost
Original date of issuance	12 Jun 2008	19 Dec 2008	25 Feb 2015
Perpetual or dated	Perpetual	Perpetual	Perpetual
Original maturity date	No maturity date	No maturity date	No maturity date
Issuer call subject to prior supervisory approval	Yes	Yes	Yes
Optional call date, contingent call dates and redemption amount	21 May 2013	19 Mar 2019	1 Mar 2021
Subsequent call dates, if applicable	Callable at any time with 40-day qualification period	Callable each subsequent interest payment date after first redemption date	Callable each subsequent interest payment date after first redemption date
<i>Coupons/dividends</i>			
Fixed or floating dividend/coupons	Floating	Fixed	Fixed
Coupon rate and any related index	0.52%	11%	5.25%
Existence of dividend stopper	Yes	Yes	Yes
Fully discretionary, partially discretionary or mandatory (in terms of timing)	Partially discretionary	Partially discretionary	Fully discretionary
Fully discretionary, partially discretionary or mandatory (in terms of amount)	Partially discretionary	Partially discretionary	Fully discretionary
Existence of step-up or other incentive to redeem	Yes	Yes	No
Non-cumulative or cumulative	Non-cumulative	Non-cumulative	Non-cumulative
Convertible or non-convertible	Convertible	Non-convertible	Non-convertible
If convertible, conversion trigger(s)	Fully discretionary	N/A	N/A
If convertible, fully or partially	Fully or partially	N/A	N/A
If convertible, conversion rate	SEK 62.52 per share	N/A	N/A
If convertible, mandatory or optional conversion	Optional	N/A	N/A
If convertible, specify instrument type convertible into	Share capital, class A	N/A	N/A
If convertible, specify issuer of instrument it converts into	Svenska Handelsbanken AB	N/A	N/A
Write-down features	Yes	Yes	Yes
If write-down, write-down trigger(s)	Expected breach of capital requirement	Expected breach of capital requirement	Common equity tier 1 ratio 8% consolidated, 5.125% parent company
If write-down, full or partial	Fully or partially	Fully or partially	Fully or partially
If write-down, permanent or temporary	Temporary	Temporary	Temporary
If temporary write-down, description of write-up mechanism	Fully discretionary	Fully discretionary	Fully discretionary
Position in subordination hierarchy in liquidation (specify instrument type immediately senior to instrument)	Subordinate to all instruments except shares, next in priority are subordinated loans	Subordinate to all instruments except shares, next in priority are subordinated loans	Subordinate to all instruments except shares, next in priority are subordinated loans
Non-compliant transitioned features	Yes	Yes	
If yes, specify non-compliant features	Step-up and dividend stopper	Step-up and dividend stopper	N/A

Presentation in accordance with the requirements of Commission Implementing Regulation (EU) No 1423/2013.

Capital instruments main features, T2				
Issuer	Svenska Handelsbanken AB	Svenska Handelsbanken AB	Svenska Handelsbanken AB	Svenska Handelsbanken AB
Unique identifier (e.g. CUSIP, ISIN or Bloomberg identifier for private placement)	XS1014674227	XS0842167719	XS0842167552	SE0003961713
Governing law(s) of the instrument	Mainly English law, Swedish insolvency law	Mainly English law, Swedish insolvency law	Mainly English law, Swedish insolvency law	Swedish law
<i>Regulatory treatment</i>				
Transitional CRR rules	Tier 2 capital	Tier 2 capital	Tier 2 capital	Tier 2 capital
Post-transitional rules	Tier 2 capital	Tier 2 capital	Tier 2 capital	Tier 2 capital
Eligible at solo/(sub)consolidated/solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated
Instrument type (types to be specified by each jurisdiction)	Subordinated loan	Subordinated loan	Subordinated loan	Convertible debenture loan
Amount recognised in regulatory capital (currency in million, at most recent reporting date)	SEK 13,717m	SEK 1,740m	SEK 1,250m	SEK 444m
Nominal amount of instrument	EUR 1,500m	SEK 1,750m	SEK 1,250m	SEK 2,513m
Issue price	100%	100%	100%	100%
Redemption price	100%	100%	100%	100%
Accounting classification	Liability – amortised cost	Liability – amortised cost	Liability – amortised cost	Liability – amortised cost
Original date of issuance	15 Jan 2014	12 Oct 2012	12 Oct 2012	1 Jun 2011
Perpetual or dated	Dated	Dated	Dated	Perpetual
Original maturity date	15 Jan 2024	12 Oct 2022	12 Oct 2022	N/A
Issuer call subject to prior supervisory approval	Yes	Yes	Yes	No
Optional call date, contingent call dates and redemption amount	15 Jan 2019	12 Oct 2012	12 Oct 2012	30 Nov 2016
Subsequent call dates, if applicable	Callable each subsequent interest payment date after first redemption date	Callable each subsequent interest payment date after first redemption date	Callable each subsequent interest payment date after first redemption date	Callable at any time with 40-day qualification period
<i>Coupons/dividends</i>				
Fixed or floating dividend/coupons	Fixed	Fixed	Floating	Floating
Coupon rate and any related index	2.66%	4.47%	2.61%	0.37%
Existence of dividend stopper	No	No	No	No
Fully discretionary, partially discretionary or mandatory (in terms of timing)	Mandatory	Mandatory	Mandatory	Partially discretionary
Fully discretionary, partially discretionary or mandatory (in terms of amount)	Mandatory	Mandatory	Mandatory	Partially discretionary
Existence of step-up or other incentive to redeem	No	No	No	No
Non-cumulative or cumulative	Non-cumulative	Non-cumulative	Non-cumulative	Non-cumulative
Convertible or non-convertible	Non-convertible	Non-convertible	Non-convertible	Convertible
If convertible, conversion trigger(s)	N/A	N/A	N/A	Expected breach of capital requirement
If convertible, fully or partially	N/A	N/A	N/A	Partially
If convertible, conversion rate	N/A	N/A	N/A	SEK 71.62 per share
If convertible, mandatory or optional conversion	N/A	N/A	N/A	Optional
If convertible, specify instrument type convertible into	N/A	N/A	N/A	SHB A
If convertible, specify issuer of instrument it converts into	N/A	N/A	N/A	Svenska Handelsbanken AB
Write-down features	No	No	No	Yes
If write-down, write-down trigger(s)	N/A	N/A	N/A	Expected breach of capital requirement
If write-down, full or partial	N/A	N/A	N/A	Partially
If write-down, permanent or temporary	N/A	N/A	N/A	Temporary
If temporary write-down, description of write-up mechanism	N/A	N/A	N/A	Fully discretionary
Position in subordination hierarchy in liquidation (specify instrument type immediately senior to instrument)	Subordinate to all senior lending	Subordinate to all senior lending	Subordinate to all senior lending	Subordinate to all instruments except shares, next in priority are subordinated loans
Non-compliant transitioned features	No	No	No	No
If yes, specify non-compliant features	N/A	N/A	N/A	N/A

Presentation in accordance with the requirements of Commission Implementing Regulation (EU) No 1423/2013.

CAPITAL REQUIREMENT

The capital requirement for credit risks is calculated by a risk-weighted exposure amount being calculated for all the exposures in the regulatory consolidation. The risk-weighted exposure amount is calculated for credit risks partly using the IRB Approach with and without own estimates of LGD and CCF, and partly using the standardised approach. Handelsbanken also uses the standardised approach for calculating the capital requirement for market risks and operational risk.

The adjoining table shows the total capital requirement and its various components.

CAPITAL ADEQUACY FOR THE FINANCIAL CONGLOMERATE

Institutions and insurance companies which are part of a financial conglomerate must have own funds which are adequate in relation to the capital requirement for the financial conglomerate. Own funds for the financial conglomerate have been calculated by means of a combination of the aggregation and settlement method and the consolidation method. This means that own funds for the consolidated situation have been combined with own funds for the Handelsbanken Liv AB insurance group. Correspondingly, in order to calculate the requirement for the conglomerate, the solvency requirement for the insurance group has been added to the capital requirement for the consolidated situation.

Capital requirement SEK m	2015	2014
Credit risk according to standardised approach	6 433	5 575
Credit risk according to IRB approach	25 225	26 944
Market risk	825	939
Credit valuation adjustment risk (CVA)	713	534
Operational risk	4 655	4 439
Total capital requirement	37 851	38 431
Adjustment according to Basel I floor	56 982	51 975
Capital requirement, Basel I floor	94 833	90 406
Total capital base, Basel I floor	129 884	124 961

Capital requirement market risks SEK m	2015	2014
Position risk in the trading book	819	927
Interest rate risk	804	908
<i>of which general risk</i>	512	566
<i>of which specific risk</i>	290	338
<i>of which positions in securitisation instruments</i>	-	0
<i>of which non-delta risk</i>	2	4
Equity price risk	15	19
<i>of which general risk</i>	1	3
<i>of which specific risk</i>	4	7
<i>of which mutual funds</i>	2	1
<i>of which non-delta risk</i>	8	8
Exchange rate risk	-	-
<i>of which non-delta risk</i>	-	-
Commodities risk	6	8
<i>of which non-delta risk</i>	0	0
Settlement risk	0	4
Total capital requirement for market risks	825	939

Capital adequacy analysis, %	2015	2014
Common equity tier 1 ratio, CRR	21.2	20.4
Tier 1 ratio, CRR	23.8	22.1
Total capital ratio, CRR	27.2	25.6
Risk exposure amount, CRR, SEK m	473 132	480 388
Capital base in relation to capital requirement according to Basel I floor	137.0	138.0
Institution-specific buffer requirement	6.1	2.5
<i>of which capital conservation buffer requirement</i>	2.5	2.5
<i>of which countercyclical capital buffer requirement</i>	0.6	
<i>of which systemic risk buffer requirement</i>	3.0	
Common equity tier 1 capital available for use as a buffer	16.7	15.9

Capital adequacy financial conglomerate SEK m	2015	2014
Own funds after reduction and adjustments	129 660	129 412
Capital requirement	95 729	91 322
Surplus	33 931	38 090

Risk exposure amount SEK m	2015	2014
Credit risk according to standardised approach	80 406	69 686
Credit risk according to IRB approach	315 310	336 795
Market risk	10 318	11 739
Credit valuation adjustment risk (CVA)	8 911	6 676
Operational risk	58 187	55 492
Total risk exposure amount	473 132	480 388

LEVERAGE RATIO

The leverage ratio and its components are shown in the table, according to the capital measure defined in CRR. No decision has been made to date on what level of leverage ratio requirement will apply, and whether it will constitute a binding capital requirement or not. The Basel Committee has indicated that 3 per cent is a possible level. The Swedish Financial Supervisory Authority has expressed that this could be a suitable level, but that it may be suitable to calculate the ratio using common equity tier 1 capital instead of tier 1 capital. In 2016, the Basel Committee is expected to make a decision on the leverage ratio requirement. The EU is expected to adopt this later in the year. Handelsbanken is of the opinion that the leverage ratio is an unsuitable measure to use for capital requirements because it entails high capital requirements for low-risk assets, which benefits banks with high risks in their balance sheets and gives banks with low risk a reason to dispose of low-risk assets. This is well illustrated by a comparison between Handelsbanken's leverage ratio for 2015 and for 2014. The leverage ratio rose by 0.7 percentage points year-on-year to 4.4 per cent. This is mainly due to the fact that the majority of the balance sheet was reduced by around SEK 300 billion, which has almost exclusively occurred through reduced investments with central banks. This type of reduction of the liquidity reserves does not reduce the risk for the Bank; nevertheless the leverage ratio figure is considerably improved. This is a good illustration of why the leverage ratio is inappropriate as part of the capital adequacy regulations. Another measure which banks can take to improve the leverage ratio is to securitise mortgage loans. The table shows that securitisation of the mortgage loans in the cover pool would raise the leverage ratio by 2.8 percentage points to 7.2 per cent. For a more detailed discussion of the disadvantages of binding leverage ratio requirements, see Handelsbanken's publications: The socio-economic consequences of introducing a leverage ratio for banks (2010), Risk-weighted capital requirements – do they work? (2014) and the 2014 report Risk and Capital Management – Information according to Pillar 3, all of which are available at www.handelsbanken.se/ireng.

Leverage ratio SEK m	2015	2014
Assets on which the leverage ratio is calculated		
Balance sheet according to accounting regulations	2 522 133	2 816 676
Deduction for assets not included in the banking group	-103 655	-95 097
Adjustment for differences between carrying amount and leverage ratio exposure – derivatives	-37 126	-43 931
Adjustment for differences between carrying amount and leverage ratio exposure – repos and securities loans	4 786	3 312
<i>Assets reported off the balance sheet, gross (before adjustment for conversion factor)</i>	<i>483 859</i>	<i>457 641</i>
<i>Deduction from assets off the balance sheet after application of conversion factor</i>	<i>-303 538</i>	<i>-284 089</i>
Assets reported off the balance sheet, net	180 321	173 552
Additional adjustment	-16 872	-18 489
Total assets	2 549 587	2 836 023
Capital on which the leverage ratio can be calculated		
Common equity tier 1 capital	100 535	98 084
Tier 1 capital	112 468	106 127
Leverage ratio		
Leverage ratio calculated on common equity tier 1 capital, %	3.9	3.5
Leverage ratio calculated on tier 1 capital, %	4.4	3.7
Leverage ratio after potential asset-reducing measures		
Leverage ratio after decrease of central bank exposures, %	4.9	4.6
Leverage ratio after securitisation of mortgage loans in the covered bond pool, %	7.2	5.5
Leverage ratio after both these measures, %	8.5	7.5

Consolidated situation

Companies included in the consolidated situation	Ownership share %	Corporate identity number	Domicile
Handelsbanken AB (publ)¹		502007-7862	Stockholm
SUBSIDIARIES			
Handelsbanken Finans AB¹	100	556053-0841	Stockholm
Kredit-Inkasso AB	100	556069-3185	Stockholm
Handelsbanken Rahoitus Oy	100	0112308-8	Helsinki
Kreditt-Inkasso AS	100	955074203	Fredrikstad
Handelsbanken Finans (Shanghai) Financial Leasing Co., Ltd	100	310101717882194	Shanghai
Stadshypotek AB¹	100	556459-6715	Stockholm
Svenska Intecknings Garanti AB Sigab (inactive)	100	556432-7285	Stockholm
Handelsbanken Fondbolagsförvaltning AB	100	556070-0683	Stockholm
Handelsbanken Fonder AB	100	556418-8851	Stockholm
Handelsinvest Investeringsförvaltning A/S	100	12930879	Copenhagen
Handelsbanken Fondbolag Ab	100	1105019-3	Helsinki
Handelsbanken Kapitalförvaltning AS	100	973194860	Oslo
Xact Kapitalförvaltning AB	100	556997-8140	Stockholm
AB Handel och Industri	100	556013-5336	Stockholm
Heartwood Wealth Management Limited	100	04132340	London
Heartwood Nominees Limited (inactive)	100	2299877	London
Heartwood Second Nominees Limited (inactive)	100	3193458	London
Private Office Limited (inactive)	100	4332528	London
Other			
Ejendomsselskabet af 1. maj 2009 A/S ¹	100	59173812	Hillerød
Forva AS	100	945812141	Oslo
Handelsbanken Markets Securities, Inc ¹	100	11-3257438	New York
Handelsbanken Mezzanine Management AB (inactive)	100	556679-2668	Stockholm
Handelsbanken Mezzanine Fond 1 KB (inactive)	100	969710-3126	Stockholm
Lokalbolig A/S	67.5	78488018	Hillerød
Rådstuplass 4 AS	100	910508423	Bergen
SIL (Nominees) Limited (inactive)	100	1932320	London
Svenska Property Nominees Limited (inactive)	100	2308524	London
Lila stugan i Stockholm AB (inactive)	100	556993-9084	Stockholm
Ecster AB (inactive)	100	556993-2311	Stockholm
Blå stugan i Stockholm (inactive)	100	556993-9357	Stockholm
Svenska Handelsbanken Representações (Brasil) Ltda	99.9	15.367.073/0001-93	São Paulo
Subsidiaries of Handelsbanken Liv Försäkrings AB			
Handelsbanken Fastigheter AB	100	556873-0021	Stockholm
ASSOCIATES			
Bankomatcentralen AB	21.89	556197-2265	Stockholm
BDB Bankernas Depå AB	20	556695-3567	Stockholm
BGC Holding AB	25.38	556607-0933	Stockholm
Bankgirocentralen BGC AB	100	556047-3521	Stockholm
Devise Business Transactions Sweden AB	100	556564-5404	Stockholm
Finansiell ID-teknik BID AB	28.3	556630-4928	Stockholm
UC AB	24.48	556137-5113	Stockholm
UC Affärsfakta AB	100	556613-0042	Stockholm
UC Marknadsinformation AB	100	556948-5518	Stockholm
UC Aktieadministration AB	100	556961-2079	Stockholm
UC Bostadsvärdering AB	100	556576-7133	Stockholm
UC allabolag AB	100	556730-7367	Stockholm
Bankomat AB	20	556817-9716	Stockholm
Getswish AB	20	556913-7382	Stockholm

¹ Credit institution.

Companies not included in consolidated situation	Ownership share %	Corporate identity number	Domicile
Handelsbanken Liv Försäkrings AB (group excl. Handelsbanken Fastigheter AB)	100	516401-8284	Stockholm
Svenska Re S.A.	100	RCS Lux B-32053	Luxembourg
Handelsbanken Skadeförsäkrings AB	100	516401-6767	Stockholm
Flisekompaniet Holding AS	47	992999136	Oslo
Dyson Group plc	44.5	163096	Sheffield
Plastal Industri AB	100	556532-8845	Gothenburg
EFN Ekonomikanalen AB	100	556930-1608	Stockholm
SHB Liv Försäkringsaktiebolag	100	2478149-7	Helsinki
Svenska RKA International Insurance Services AB (inactive)	100	556324-2964	Stockholm

Definitions and explanations

ADDITIONAL TIER 1 CAPITAL

Additional tier 1 capital comprises perpetual subordinated loans which meet the requirements stated in CRR and can therefore be included in the tier 1 capital.

AFR

AFR stands for Available financial resources. AFR is Handelsbanken's equity with the addition of other financial values on and off the balance sheet, available to cover losses with a one-year time horizon.

CAPITAL REQUIREMENTS

The statutory capital requirement means that an institution which is subject to CRR must have a common equity tier 1 ratio of at least 4.5 per cent, a tier 1 ratio of at least 6 per cent and a total capital ratio of at least 8 per cent. This means that own funds for the respective ratio must amount to the stated percentage of the risk exposure amount. For definitions of the respective own funds amounts, see Common equity tier 1 capital, Tier 1 capital and Total capital. In this calculation, own funds are reduced by the net of EL minus provisions.

CCF

Credit conversion factor. The factor that is used when calculating the exposure amount for unutilised overdraft facilities, committed loan offers, guarantees and other off-balance sheet commitments.

CDS

Credit default swaps or credit derivatives.

CLS

Continuous linked settlement, clearing collaboration for foreign exchange trading.

COMMON EQUITY TIER 1 CAPITAL

Common equity tier 1 capital is one of the components of own funds and mainly comprises equity. Deductions are made for, inter alia, dividends generated, goodwill and other intangible assets, and also the difference between an expected loss and provisions made for probable loan losses.

COMMON EQUITY TIER 1 RATIO

Common equity tier 1 capital in relation to risk-weighted assets.

COMMON EQUITY TIER 1 RATIO AVAILABLE TO COVER BUFFER REQUIREMENTS

The common equity tier 1 ratio after a deduction for the part of common equity tier 1 capital required to comply with all formal capital requirements.

CRR IV

The EU's Capital Requirements Directive 2013/36/EU on access to the activity of credit institutions and the prudential supervision of credit institutions and investment firms.

CREDIT RISK EXPOSURE

The exposure which is subject to a capital requirement according to CRR.

CREDIT RISK PROTECTION

Risk-reducing factors/measures, such as property mortgages.

CREDIT VALUATION ADJUSTMENT RISK (CVA)

Credit valuation adjustment risk is abbreviated CVA and measures the risk that the market value of a derivative decreases due to a deterioration in the creditworthiness of the counterparty. The credit valuation adjustment is a component in the regulations for valuation of derivatives. The adjustment in the value is based on the counterparty's creditworthiness. An exposure to a counterparty with poorer creditworthiness must have a lower carrying amount than the corresponding exposure to a counterparty with better creditworthiness. Credit risk in this context means that if a given counterparty's creditworthiness deteriorates, the value in the balance sheet of all derivative transactions with a positive market value with this counterparty immediately decreases, thus reducing the Bank's equity. To take account of this risk in the capital adequacy, credit valuation adjustment risk has been introduced as part of the capital adequacy regulations.

CRR

The EU's Capital requirements regulation for credit institutions and investment firms: Regulation (EU) No. 575/2013 on prudential requirements for credit institutions and investment firms.

CVA

CVA stands for credit valuation adjustment which is the value change risk related to the counterparty's credit quality.

DEFAULT

An exposure to a specific counterparty is deemed to be in default if any of the following criteria are fulfilled:

- The institution deems it probable that the counterparty will not be able to fulfil its commitments towards the institution without the institution having to realise any collateral, or take similar measures.
- The counterparty is more than 90 days late with a payment unless it is an insignificant amount.

EC

Economic capital.

EL

EL stands for expected loss and is the same as the expected loss amount, i.e. $PD \times LGD \times$ exposure amount.

EXPOSURE

Exposure means the total exposures on and off the balance sheet.

EXPOSURE AMOUNT

Exposure amount is the amount which is subject to capital adequacy requirements. It is calculated inclusive of interest and fees. Off-balance-sheet amounts are recalculated with the credit conversion factor (CCF). For derivatives, the exposure amount is calculated as positive MTM (market-to-market, replacement cost) plus value change risk (i.e. the nominal amount multiplied by the upward adjustment factor). The designation exposure amount was also used in the previous regulations (FFFS 2007:1). In Handelsbanken's Pillar 3 reports 2007–2013, the abbreviation EAD (exposure at default) was also used in some cases.

EXPOSURE VALUE

Exposure value is the same as exposure amount. In the CRR regulations, the exposure which is subject to a capital requirement is called exposure value.

HAIRCUT

The percentage by which the market value of a financial asset is reduced to take into account the risk of price movements when calculating capital requirements, margins and collateral.

IMPAIRED LOANS

Loans are classified as impaired loans if contracted cash flows are not likely to be fulfilled. The full amount of all claims which give rise to a specific provision are included in impaired loans even if parts are covered by collateral.

IRB

Internal ratings based approach.

IRB APPROACH

There are two variants of the IRB Approach. The simpler variant, called the foundation approach, is also called IRB Approach without own estimates of LGD and CCF. The more advanced method, called the advanced approach, is also called IRB Approach with own estimates of LGD and CCF.

ITRAXX

ITRAXX Financials is an index of CDS spreads for the 25 largest bond issuers in the European bank and insurance sector. It describes the average premium that an investor requires in order to accept credit risk on the companies.

LCR

Liquidity coverage ratio. The Basel Committee's proposal for a short-term stress measure of liquidity. The Basel Committee's definition differs from that of the Swedish Financial Supervisory Authority.

LGD

Loss given default. It is the proportion of an exposure that the Bank loses on average in the event of a default.

LOAN LOSS RATIO

Loan losses and changes in value of repossessed property in relation to loans to the public and credit institutions (excluding banks) at the beginning of the year, and also repossessed property and credit guarantees.

LTV

Loan-to-value ratio.

M

M stands for Maturity. It refers to the maturity used when calculating the risk-weighted exposure amount for corporate and institutional exposures according to the IRB Approach. For calculations using the IRB Approach without own estimates of LGD and CCF, M is 2.5 years except for repos and securities or commodities loans where it is 0.5 years. For calculations using the IRB Approach with own estimates of LGD and CCF, M is set at the contracted maturity of the exposure, with a floor of one year, except for certain derivative transactions which have a floor of 10 days and certain repos and securities or commodities loan which have a floor of 5 days.

NEA

Non-encumbered (unpledged) assets.

NSFR

Net stable funding ratio. A structural liquidity measure which shows the relationship between available stable funding and the requirement for stable funding (non-liquid assets).

OTC DERIVATIVES

Over-the-counter derivatives are uncleared tailor-made derivatives.

OWN FUNDS/TOTAL CAPITAL

Own funds are the sum of tier 1 and tier 2 capital.

PD

The probability of default is the probability of a borrower defaulting within one year. For example, a PD of 0.2 per cent implies that two borrowers out of 1,000 are expected to default within one year.

PROPORTION OF IMPAIRED LOANS

Net impaired loans in relation to total loans to the public and credit institutions (excluding banks). Impaired loans are reported without deduction for the collateral that is security for the claim.

RISK EXPOSURE AMOUNT

Risk exposure amount (REA) is a synonym for risk-weighted exposure amount and is used when aggregating types of risk.

RISK WEIGHT

A measure to describe the level of risk an exposure is expected to have according to the capital adequacy regulations.

RISK-WEIGHTED ASSETS

Total risk exposure amount. The statutory capital requirement is based on this.

RISK-WEIGHTED EXPOSURE AMOUNT

Risk-weighted exposure amount (Risk exposure amount, REA) is the risk weight for each exposure multiplied by the exposure amount. The risk weight is based on a number of factors such as the repayment capacity and debt-servicing of the counterparty, type of product and the value of any collateral. This concept is used for credit risk.

STANDARDISED APPROACH

The method of calculating and reporting credit risks according to CRR. It is based on standardised risk weights on the basis of the external rating. The standardised approach is also for market risk and operational risk.

TIER 1 CAPITAL

Common equity tier 1 capital including additional tier 1 capital. For a more detailed description of own funds, see note G49 in the Annual Report.

TIER 1 RATIO

Tier 1 capital in relation to risk-weighted assets.

TIER 2 CAPITAL

Tier 2 capital is one of the components of own funds, and mainly consists of subordinated loans which fulfil the requirements stated in CRR in order to be included as tier 2 capital. For a more detailed description of own funds, see note G49 in the Annual Report.

TOTAL CAPITAL RATIO

Total own funds in relation to risk-weighted assets.

VAR

Value at Risk. A probability-based risk measure.

FINANCIAL INFORMATION

The following reports can be downloaded or ordered from handelsbanken.se/ireng:

- annual reports
- interim reports
- risk reports
- corporate governance reports
- fact books
- sustainability reports.

FINANCIAL CALENDAR 2016

9 February	Annual accounts 2015
16 March	Annual General Meeting
20 April	Interim report January–March 2016
15 July	Interim report January–June 2016
19 October	Interim report January–September 2016

